

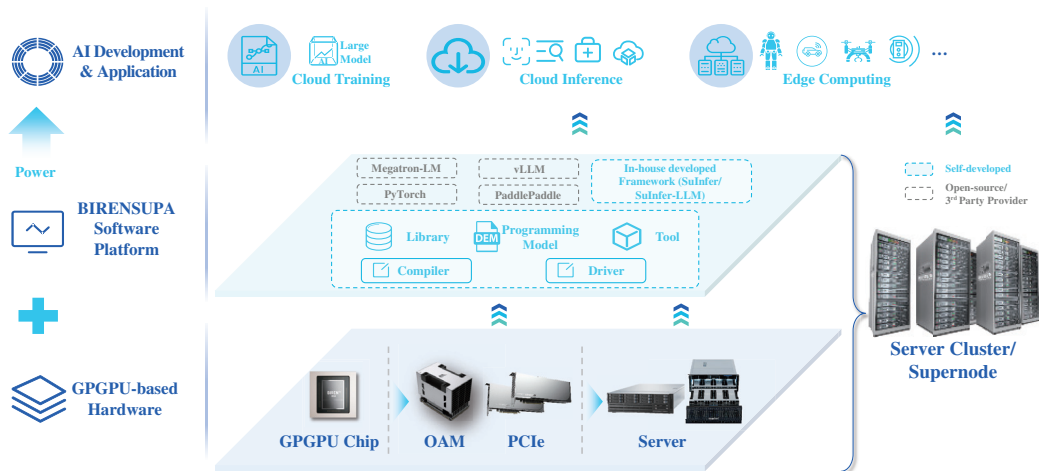
BUSINESS

OVERVIEW OF OUR BUSINESS

Who We Are

We develop GPGPU chips and GPGPU-based intelligent computing solutions to provide the foundational computing power required by AI. By integrating self-developed GPGPU-based hardware and proprietary BIRENSUPA software platform, our solutions support the training and inferencing of AI models in a broad range of applications from cloud to edge. In particular, strong performance and high efficiency for large language models (“LLMs”) pre-training, post-training and inference of our GPGPU-based solutions, which possess high technology barriers, provide us with key competitive advantages among domestic players. Our technology forms a critical infrastructure to enable AI and advance AGI, addressing the surging computational demands across various industries to drive productivity, innovation and transformation.

Innovation and technology excellence are our core competencies. With the rapid development of AI, especially through LLMs and generative AI, many businesses have an increasing need for computing solutions to meet their surging demand for computing power and harness the power of AI. To meet such demand, we have self-developed our Specialist Technology Product which is an integrated intelligent computing solution comprising of two components, namely (i) hardware systems based on our GPGPU architecture and chips, and (ii) BIRENSUPA, a computing software platform. To better address our customers’ urgent demands for high-performance computing and intelligent applications, our Specialist Technology Product can be offered as large-scale intelligent computing clusters, which consist of a large number of interconnected GPGPU units and that work together to perform parallel processing tasks and controlled by our BIRENSUPA software platform.



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With the groundbreaking advancements in large language models such as DeepSeek, QWEN and GPT, the AI technology sector is witnessing three notable trends: (i) the exponential growth in the scale of parameters and training data, which pushes the boundaries of model capabilities; (ii) the accelerated evolution of multimodal fusion architectures, enabling the collaborative processing of multimodal data including text, images, and speech; and (iii) the emergence of reasoning models that significantly enhance inference performance, facilitating the broader adoption of AI applications. These trends directly drive the demand for intelligent computing chips: for training, there is a need for high computational density to support large-parameter model iterations; while for inference, there is strong demand for low latency and high concurrency, thereby reducing inference costs. Moreover, beyond the trajectory of large models, AI technology is poised for further breakthroughs and transformations. Following the scaling trends in pre-training large language models, subsequent post-training scaling (including reinforcement learning, fine-tuning, and alignment) and test-time scaling (such as chain-of-thought prompting and complex reasoning strategies) have substantially amplified computational demands. Additionally, the rise of reasoning-model-based agents, involving iterative interactions and autonomous decision-making, has further intensified these computational requirements. Next-generation models are expected to require computational capacity increases by thousands or even tens of thousands of times, presenting a need for diversification. GPU chips will need comprehensive upgrades across multiple dimensions, including computing power, memory capacity and bandwidth, interconnection, general-purpose flexibility, and energy efficiency. These enhancements are crucial to ultimately meet the requirements for ultra-large-scale training and real-time inference, as well as the next generation computing paradigms. As a result, the market size of China’s intelligent computing chips increased from US\$1.7 billion in 2020 at a CAGR of 105.0% to US\$30.1 billion in 2024 and is expected to further grow to US\$201.2 billion in 2029, with a CAGR of 46.3% from 2024 to 2029, according to CIC.

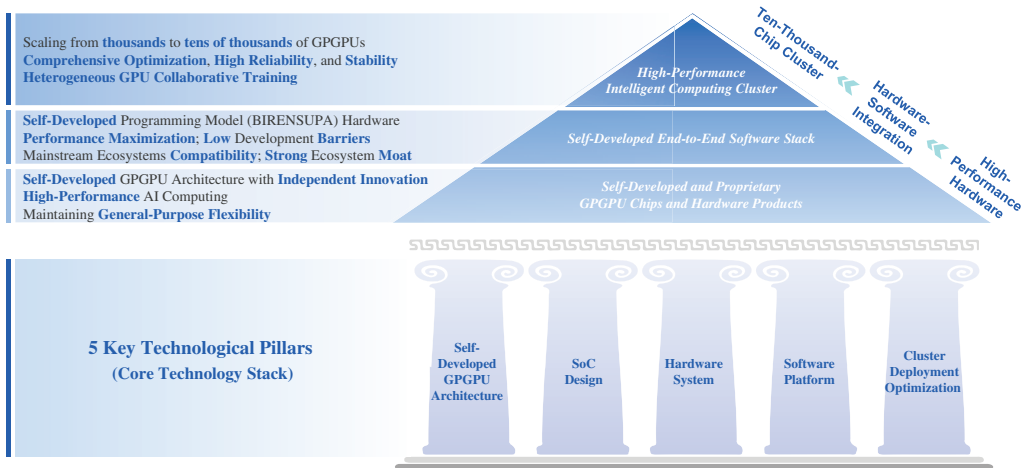
We have a comprehensive understanding of the crucial demands driven by the above-mentioned trends in AI technology development. We strategically align our core technologies and product systems with requirements surrounding large language models, having achieved high performance, high energy efficiency, and multimodal adaptability through in-house research and development. This enables us to provide the computational support necessary for training and inference of large models with hundreds of billions of parameters. Our products fully support mainstream open-source large models such as DeepSeek, QWEN, and LLaMA, demonstrating our technological maturity in essential scenarios such as trillion-parameter LLM and multimodal models training and inference.

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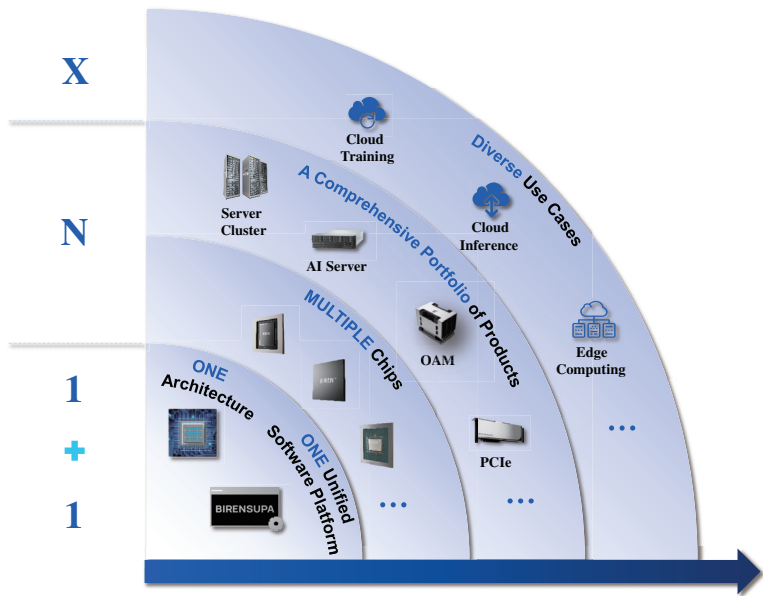
We have built our solutions upon five foundational pillars: a self-developed GPGPU architecture, system-on-chip (“SoC”) design, hardware system, software platform, and cluster deployment optimization. Specifically:

- Our technology capabilities and solution excellence are underpinned by our in-house developed GPGPU architecture, which is purpose-built for handling large-scale AI workloads, especially LLM workloads, to accommodate expanding model sizes, parameters and complexities, while offering high-performance and superior general-purpose flexibility, energy-efficiency and scalability. The unified and continuously evolving GPGPU architecture is the core of our platform strategy and lays a solid foundation for fast iteration and development of next generation computing platform.
- Based on the self-developed GPGPU architecture, we design and launch a series of chips. According to CIC, we are the first company in China to package dual AI computing dies using 2.5D chiplet technology, supported by our superior SoC design and execution capabilities. We are among the first in the industry to support advanced interconnection specifications, according to CIC. Our SoC design methodology and workflow ensure successful VLSI (Very Large Scale Integrated Circuit) execution and first-time-right tape-out, which help us achieve mass production and commercialization with our first generation products.
- We have developed a comprehensive portfolio of high-performance hardware systems in various form factors containing our self-developed GPGPUs chips, such as PCIe Card, OAM, UBB, and servers. Our hardware systems support both air-cooled and liquid-cooled solutions, helping to reduce the PUE and optimize energy efficiency of data centers and comply with applicable energy-saving requirements. We provide enterprises the mission-critical large-scale computing infrastructure that offers high performance, reliability, and scalability.
- We have developed the BIRENSUPA software platform, bridging all of our hardware systems with diverse AI applications and scenarios. BIRENSUPA enables our hardware features, optimizes their performance and manages large-scale GPGPU clusters. It offers user a friendly programming interface, high performance libraries, training and inference frameworks and comprehensive set of tool chains to streamline the development and deployment of AI solutions. Furthermore, BIRENSUPA is compatible with other third-party GPGPU computing software platforms, significantly reducing the migration cost to our GPGPU products.
- We have developed comprehensive solutions of large-scale intelligent computing cluster by integrating our hardware systems and software platform with other hardware infrastructure such as servers, storage, and networking equipment provided by partners. Our cluster management platform, BIRENCUBE, is designed to manage extensive AI hardware infrastructure, allowing us to help customers construct GPU clusters comprising of over one thousand, or even ten thousand, GPU chips.

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Our product development strategy is platform-based, integrating both hardware and software. Leveraging a unified hardware architecture and a software platform, we create a comprehensive portfolio of GPGPU chips and GPGPU chip-based hardware products, consistently iterating to enhance our offerings. This approach allows us to achieve a high degree of co-design between hardware and software, significantly improving development efficiency while ensuring a consistent user experience. The unified software platform supports rapid adaptation and optimization across multiple chip products, providing users with seamless cross-product compatibility that lowers the barriers to use. This platform-based strategy not only accelerates product iteration and innovation but also strengthens our competitive edge in the intelligent computing ecosystem, delivering users an efficient, stable, and consistent computing experience. We have implemented a highly effective “1+1+N+X” platform strategy that can be summarized as “1” GPU architecture + “1” unified software platform, deriving “multiple” chips and a “comprehensive” portfolio of products, to enable “diverse” use cases.



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As AI adoption continues to expand, a growing number of companies across diverse industries are creating innovative AI-enabled products and services, significantly increasing the demand for computing power. Key sectors, including AI data centers, AI solutions and Internet, are at the forefront of the race, significantly increasing their investment in computing power and related infrastructure. Moreover, leading companies within these industries account for the majority of capital expenditures on computing power. Hence, we implement the strategy that targets key industries with high demand for computing power, and form strategic partnerships with large customers in each industry. These selected key industries include AI data centers, telecommunications, AI solutions, energy and utilities, financial technology, and Internet. With localized expertise and on-the-ground customer support, our solutions are designed to address unique needs of these customers.

- We started to generate revenue from our intelligent computing solutions in 2023. During the year ended December 31, 2024 and for the six months ended June 30, 2025, we had 14 and 12 customers for our Specialist Technology Product, respectively, contributing a revenue amounted to RMB336.8 million and RMB58.9 million, respectively.
- As of the Latest Practicable Date, we had 24 unfulfilled binding orders for our Specialist Technology Product with a total value of approximately RMB821.8 million.
- In addition, as of the Latest Practicable Date, we have entered into five framework sales agreements and 24 sales contracts for our Specialist Technology Product with a total value of approximately RMB1,240.7 million, which will contribute to our future revenue when realized.

Our Talent and Culture

We have a strong R&D team. As of June 30, 2025, we had 657 employees focused on research and development, accounting for approximately 83% out of our total employees. Over 78% of our R&D staff held master or doctor degrees from renowned universities. We have over 210 R&D staff with more than 10 years industry experience, consisting of over 33% of our total R&D staff.

Our culture is defined by “R.E.C.I.P.E.”, which stands for Responsibility, Excellence, Collaboration, Innovation, Pragmatism, and Empowering. Benefiting our culture established since day one, we have built a strong and experienced team with proven track record. We have won Best Workplaces in Asia 2023 from Great Place to Work due to our high Trust Index and Culture Audit results.

Innovation is at the heart of our culture and allows us to continue to enhance and expand our solution offerings. As of June 30, 2025, we submitted 1,158 self-developed invention patent applications, which is the biggest number among GPGPU companies in China according to CIC, and 67 other related patent applications globally, and have obtained 388 invention patents and 58 other related patents with 100% grant rate.

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Open collaboration is a key strategy for us to cultivate a thriving ecosystem. We work with leading universities to grow and strengthen our developer ecosystem, including Tsinghua University, Fudan University, Shanghai Jiao Tong University, and Zhejiang University. We are cultivating a developer community by sharing our BIRENSUPA platform with universities, research institutes and developers. We encourage developers to develop deep learning algorithm applications based on BIRENSUPA and provide extensive tool kits, training materials, and developer supports. We also embrace different types of open-source communities, enabling us to reach more developers.

COMPETITIVE STRENGTHS

We believe that the following competitive strengths have contributed to, and will continue to contribute to our success and differentiate us from our competitors.

Advanced Technology and Solution in General Intelligent Computing

We provide integrated general intelligent computing solutions. We self-developed our entire GPGPU architecture from ground up. Our solutions encompass a set of architecture innovations and advanced technologies, providing superior performance, efficiency and scalability that can be applied in large-scale training and inference for a wide variety of AI algorithms and scenarios. Our technology excellence is evidenced by the following:

- We differentiate ourselves from AI chip companies in China through our dedication to and expertise in GPGPU architecture. For example, we have developed the BR10X – a general-purpose and high-performance computing architecture tailored for AI workloads. This architecture delivers efficient processing for both transformer-based large language models (LLMs) and traditional AI compute kernels, while ensuring forward-compatibility with emerging AI paradigms. By integrating general-purpose flexibility with dedicated AI acceleration, BR10X facilitates seamless adaptation to rapid algorithm advancements, fulfilling the dual demands of AI performance optimization and general-purpose computational flexibility;
- We possess technology capabilities in full stack innovation, solidifying our competitive edge in China’s GPGPU landscape. We have implemented advanced technologies including high-speed interconnection, high bandwidth memory, chiplet package into products to advanced packaging to address the exponential growth in AI workloads. We were among the first GPGPU companies in China to utilize PCIe Gen 5, CXL, high performance DRAM and dual-die chiplet design in commercialized products, according to CIC. We were among the first GPGPU companies in China that successfully developed, prototyped and mass-produced high-performance OAM and Universal Baseboard, according to CIC;

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- We possess the highest number of invention patent submissions among GPGPU companies in China as of December 31, 2024, according to CIC;
- Both our GPGPU chip and servers containing our GPGPU chips (independently submitted by our server partner) won the first place in language processing model BERT and image classification model ResNet50 in the closed division in MLPerf Inference 2.1 among available category;
- We were the first and only GPGPU company in China to be invited to speak at Hot Chips Conference Opening Session, known as one of the semiconductor industry’s leading conferences, according to CIC;
- We won the SAIL Award at WAIC 2022 and 2025, which is one of the most prestigious awards in intelligent computing, according to CIC;
- We were among the earliest GPGPU companies in China whose products are commercially deployed in one thousand chip clusters, according to CIC. Moreover, the one thousand chip cluster continuously run more than 5 days without any software or hardware interruption, and more than 30 days without training service interruption which proved the strong stability and fault tolerance capability in large scale training;
- We were the only GPU and intelligent computing cluster company who won the Excellent Typical Cases of 2024 Future Industrial Innovation and Development in Iconic product segments; and
- We won New Quality Productivity Industry Practice “Artificial Intelligence” Demonstration Case issued by Global Times Newspaper and China Association for Science and Technology New Technology Development Center, and were the only startup company among the top five winners.

Our technology capabilities play a pivotal role in our early success of commercialization. Our highly competitive solutions make us the go-to-choice for industry-leading customers in China who are seeking domestic supplies. Our solutions, technologies and know-hows poised us for commercial deployment of intelligent computing clusters containing more than ten thousand GPGPU chips.

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Comprehensive Software Ecosystem

We focus on end-to-end co-design and co-optimization of our hardware systems and software platform. We have developed an integrated intelligent computing solution comprising two key components: (i) GPGPU-based hardware systems, and (ii) BIRENSUPA, our computing software platform. As of the Latest Practicable Date, we have launched a diverse range of GPGPU-based hardware products with different configurations, catering to various market segments, from cloud-based training and inference to edge inference. The scalable and programmable nature of our GPGPU architecture, combined with the BIRENSUPA software platform, enables our solutions to be deployed at scale and to serve multiple markets while maintaining a consistent technology foundation. Leveraging this core architecture, we efficiently develop a broad portfolio of solutions that address diverse computing needs.

BIRENSUPA offers a comprehensive software stack, including driver, programming language, libraries, tool chain, AI frameworks, and application interfaces. For customers focusing on in-depth AI model development, we provide an open programming platform with an intuitive programming language and a rich set of debugging and profiling tools. Developers can write C/C++ programming language code and Python model script for building acceleration libraries and optimizing AI models. For those prioritizing seamless integration and rapid production, we offer ready-to-use, end-to-end solutions that minimize deployment effort.

Broad support for open-source communities is critical to the adoption of our solutions. BIRENSUPA supports mainstream deep learning frameworks, including PyTorch, TensorFlow, PaddlePaddle, as well as LLM frameworks such as DeepSpeed, Megatron-LM, and vLLM. Additionally, Our self-developed inference engine, suInfer/suInfer-LLM, is optimized for performance, providing an excellent solution for inference services adoption. We provide native support for a wide range of LLMs and multimodal workloads, including DeepSeek, GPT, LLaMA, Stable Diffusion, ChatGLM, Baichuan, and Qwen. Furthermore, our platform supports traditional deep learning models across multiple domains, including ResNet50, YOLO for computer vision, BERT, Transformer for natural language processing, Conformer, Tacotron for speech processing, and DLRM for recommendation systems, etc.

Proven Commercialization Results with High-Quality Customer Base

Our strategy is to strategically partner with large customers in key industries with high demands for computing power. As compared to global competitors, our localized expertise in China and on-the-ground customer support enabled us to form strategic partnerships with large customers in key industries, such as AI data centers, telecommunications, AI solutions, energy and utilities, financial technology, and Internet, to understand and address their unique needs. As of the Latest Practicable Date, we have provided solutions to nine Fortune China 500 companies, among which five are also listed in the Fortune Global 500. For example, in September 2023, we entered into a strategic cooperation agreement with a leading IT company in China pursuant to which we will co-develop and provide intelligent computing solutions to build AI cloud infrastructure and support the AI applications in sectors such as intelligent 5G, smart manufacturing, smart cities, finance etc. We are committed to deepening collaborations

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with such customers and completing lighthouse projects. By serving industry leaders and forming partnership with large customers, we expect to accelerate market adoption of our solutions and further penetrate to other players in such industries.

Close relationships with leading customers in each industry also help us expedite our solution deployment and build industry standard solutions. Collaborating with industry leaders will enable us to leverage the deep understanding of industry-specific needs and enhanced reputation to further penetrate into other players in such industries without incurring significant sales and marketing efforts. These industry insights, foresights and experience also allow us to contemplate a forward-looking product roadmap and achieve faster and competitive product iteration with a long-term vision. In addition, we have also forged strong relationships with reputable domestic suppliers, ensuring the performance and supply of our solutions and accelerating our commercialization plans.

Experienced R&D Team with Deep Industry Know-how

Our advanced technologies and solutions in intelligent computing are attributable to our experienced R&D team with deep industry know-how and resources. Moreover, we have attracted and retained a highly qualified R&D team. As of June 30, 2025, we have a R&D team consisting of 657 employees, with more than 78% of our R&D employees have a degree of Master or above from renowned universities. Our R&D team’s expertise spans a wide range of subject areas, including architecture design, SoC design, system design, software engineering, and supply chain management, among others. A substantial portion of our R&D staff is equipped with extensive know-how and expertise over multiple years’ industry experience accumulated while serving other leading semiconductor and information technology companies before joining us. As of June 30, 2025, over 210 members of our R&D team have work experience over 10 years. Leveraging their extensive experience and know-how, we are able to streamline our engineering process and ensure continuous success in our future development. As of June 30, 2025, we submitted 1,158 self-developed invention patent applications, which is the biggest number among GPGPU companies in China according to CIC, and 67 other related patent applications globally, and have obtained 388 invention patents and 58 other related patents with 100% grant rate. To further enhance our R&D capabilities and attract more talent, we have established a postdoctoral research station, and cooperated with leading universities.

Visionary Management with a Proven Track Record of Innovation and Commercialization

Our management team consists of both top scientists and business veterans, offering in-depth insights and strong relationships within the industry value chain. Our founder, Chairman and Chief Executive Officer, Mr. Zhang, has more than 10 years of management experiences in AI and hardware technologies, and has extensive experience in the integrated circuit and artificial intelligence industries and other next-generation information technology industries, with demonstrated achievements in corporate strategy, management and capital markets operation. Prior to founding our Company, Mr. Zhang served as the president of a

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leading AI company in China and was vital to its commercial success. Mr. Zhang was presented with the Shanghai “Magnolia Gold Award” in 2021; “Outstanding Entrepreneur in IT industry in Shanghai” in 2020; “2021 Annual Entrepreneur” awarded by Dark Horse Technology (創業黑馬); and “2022 Annual Entrepreneur” awarded by Cyzone (創業邦). Mr. Zhang is a visiting associate professor at the University of Hong Kong. Mr. Zhou HONG, our CTO, is the chief architect of our GPGPU chip and is responsible for the definition and design of GPGPU architecture. Mr. Hong has nearly 30 years of experience in design and engineering of GPU and has led R&D teams at multiple leading semiconductor companies in China and overseas. Mr. Hong holds over 70 patents globally. We believe that our visionary management and talent pool will keep playing key roles in fulfilling our mission as we continue to expand and attract more vision-sharing talent.

OUR STRATEGIES

We strive to achieve our long-term goal of enabling technology advancements and accelerating the applications of artificial intelligence. To achieve this goal, we intend to pursue the following strategies.

Continue to Invest in Self-developed Core Technology

Our success is driven by our capabilities to continuously improve our core technologies underlying our solutions. As such, we will continue to invest in our research and development capabilities, particularly with respect to our core technologies including self-developed computing cores, NoC, high-speed IO and SoC design to further enhance self-sufficiency and self-control of our core technologies.

We are also focusing on the research and development of other related advanced technologies to enable system-level and cross-domain innovation, enhance AI computing system performance and scalability, and reduce the cost of large model training and deployment, which will allow wider application of AI across diverse industries and application scenarios. For example:

- 3D stacking technology, which enables vertically stacking and packaging multiple-layer chips, integrates more transistors and memory, improving chip computing density and memory bandwidth;
- CPO (co-package optics), which integrates optical modules with GPUs to shorten transmission distance and reduce energy consumption, applied to GPU clusters interconnects with tens of thousands of chips in large-scale data center;

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Further Develop and Optimize Our Solutions

We have been investing in, and will continue to invest in the development and optimization of our solutions, which we believe are critical to our long-term success. Leveraging our technology capabilities, we will continue to upgrade our solutions comprehensively in terms of architecture, SoC, hardware systems and software platform, to address customers’ evolving business needs and create value for them. To better accommodate the increasingly intensive computing demand from generative AIs, we will further enhance our products with larger and faster memory, faster interconnection, etc., and enable larger scale cluster capability with better reliability and manageability. For the evolution of our intelligent computing hardware, specifically, we plan to develop and upgrade our existing GPGPU chips and next-generation GPGPU chips, such as BR20X and BR30X, as well as develop GPGPU-based hardware powered by our existing and next-generation GPGPU chips. We also focus on further enhancing the general-purpose flexibility, compatibility and ease-of-use of our software platform, which will help accelerate the rump-up of our solutions among customers. For development and upgrade of our software platform, specifically, we plan to expand the array of training and inference models supported by our intelligent hardware and BIRENSUPA software stack, enhance each part of our software platform, and build our own software development infrastructure, encompassing software testing and release, which could further improve our customers’ growing demands.

Enhance Our Open Ecosystem

We will continue to build a vibrant ecosystem by partnering with all stakeholders, namely customers, suppliers, hardware and software partners, developers and developer communities, and research institutes and universities, etc. In particular, we will (i) optimize the performance of our products based on feedback from software developers and application partners, (ii) participate in curriculum development, and contribute to talent cultivation for the AI industry, (iii) foster developer communities to share resources, gather feedback, and drive continuous ecosystem improvement, and (iv) collaborate with upstream and downstream industry players to form alliances that enable full-stack integration across chip, model, and platform layers. Close collaboration with these partners will help increase our brand awareness and accelerate the adoption and commercialization of our solutions. Moreover, by collecting and adopting feedbacks from our customers and partners, we will iterate on and productionize our solutions faster, maintain a forward-looking perspective on customer needs and stay ahead of industry trends and AI advancement.

Enhance Our Commercialization Capabilities

We are committed to the commercialization of our solutions. On the one hand, we will continue to create value for customers with our solutions to enhance our competitive edge. We aim to further enhance the performance, general-purpose flexibility, compatibility and stability of our solutions with lower TCO. On the other hand, we will continuously acquire valuable experience and industry know-how from serving existing customers. We have strategically expanded our footprints into selected verticals such as AI data centers, telecommunications, AI

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solutions, energy and utilities, financial technology, and Internet. As we continue to serve vertical leaders, our solutions continue to iterate and optimize based on customers’ feedback. By partnering with industry leaders, we have built proprietary know-how and formed an in-depth understanding of each selected vertical. This empowers us to provide high-quality solutions catering to the specific business needs of customers in those verticals, thereby accelerating the commercialization of our solutions and enhancing customer loyalty.

Specifically, (i) we focus on core application scenarios such as large-scale model training and inference scenarios, where our chips with high computing power have already been deployed in demonstration projects and recognized by leading industry players, (ii) we are building a comprehensive product matrix tailored to diverse customer needs, (iii) we continue to enhance our chip and cluster performance through innovations in architecture and system design, (iv) we are developing a closed-loop model of “algorithm–chip–application,” using real application feedback to train algorithms, guiding chip design, and enabling large-scale deployment, thus forming a self-reinforcing commercialization cycle, (v) we actively promote our products through industry exhibitions, academic conferences and social media, and (vi) we maintain close cooperation with upstream and downstream partners to ensure stable supply, expand software ecosystem coverage, and facilitate application-side adoption, thereby creating a favorable environment for commercialization.

Attract and Retain Talent

We intend to expand our talent pool of scientists and engineers to augment our capabilities in hardware design, software development and system solution on a continuous basis, including (i) approximately 65 engineers specialized in GPGPU architecture, SoC design, SoC verification and SoC front-end integration; (ii) approximately 20 engineers specialized in PCIe design, post silicon high-speed IO system and ATE (automated test equipment) test development; and (iii) approximately 50 engineers specialized in distributed training, intelligent inference platform engine, software repository optimization and heterogeneous computing. We believe that qualified and experienced R&D employees are crucial to sustain our capabilities in the core technologies and the ongoing optimization of our solutions. We also plan to retain our existing talent pool by offering competitive compensation and cultivate talent internally by providing regular trainings.

OUR INTELLIGENT COMPUTING SOLUTIONS

We have self-developed GPGPU-based integrated intelligent computing solutions. Our integrated intelligent computing solution comprises of two components, namely, (i) GPGPU-based hardware systems and (ii) BIRENSUPA, a computing software platform. To better meet our customers’ demands for large-scale intelligent computing power, we offer intelligent computing cluster as a total solution by integrating our hardware systems and software platform with other hardware infrastructure such as servers, storage, and networking equipment provided by partners. During the Track Record Period, we did not separately sell the

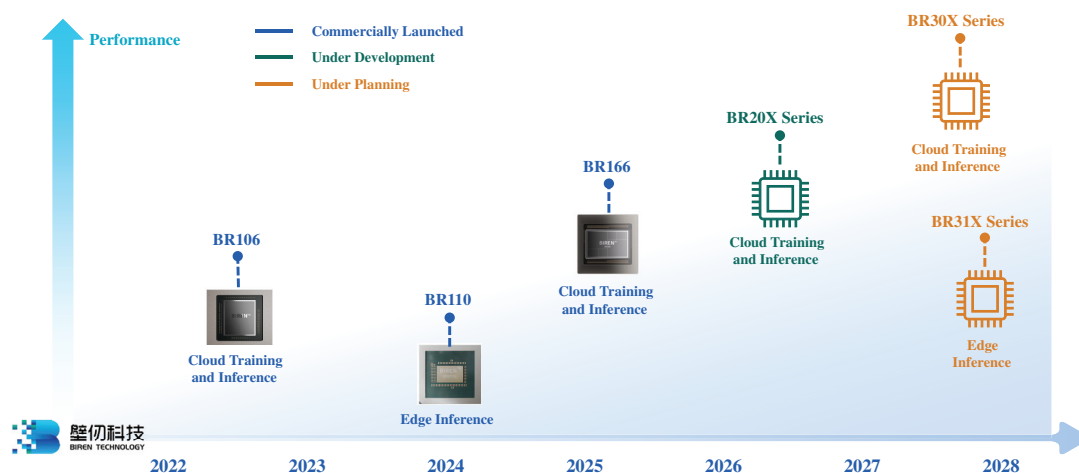
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GPGPU-based hardware systems without our BIRENSUPA software platform. We confirm that all our intelligent computing solutions fall under the acceptable sector of “semiconductors” pursuant to paragraph A.2 of Chapter 2.5 of the Guide, as we primarily engage in the design of GPU chips.

Self-developed GPGPU-based Hardware Systems

Since 2019, we have developed our first-generation GPGPU architecture, upon which we have successfully developed two chips, namely BR106 and BR110, and developed a family of GPGPU-based hardware. We achieved mass production of BR106 in January 2023, and mass production of BR110 in October 2024. We utilize chiplet technologies and advanced chip-to-chip interconnect to launch BR166 chip products with higher performance by co-packaging two BR106 chip dies. Our GPGPU chips are compatible with mainstream third-party software platforms. The key components of GPGPU-based hardware, are our GPGPU chips which are integrated into industry standard hardware form factors such as PCIe cards and OAM. Based on customer requirements, we market and sell PCIe cards, OAMs, GPGPU servers or server clusters with different configuration. We refer to this entire portfolio as our GPGPU-based hardware systems.

Our product roadmap is illustrated in the following diagram.



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BR106 Chip – for Training and Inference

BR106 is a GPGPU chip designed for large-scale computing. BR106 is dedicated to addressing the computing demands for AI training and inference, with augmented goals of increasing productivity and reducing total cost of ownership. BR106 supports up to 4 independent secure virtual instances, 32-channel encoder and 256-channel decoder for 1080p and 30fps videos under H.264/H.265 standards and is equipped with a state-certified hardware security engine. BR106 offers flexible, efficient, secure and diverse computing solutions for AI training and inference applications.



BR106 GPGPU Chip

BR106 is shipped in OAM and PCIe card form-factor. Based on the needs of customers, BR106 is primarily offered in four models, namely (i) BILI 106M in air-cooled OAM, which is suitable for large scale AI training and inference applications; (ii) BILI 106L in liquid-cooled OAM, which is suitable for super large scale AI training and inference applications; (iii) BILI 106B in 2-slot FHFL PCIe card, which is suitable for AI training and inference applications; and (iv) BILI 106C in PCIe card, which mainly targets inference applications.

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BR166 Chip – for Training and Inference

We have utilized chiplet technology to integrate two BR106 dies and four DRAM into a single package, and launched our high-performing BR166 chip. BR166 doubles the performance of BR106 in terms of peak computing power, memory, video encoding and decoding, and interconnects. In addition, the maximum D2D (die-to-die) bidirectional bandwidth between two BR106 dies can reach up to 896GB/s, ensuring high-speed internal data interaction between two dies.



BR166 GPGPU Chip

BR166 is shipped in OAM and PCIe card form-factor. Based on the needs of customers, BR166 is primarily offered in three models, namely (i) BILI 166M in air-cooled OAM, which is suitable for large scale AI training and inference applications; (ii) BILI 166L in liquid-cooled OAM, which is suitable for super large scale AI training and inference applications; and (iii) BILI 166C in 2-slot FHFL PCIe card, which targets at AI inference applications. Our BILI 166L and BILI 166M entered mass production in August 2025, and our BILI 166C entered mass production in December 2025.

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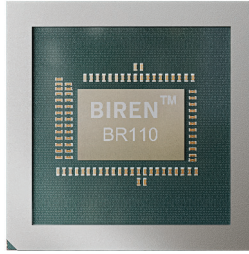
Built upon BR106 and BR166 chips, we have developed a comprehensive portfolio of GPGPU hardware systems such as PCIe Card, OAM, servers and multi-server clusters, with major product models summarized in the following table:

	GPGPU-based Hardware	Form Factor	Encoder/Decoder	Bi-directional Interconnection Bandwidth	Thermal Design Power (“TDP”)	Major Target Market	Current Status
BR106	BILI 106L	 OAM (liquid cooled)	32-channel/ 256-channel	256GB/s	400W	Cloud Training and Inference, especially for large-scale models	Commercially launched
	BILI 106M	 OAM (air cooled)					
	BILI 106B	 PCIe card		192GB/s	300W	Cloud Training and Inference	Commercially launched
	BILI 106C	 PCIe card		128GB/s	150W	Cloud Inference	Commercially launched
BR166	BILI 166L	 OAM (liquid cooled)	64-channel/ 512-channel	576GB/s	600W	Cloud Training and Inference, especially for large-scale models	Commercially launched
	BILI 166M	 OAM (air cooled)		576GB/s	550W		
	BILI 166C	 PCIe card		512GB/s	450W	Cloud Inference	Commercially launched

BR110 Chip – for Inference

BR110 is our first generation edge and cloud inference chip. It is a cost-effective, energy-efficient solution mainly designed for inference workload at the edge. Powered by the same architecture as BR106, BR110 offers multi-precision performance and runs on the ready-for-use BIRENSUPA software platform. BR110 supports up to 4 independent secure virtual instances, 16-channel encoder and 160-channel decoder for 1080p and 30fps videos under H.264/H.265 standards and is equipped with a state-certified hardware security engine. BR110 offers flexible, efficient, secure and diverse computing solutions for cloud and edge inference applications.

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BR110 GPGPU Chip

BR110 can be applied in embedded edge computing scenarios, such as industrial control systems, robots and other embedded devices.

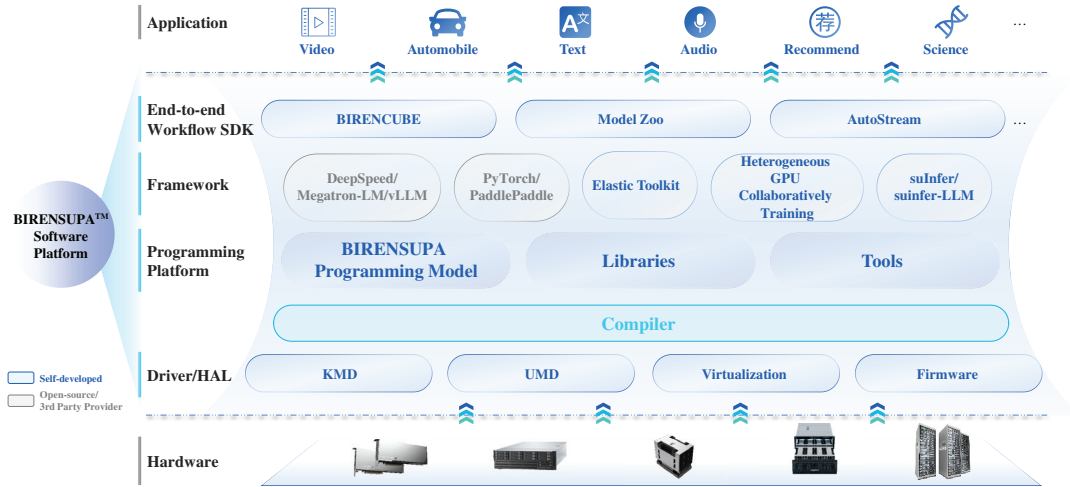
Future Generation Chips

In addition to our existing product portfolio, we are planning to launch our next generation flagship data center chip, BR20X series for cloud training and inference, which is developed based on our second generation architecture. We expect BR20X to deliver enhanced computational power per card with our mature chiplet design in the first generation product while adding native support to a broader range of data formats such as FP8, FP4, etc.. BR20X is equipped with larger and faster memory, higher interconnect bandwidth, and a super-node system design as compared to our current products. These enhancements aim to significantly boost the performance for large model training and inference, thereby increasing business value and reducing the TCO for our users. We have completed the architecture design for BR20X and are currently in the process of physical design and verification for tape-out. BR20X is expected to be commercially launched in 2026. Furthermore, as part of our continuous innovation efforts, we are concurrently planning the future-generation BR30X products for cloud training and inference, and BR31X for edge inference, which are expected to be commercially launched in 2028. We are in the process of conducting feasibility analysis and preliminary R&D on BR30X and BR31X products. We expect BR30X and BR31X to deliver increased computational power, large memory capacity, enhanced ecosystem adaptability, improved scalability and reduced TCO. With the launch of future-generation products, we also expect to continue to offer our existing products based on customer demands.

BUSINESS

BIRENSUPA – Software Platform

Our GPGPU-based hardware is operated using our self-developed software platform, BIRENSUPA. It is a software stack built on top of our GPGPUs for developing AI applications. Our BIRENSUPA software platform consists of multiple layers (driver, library, programming platform, machine learning framework, solution), which are designed to optimize performance, enhance development efficiency, and support a wide range of AI applications.



- Base Software/Driver: The base layer bridges hardware and software, enabling the operating system to recognize and manage GPGPU hardware. It includes kernel-mode and user-mode drivers, virtualization, and multi-GPU support. Our drivers facilitate efficient data transmission and multitasking across various computing and storage architectures while ensuring compatibility with different GPGPU models and operating systems. Our virtualization software allows physical devices to be partitioned into multiple virtual machines or containers, ensuring security, isolation, and service quality for AI applications.
- The programming platform includes the BIRENSUPA programming model, compiler, libraries, and developer tools.
 - o The BIRENSUPA programming model, compatible with industry prevailing GPGPU programming model as well as featured with Biren GPGPU architecture unique programming abstraction, enables developers to efficiently create acceleration libraries and AI applications using C/C++ programming language.
 - o Our self-developed GPGPU compiler optimizes resource utilization and enhances development efficiency by translating high-level code into Biren proprietary instruction set.

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- o We provide a range of self-developed libraries, including suDNN library for deep neural networks, suBLAS library for high-performance mathematical operations, SCCL (SUPA Collective Communications Library) for efficient multi-GPU communication, and more for other acceleration domains.
 - o To further support developers, we offer performance profilers, debuggers, and sanitizers to optimize application performance and diagnose errors effectively.
- Frameworks: BIRENSUPA supports most mainstream open-source deep learning frameworks, including PyTorch, TensorFlow, and PaddlePaddle. Our self-developed suInfer and suInfer-LLM offer high-performance inference engines and services. We also support open-source large language model (LLM) frameworks such as DeepSpeed, Megatron-DeepSpeed, Megatron-LM and vLLM. To enhance large-scale training reliability, fault tolerance capability and efficiency, we provide the Elastic Toolkit that monitors large-cluster training jobs, detects software or hardware failures, and recovers jobs within minutes, which is very critical for large-scale deployments involving thousands of GPUs. Additionally, our Heterogeneous GPU Collaborative Training (HGCT) module allows seamless integration between GPGPU clusters offered by us and other vendors to create a bigger heterogeneous cluster, enabling massive-scale model training.
- Solutions: We provide ready-to-use AI solutions tailored to customer applications. Our BirenCUBE cloud management platform integrates development, demo, and management tools for multi-user environments, supporting task and resource scheduling across thousands of GPGPU devices. Additionally, Model Zoo hosts AI models natively optimized for BIRENSUPA, allowing customers to deploy pre-trained models or develop their own based on reference implementations.

Intelligent Computing Clusters

Complex AI models and massive datasets require thousands of GPUs or more with exceptionally fast interconnections and a highly optimized software stack. In deep learning, particularly large language models, operators such as extensive matrix operations, convolutions and pooling requires significant computational resources. A single GPU often falls short of meeting the demands of training deep learning algorithms on large-scale data; therefore, a GPU cluster/supernode is employed to fulfill the need for a more efficient computation. A GPU cluster/supernode consists of multiple GPU servers and/or chips that accelerate the training of deep learning algorithms through parallel computing, resulting in enhanced availability, reliability, and scalability. We integrate GPU hardware with high-speed interconnects, networking, and fully optimized AI software stacks to deliver high application-level performance, allowing customers to deploy hardware solutions securely and optimally.

BUSINESS

To meet the rapidly growing global demand for computing power, we are committed to providing comprehensive intelligent computing cluster solutions to meet our clients’ urgent needs for high-performance computing and intelligent applications. These intelligent computing cluster/supernodes center around our self-developed high-performance GPGPU chips and incorporate essential hardware infrastructure – including servers, storage devices, and networking equipment – provided by our partners, alongside our optimized software stack. This forms large-scale computing clusters ranging from hundreds to thousands and tens of thousands of chips. This end-to-end solution includes chip design, hardware integration, software optimization, and system deployment. Our comprehensive intelligent computing cluster solutions not only reduce integration complexity for customers but also significantly shorten the timeline from hardware procurement to application, facilitating a swift transformation towards intelligent operations.

Our intelligent computing cluster solutions undergo systematic optimization, demonstrating powerful performance in practical operations. They ensure stability during prolonged high-load operations and support uninterrupted training tasks, with rapid recovery capabilities in the event of failures. Key performance and technological highlights include:

- *Reliability and performance:*
 - o One thousand chip cluster is able to be used for training for over 30 days without interruption, and over five days without failures;
 - o Industry-first three-level asynchronous checkpoint, enhancing reliability while minimizing overhead;
 - o One thousand chip cluster can recover a hundred-billion-parameter model to the last checkpoint within five minutes, boasting industry-leading speed;
 - o Multiple continuous training sessions achieving zero deviation in loss, and loss continues to decline after training for a month;
 - o Supports mainstream large models with industry-leading performance, achieving a linear acceleration ratio of 95% for one thousand chip cluster;
 - o Automatic parallel optimization of large models, featuring an industry-first asynchronous offload to overcome memory bottlenecks;
- *General-purpose Flexibility and compatibility:*
 - o Comprehensive model coverage, collaborating with upstream and downstream partners to build a large model ecosystem supporting over 50 types of language models, text-to-image, image-to-text and video generation models;

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- o Open ecosystem, compatible with three types of heterogeneous acceleration platforms;
- o Supports supernode with high scalability and flexible topology through various interconnection approach, including optics direct connection and optical circuit switch etc. to run large models more efficiently.

Through our comprehensive intelligent computing cluster solutions, we not only provide clients with high-performance computing resources but also assist them in achieving intelligent transformation, promoting the widespread application of AI technology across various industries.

Commercialization

Our Specialist Technology Products can be applied in a wide range of business scenarios and are mainly used by customers in the construction of their intelligent computing infrastructure and the development and application of AI models, including mainstream AI models and the emerging large-scale AI models such as LLMs. We provide support with underlying computing power and corresponding software platform to meet customers’ growing demand for computing power, to help to improve their capability in AI development and utilization, and ultimately to enhance their innovation capabilities, operating efficiency and competitive edge. Our strategy revolves around forming ecosystem partnerships and scalable, replicable infrastructure solutions for leading companies in selected key industries with high demands for computing power, such as AI data centers, telecommunications, AI solutions, energy and utilities, financial technology, and Internet. We collaborates with strong ecosystem partners to penetrate key markets and serve industry-leading customers. As of the Latest Practicable Date, we have provided solutions to nine Fortune China 500 companies, among which five are also listed in the Fortune Global 500. We have also attracted multiple repeat purchases from key customers.

We are committed to further strengthen our commercialization capabilities. In 2024, we had 14 customers for our Specialist Technology Products, contributing a revenue amounted to RMB336.8 million. As of the Latest Practicable Date, we had 24 unfulfilled binding orders for our Specialist Technology Product with a total value of approximately RMB821.8 million. In addition, as of the Latest Practicable Date, we have entered into five framework sales agreements and 24 sales contracts for our Specialist Technology Product with a total value of approximately RMB1,240.7 million, which will contribute to our future revenue when realized.

Our GPGPU hardware systems and BIRENSUPA software platform are offered in a bundle as an integrated intelligent computing solution. We started to generate revenue from our intelligent computing solutions in 2023, and our revenue are recorded on a transaction-basis. Customers select the types of hardware form factors based on their needs. The pricing of our solutions is determined based on various factors such as product models, competitive landscape, customer’s strategic value and order volume, and costs of procurement and production.

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The following table sets forth key metrics of our Specialist Technology Products for the periods indicated:

	For the years ended December 31,			For the six months ended June 30,	
	2022	2023	2024	2024	2025
Number of customers⁽¹⁾	–	12	14	4	12
Number of new customers ⁽²⁾	–	12	13	3	6
Number of transactions	–	14	36	9	33
Average transaction value (RMB in million)	–	4.4	9.4	4.4	1.8

Note:

- (1) Refer to customers from whom we generated revenue in the given period.
- (2) Refer to customers from whom we generated revenue in the given period but who were not our customers historically. In each period during the Track Record Period, the number of new customers accounted for 50% or above of the number of total customers primarily because (i) we are at a relatively early stage of commercialization and is rapidly expanding to secure new customers, and (ii) existing customers purchase additional intelligent computing solutions from us based on their business needs, which will not necessarily result in repeat purchases in each period during the Track Record Period.

In 2023, as we just started to generate revenue from our intelligent computing solutions, customers mainly purchased our intelligent computing solutions primarily for trial. In 2024, we mainly collaborate with leading players in the selected industries with strong demands for computing power, which resulted in a significant increase in our average transaction value from RMB4.4 million in 2023 to RMB9.4 million in 2024. Our average transaction value decreased from RMB4.4 million in the six months ended June 30, 2024 to RMB1.8 million in the six months ended June 30, 2025, primarily because revenue in the six months ended June 30, 2024 was mainly contributed by a single large customer with fewer transactions but higher transaction value, whereas in the six months ended June 30, 2025, revenue was contributed by several large customers as our commercialization further progressed, who placed orders in multiple batches based on specific needs, thereby lowering the average transaction value.

During the Track Record Period, we have not recorded sales of our BR166 chip yet. The following table sets forth the sales volume of our BR106 and BR110 chips for the periods indicated:

	For the years ended December 31,			For the six months ended June 30,	
	2022	2023	2024	2024	2025
BR106	–	590	9,344	600	2,216
BR110	–	–	298	–	22

BUSINESS

In the first half of 2025, we recorded an increase in the sales volume of both BR106 and BR110 chips as compared to the same period in 2024 as a result of our commercialization efforts. As a result of the timing of sales contracts and order fulfillment, we recorded higher sales volume in the second half of 2024 as compared to the first half of 2024, and we expect to experience a similar pattern in 2025. Moreover, as a result of the strong demand for our products, we expect continued year-on-year growth in sales volume of BR106 for the full year of 2025 as compared to 2024, and the commercialization of the new BR166 will also drive the growth in sales volume of our chips in 2025.

Case Studies

Collaboration with A Leading Ecosystem Partner in the IT Industry

We established close partnership with a leading system integrator in IT industry (“IT Company A”). In September 2023, we entered into a strategic cooperation agreement with IT Company A pursuant to which we will co-develop and provide intelligent computing solutions to build AI infrastructure and support the AI applications in sectors such as telecommunications, AIDCs and enterprises etc. IT Company A’s leadership in 5G infrastructure and AI-driven telecom services, combined with our GPGPU technology, allows us to develop turnkey solutions and infrastructure, and access to its telecom operator and enterprise clients. The partnership enables joint go-to-market initiatives, where both parties co-identify sales opportunities, share technical resources, and develop integrated solutions to address industry-specific challenges.

In November 2023, we entered into a sales framework agreement with IT Company A for our Specialist Technology Products with a total value of approximately RMB368 million. In the same month, we received the first binding sales order under the sales framework agreement for our Specialist Technology Product with a total value of approximately RMB35 million. IT Company A purchased our GPGPU products for (i) integration into AI servers, and (ii) the delivery of 1,000-GPU intelligent computing cluster projects. To capture the enormous market opportunities in computing power and satisfied with the performance and quality of our products delivered under the first order, IT Company A placed the second binding sales order in April 2024 under the sales framework agreement for our Specialist Technology Product with a total value of approximately RMB137 million, and placed the third binding sales order in April 2024 under the sales framework agreement for our Specialist Technology Product with a total value of approximately RMB31.4 million.

Industry-focused, Customer-centric Sales Approach

We employ an industry-focused, customer-centric approach to secure large enterprise customers with telecommunications as a core vertical. We have established partnerships with China’s three largest telecom operators addressing diverse procurement needs. By embedding our solutions across the customer’s value chain – from R&D initiatives to large-scale AI data center (AIDC) projects – we drive sustained engagement and cross-selling opportunities.

BUSINESS

In September 2024, we collaborated with our IT partner to deliver a 1024-GPU intelligent computing cluster in Nanjing, Jiangsu Province (“Nanjing 1024-GPU Cluster”) for a telecommunication client, with a total contract value of RMB180 million. The cluster deploys 1,024 BILI 106M across 128 servers, optimized for large-model training. Our IT partner provided storage, networking, and integration services, overseeing end-to-end cluster deployment.

The solution leverages asynchronous offloading and automated large-model optimization to reduce memory overhead while achieving 95% linear scalability, delivering end-to-end performance. This project underscores our capability to design and deploy mission-critical intelligent computing infrastructure at scale, positioning us competitively for future ultra-large-scale AIDC projects involving tens to hundreds of thousands of GPUs.

Building on the success of the Nanjing 1024-GPU Cluster project, we have secured multiple strategic contracts with telecommunication operators, including GPGPU server procurement agreements and the deployment of 5G New Calling – a next-generation service powered by 5G networks to deliver AI-enabled features such as real-time speech-to-text conversion and multilingual translation. We are also developing other large-scale intelligent computing cluster projects for telecommunication operators. These multi-dimensional collaborations across diverse projects and use cases underscore our proven capabilities in driving sustained commercialization and scaling mission-critical solutions within telecommunication ecosystems.

CORE TECHNOLOGIES APPLIED IN OUR SPECIALIST TECHNOLOGY PRODUCT

As a result of our continuous investment in research and development, we have a large number of core technologies that empower our Specialist Technology Product. The development of GPGPU hardware system and related software platform require strong research and development capacities. Our core technologies primarily cover the following aspects: GPGPU architecture, SoC design, hardware system design, and software technologies. As of the Latest Practicable Date, we had 613 patents, 40 copyrights and 16 layout-design of integrated circuits in the PRC and overseas. See “Business – Intellectual Property” for details.

Architecture Design

Biren unified GPGPU architecture for training and inference has achieved strong performance, high power-efficiency, and high general-purpose flexibility to reduce TCO for customers. Leveraging our GPGPU architecture, we are able to develop products at different scale to serve a wide array of use cases and markets built on a unified platform.

BUSINESS

The following diagram illustrates the design of our GPGPU architecture:

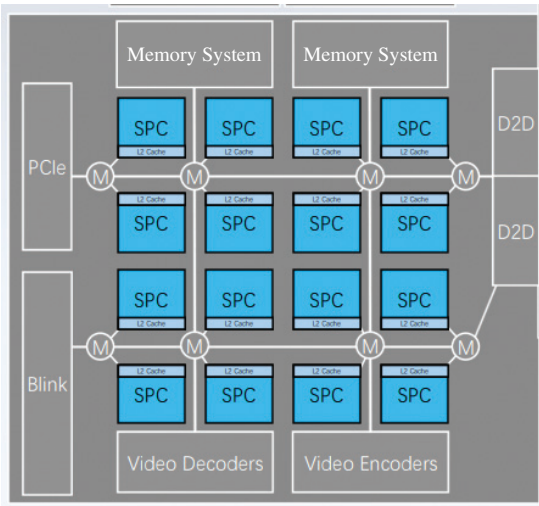


Figure: Full chip block diagram

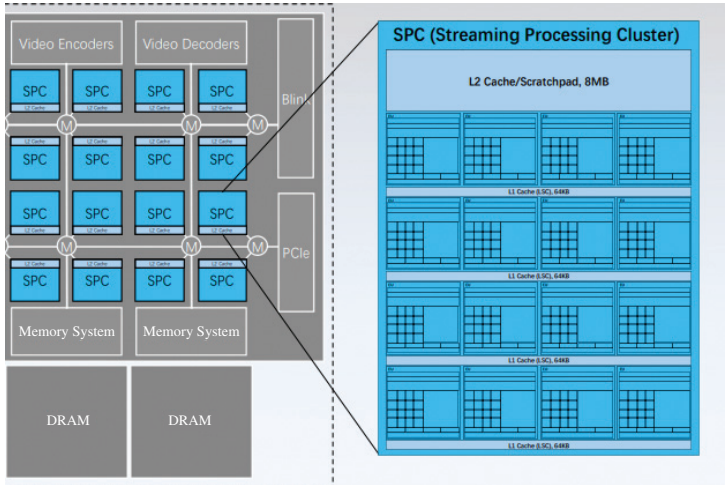


Figure: Streaming Processing Cluster block diagram

BUSINESS

In order to achieve these unique features, we have incorporated a lot of innovations in our architecture:

- **Excel at both general-purpose flexibility and AI acceleration** – We use the single instruction multi-thread (“SIMT”) architecture which is a classic GPGPU architecture. SIMT architecture is a cornerstone of modern GPU design, enabling them to handle complex, parallel computations efficiently. It is ideal and flexible for a wide range of applications, especially in AI/ML algorithms.
- **Advanced Tensor Core Architecture** – Our specialized tensor engine, T-core, adopts a special design which significantly reduces the frequency of repeated data retrieval from DRAM during matrix operations, supporting data recycle and decreasing the bandwidth requirements for AI matrix computing, thereby greatly enhancing energy efficiency and computational effectiveness.
- **Asynchronous Data Transfer with Multicasting** – We offer data multicast technology for matrix computing in AI. Large matrix computing typically involves significant data reuse, and multicast technology allows data to be read from DRAM once and simultaneously supplied to different computational cores. This approach significantly enhances computational speed while reducing energy consumption.
- **Near memory computing** – Our chips incorporate storage technologies such as NUMA, UMA, and L2 Reduction, enabling data to be automatically stored close to the computing cores and facilitating reduction calculations through L2. This technology reduces the need for data to be fetched from distant DRAM, thereby improving data retrieval efficiency.

SoC Design

In terms of SoC design, we have continuously accumulated technologies throughout the process, covering SoC architecture, memory system, multi-GPU interconnections, SoC testing, SoC design flow, and chip package design.

- **SoC architecture:** Based on the AI application scenarios and the targeted market segments of chips, we flexibly assemble different numbers of SPC cores with various types of heterogeneous computing modules, and define the memory system and interconnection structure accordingly. In addition, our SoC is designed to support computing on cloud and edge and enables the virtualization of cloud computing resources.
- **Memory System:** Our design technologies are capable of integrating various types of dynamic random-access memory protocols. With features such as multi-channel access, data pack scheduling and sorting, and cache prefetching, our SoC design significantly improves the effective bandwidth access for AI applications and reduces latency for memory access.

BUSINESS

- **Multi-GPU Interconnections:** We integrated high-speed Serializer/Deserializer (SerDes) that enables high-speed communications while minimizing the number of input/output pins and interconnections. We also developed our proprietary BLink system that improves the scalability of intelligent computing clusters. Traditional GPU cards can only connect with server hosts, but our BLink technology enables connections between GPU cards, with a maximum bidirectional data transfer rate up to 64GB/s per link and 4-8 links in total. In addition, we are the first GPGPU company in China to achieve point-to-point full mesh topology for eight GPU cards in a single server, according to CIC. Moreover, we are also collaborating with industry-leading business partners in China and took the lead in the commercial launch of GPU optical interconnection technology in China, promoting the future of all-optical networks and co-packaged optics technology to further enhance interconnection performance and efficiency.
- **SoC Testing:** We utilize design-for-testability technology and perform features scanning, built-in self-test, yield analysis and diagnosis throughout the product development process. Based on testing results, our firmware can harvest non-full functioning chips and create down-bin products. These are essentials to tests undertaken as part of the manufacturing process to ensure the functionality of our GPGPUs, laying a foundation for successful mass production. We also creatively bring functional tests to wafer probing stage, which will greatly increase downstream testing yields.
- **SoC Design Flow:** Our multi-level partitioning technology and module multiplexing technology in terms of placement and routing effectively simplifies the physical design for complex modules, enhances the scale of chip design. Our algorithms are able to reduce latency and enhance frequency for chips. In addition, during the physical design process, our fast-timing closure technology ensures temporal consistency, reduces the number of temporal iterations, which result in expedited physical design process. In terms of optimizations, our energy efficiency optimization technologies enable tailored optimizations for chips applied in different scenarios, and our yield optimization technologies analyze and optimize power network for chips, thereby extending useful lives for our GPGPU products. All above techniques intertwine together to guarantee our first-time right tape-out and higher manufacturing yield.

BUSINESS

- **Chip Package Design:** In order to develop more efficient and scalable solutions for increasingly complex systems, we adopt chiplet technology in our chip design methodology. The chiplet approach is a critical strategy for addressing the limitations of traditional monolithic IC fabrication. This flexible, scalable and cost-effective technology can lead to a quicker time-to-market of our complex GPGPU chip. Our chiplet design also leveraged advanced chip packaging technologies, which significantly increases the integration of chips and memory bandwidth. Such technologies involve stacking and connecting multiple dies (such as GPU SoCs, memory, etc.) into a single package, leading to better overall performance. It is particularly useful in AI training workload, cloud computing, and applications requiring high-speed data processing and minimal latency.

Hardware System Design

We have developed comprehensive hardware system design capabilities that can support various hardware form factors containing our self-developed GPGPUs, such as PCIe, OAM, UBB, servers and server clusters. We followed Open Compute Project Standard. Our product line covered 75W edge computing to 450W PCIe/600W OAM form factor. Our next generation design will move up to 700W air-cooling and 1000W liquid cooling. Our UBB can connect up to eight OAM cards with multiple topologies using our in house P2P interface. Next generation, we will design more flexible and powerful SerDes connection to scale up our system. Our comprehensive design and simulations technologies for serial data communications at system-level enables the reliable and stable communication between cards and systems. With our know-hows in signal integrity simulation, our system reached high frequency and high density. Moreover, our solid system-level power distribution design, backed by our signal integrity and power integrity simulation know-hows, provides stable power supply under different working modes of AI applications.

Software Technologies

In addition to hardware-level innovations, we have developed a suite of software technologies that empower developers to fully utilize the computational and communication capabilities of our GPGPUs.

- **Advanced Compiler Optimizations for AI Workloads:** Our compiler technology integrates advanced code generation and optimization techniques to translate AI applications written in high-level programming languages (C/C++) into highly optimized machine code for the Biren GPGPU instruction set. This includes sophisticated loop transformation, instruction scheduling, register allocation strategies designed specifically to maximize parallel execution efficiency. Our industry-unique warp management and register allocation algorithms enable the collaborative warp mechanism in the Biren GPGPU architecture, ensuring optimal resource utilization for workloads with varying computational intensity.

BUSINESS

- **An Easy-to-Use GPGPU Programming Model:** BIRENSUPA programming model is designed to be fully compatible with industry-standard GPGPU models, ensuring seamless portability while offering unique extensions tailored to our architecture. These extensions, abstracted as a set of easy-to-use APIs, such as Mega-Kernel, Tensor Core intrinsic, and kernel co-routine, provide direct access to hardware features, including the large-scale tensor core, near-memory computation, and a high-bandwidth on-chip memory buffer, all essential for accelerating deep learning workloads.
- **High-Performance Computation and Communication Acceleration Libraries:** We provide optimized libraries accelerating core AI and mathematical operations for machine learning training and inference. Utilizing advanced techniques like graph analysis, operation fusion, and Just-in-Time compilation, these libraries maximize Biren GPU compute resources. Our communication library leverages Biren GPU computation cores and dedicated direct memory access engines to accelerate data transfer across diverse network topologies, including our BLink intra-node/super-node channels and large scale GPU clusters. These libraries can also integrate with Biren ML frameworks to enable computation-communication overlap, optimizing overall performance.
- **Graph-Level Optimizations for Deep Learning Frameworks:** We have integrated advanced graph-level optimization and operator fusion techniques into deep learning frameworks to further enhance training and inference performance. These techniques improve memory efficiency by increasing data reuse across computational sequences, thereby reducing memory bandwidth requirements. Additionally, they improve computation and communication concurrency by overlapping data movement with computation, minimizing idle time and reducing CPU-side control overhead.
- **Efficient Memory Management for Large-Scale AI Training:** As AI models continue to grow in scale, memory efficiency becomes a critical bottleneck. We have developed asynchronous offloading and a GPU-based Chunk Optimizer to significantly reduce device memory usage during training. Asynchronous offloading strategically moves intermediate activations and gradients between GPU memory and host memory in a latency-hiding manner, minimizing memory footprint while maintaining training efficiency. The GPU-based Chunk Optimizer further partitions and schedules memory-intensive operations to avoid fragmentation and ensure optimal utilization of available memory resources. These techniques enable our GPGPUs to train hundred-billion-parameter models efficiently even on small-scale clusters, without compromising model accuracy.

BUSINESS

- **Unified AI Development Environment across Cloud and Edge:** Our software ecosystem provides a unified development environment that spans cloud and edge deployments, allowing developers to build, optimize, and deploy AI applications seamlessly across diverse hardware configurations. This environment integrates software tooling for model development, profiling, debugging, and deployment, ensuring that applications can transition smoothly from research environments to large-scale production systems and especially applicable for models like DeepSeek-v3 but without the extra memory overhead in DeepSeek’s dualpipe method.

By offering a scalable software platform, we enable enterprises to accelerate AI adoption and maximize the performance of their AI models across various deployment scenarios.

RESEARCH AND DEVELOPMENT

Overview

R&D is at the heart of our business and allows us to continue to enhance and expand our solution offerings. Our strong R&D capabilities has enabled us to develop our Specialist Technology Product with advanced technologies in the fields of semiconductors and will continue to support our future growth. We will continue to invest in research and development to enhance the computing power, general applicability and efficiency of our solutions.

Research and Development Capabilities

Our R&D is led by a strong team with 657 experienced R&D professionals as of June 30, 2025, representing approximately 83% of our total staff. Key management and core members of our R&D team include Mr. Zhou HONG, our Chief Technology Officer, and Mr. Linglan ZHANG, our Chief Operating Officer. Mr. Hong is responsible for overseeing and formulating the direction of the technology development of our products. He is also the chief architect of our GPGPU chip and is responsible for the definition and design of GPGPU architecture. Mr. Hong has nearly 30 years of experience in design and engineering of GPU and has led R&D teams at multiple leading semiconductor companies in China and overseas. Mr. Linglan ZHANG is responsible for our project management and production and quality control of our products. He has over 23 years of experience in the semiconductor industry. See also “Directors and Senior Management.”

BUSINESS

We retain key management and core R&D staff by offering competitive remuneration packages and comprehensive welfare benefits. To mitigate any potential negative impact of departures by such personnel, we recruit candidates with relevant knowledge and skills through online platforms, internal referrals, and employment agencies, among others. The key terms of agreements with our management and technical staff are outlined below.

- *No conflict.* During the employment, the employee shall not engage in any other job without our prior written consent.
- *IP rights.* We own all rights, titles and interests (including patent rights, copyrights, trade secret rights and all other intellectual property rights of any sort throughout the world) relating to any and all inventions (whether or not patentable), designs, know-how, ideas and information made, conceived or reduced to practice, in whole or in part, by the employee during the term of the employment contract and for one year following the termination of employment to the fullest extent allowed by applicable laws, and the employee shall promptly disclose all inventions to us.
- *Confidentiality.* During the employment, the employee shall, during the course of employment and thereafter, keep in confidence all technical, operational information or trade secrets belonging to us or other third parties to whom we owe confidentiality obligations. The employee shall not leak, disclose, publish, announce, issue, teach, transfer or otherwise make available to any third party (including employees who are not privy to such trade secrets) any such trade secrets in any manner and shall not utilize such trade secret beyond his or her scope of work.
- *Non-competition.* We have the right to unilaterally initiate a non-competition period of up to two years following the termination of employment. During the term of employment and the non-competition period initiated by us, the employee shall not engage in any competitive behavior.
- *Non-solicitation.* During the employment and for two years thereafter, the employee shall not, directly or indirectly, either on their own behalf or on behalf of any other companies, solicit or attempt to solicit our employees to leave their employment, nor shall they, directly or indirectly, either on their own behalf or on behalf of any other companies, employ our employees.

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Moreover, we have attracted and retained a highly qualified R&D team. A substantial portion of our R&D staff is equipped with extensive know-how and expertise over multiple years’ industry experience accumulated while serving other leading semiconductor and information technology companies before joining us. We have over 210 R&D staff with more than 10 years industry experience, consisting of over 33% of our total R&D staff as of June 30, 2025. We will continue to proactively recruit R&D talent to further innovate and improve on our technologies and solutions. We have proven world-class R&D efficiency as demonstrated by our success to bring BR106 from design to commercialization in approximately three years, while incorporating advanced technologies and demonstrating leading performance. We have also accumulated strong know-how and engineering capability.

We have established a research institute, Biren Research Institute, to support our development strategies, enhance our ecosystem establishment and enable our continuous innovation. Biren Research Institute is founded to explore next-generation technologies and address challenges faced in the development of GPU. Specifically, it focuses on (i) the research and development in critical and breakthrough algorithms to maximize the performance of our products, (ii) the research and development in cross-boundary optimization of our algorithms, hardware and software, (iii) proactively participating in open-source ecosystems to develop prototyping tool and framework for domain algorithms and compilation optimization technologies to support the design of our hardware and software products.

Since our inception in 2019, we have been investing significantly in strengthening our R&D capacities to develop innovative and nimble solutions to remain at the forefront of changing customer demands. In 2022, 2023 and 2024 and for the six months ended June 30, 2024 and 2025, we incurred total R&D expenses amounted to RMB1,017.9 million, RMB885.6 million, RMB827.0 million, RMB397.1 million and RMB571.6 million, respectively, accounting for 79.8%, 76.4%, 73.7%, 71.5% and 79.1% of our total operating expenses for the same periods. All of our R&D expenses recorded during the Track Record Period were attributed to the development of our Specialist Technology Product. See “Financial Information – Description of Key Consolidated Statements of Comprehensive Loss Items – Research and Development Expenses” for a breakdown of our R&D expenses during the Track Record Period.

During the Track Record Period and up to the Latest Practicable Date, there was no legal claim or proceeding that may have an influence on the R&D of our Specialist Technology Products.

BUSINESS

During the Track Record Period, we have completed in following key R&D projects:

2021	Completed tape-out for our first chip, BR106
2022	Post-silicon validation for our first chip, BR106
2022	Completed tape-out of BR110
2023	Post-silicon validation of BR110
2023	Completed the new product introduction (NPI) and mass production of BILI 106B, BILI 106C and BILI 106M
2024	Completed the NPI and mass production of BILI 106L and BILI 110E
2024	Completed product definition and started chip manufacturing of BR166
2024	Completed the architecture design of BR20X
2025	Completed post-silicon validation and started mass production of BR166
2025	Completed the NPI of BILI 166M and BILI 166L
2025	Completed the pre-silicon design of BR20X

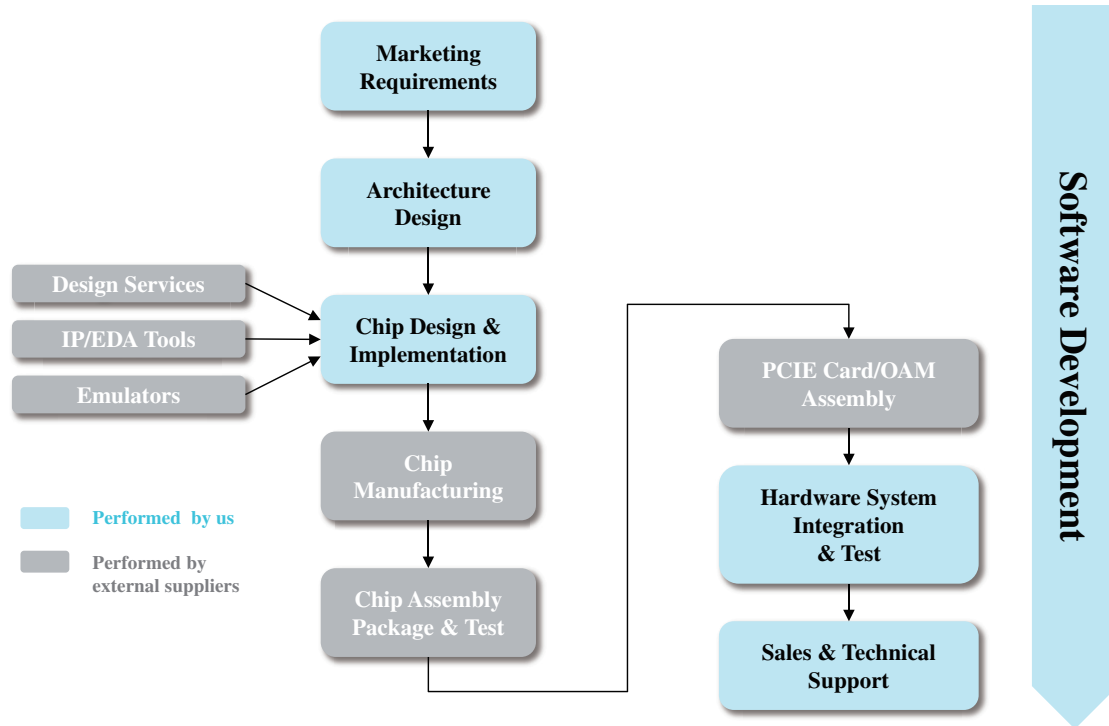
In addition, we are currently in the process of architecture design on BR30X products.

During the Track Record Period, we also outsourced certain non-core R&D process, such as certain backend (physical) design projects, to third-parties. In outsourced R&D process, we provide our requirements and conduct regular inspections on the progress and results to ensure project quality and timeline. This arrangement enables us to focus on our core technologies and optimize our R&D efficiency. When selecting qualified outsourcing firms, we consider their industry reputation, track record of conducting similar projects, the qualifications of their R&D personnel, among others. Key terms of outsourced R&D projects typically include: (i) intellectual properties: we are entitled to the intellectual properties arising from the outsourced R&D arrangement, and the outsourcing firms shall not use or re-develop relevant IPs without our authorization; (ii) pricing and payment: pricing is calculated based on allocated human resources as agreed by both parties in the contracts; (iii) confidentiality: the outsourcing firms shall keep strict confidentiality of all the information provided us, and would be responsible for any breach of confidentiality; and (iv) termination: the contracts may be terminated by mutual agreement, or by other means as set forth in the agreements.

BUSINESS

Solution Development Process

The development of our solution requires careful planning and coordination across various stages, which is illustrated in the following diagram:



We are primarily engaged in,

- (i) marketing requirements analysis focusing on end-customer requirements, marketing trend, and product positioning segment;
- (ii) architecture design focusing on Biren self-developed unified architecture;
- (iii) the chip design process, which is one of the most critical stages in the chip development process as it directly determines the performance and functionalities of the chip and the core competency of IC design companies;
- (iv) hardware system integration and testing, which refers to the process that after we receive finished products of PCIe cards and OAMs from original equipment manufacturers, we conduct software integration, server and cluster integration and testing in-house before sampling with customers;
- (v) in-house development of our software stack, BIRENSUPA; and
- (vi) product sales and technical support, which directly interact with the customers.

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To facilitate the chip design process, we utilize various items, tools and support services provided from third-party suppliers, such as certain IPs, EDA tools and emulators, and may choose to outsource certain backend and physical design to design services vendors. IPs procured from third-party suppliers refer to ancillary IP cores used in chip design as a functional block to the SoC. We do not engage in the development of relevant IP cores procured from third-party suppliers. We integrate these IPs into our SoC design and perform verification and optimization. Such IP cores are generally available from several vendors. According to CIC, it is in line with the industry norm for intelligent computing chip companies to procure ancillary IP cores from external suppliers. We provide chip design layouts to third-party IC foundries for manufacturing. Then the dies, which are unpackaged chips manufactured on silicon wafer by foundries, are sent to IC packaging and testing suppliers for packaging, and then board manufacturers for assembly and testing. GPGPU chips are then integrated into different form factors (such as PCIe cards and OAMs) by original equipment manufacturers. After receiving the PCIe cards and OAMs, we conduct hardware system (i.e. server) integration, software integration and testing in-house before shipping to customers.

Academic Collaborations

As of the Latest Practicable Date, we have carried out more than 30 joint research projects with multiple renowned universities including Tsinghua University, Fudan University, Shanghai Jiao Tong University, and Zhejiang University. Our collaborating parties are leading universities in China with strong research capabilities and experience in the semiconductor sector. By collaborating with leading universities, we aim to bridge the gap between academic and engineering and connect talent with industries. As of the Latest Practicable Date, none of such IPs are material to our Specialist Technology Product, operations and business. Salient terms of our collaborations with such universities typically include: (i) both parties will establish a joint laboratory to conduct joint research in intelligent computing managed by the universities; (ii) both party will provide resources in technology, products and talent to support the R&D activities of the joint laboratory. Typically we provide funding for the joint laboratory in an amount as prescribed in the agreements, and the universities provide space and equipment for the joint laboratory; (iii) intellectual properties for R&D projects completed by both parties will either be owned by us, or jointly owned by both parties according to the applicable terms as prescribed in the relevant agreements. As of the Latest Practicable Date, none of such IPs are material to our Specialist Technology Product, operations and business; (iv) we will provide internship programs for certain students at the collaborating universities; (v) either party shall not disclose information regarding the collaborating R&D projects and shall be liable for any leakage; (vi) the terms of the agreements are typically one to three years, and may be renewable upon negotiation; and (vii) the agreements may be terminated upon consent by both parties. Our collaboration focuses on (i) cultivating talent on chips and AI by granting scholarship funds, establishing internship programs, and giving courses and lectures at renowned universities, and (ii) jointly conducting academic research in AI, computer science and electronic engineering. We believe that such collaborations have enabled us to further strengthen our R&D team.

BUSINESS

SALES AND MARKETING

Our strategy targets industry leaders sectors with robust and increasing demand for powerful computing solutions. Our sales cycle typically spans one to three months, which is consistent with industry norm, according to CIC. Through direct engagement with industry leaders, we identify and prioritize core requirements of target customers in such industries. To pique customer interests, we provide product sampling and test results to showcase the values and benefits of our solutions, such as the performance and TCOs of our solutions when processing representative workloads. Upon initial validation from customers, we enter into strategic collaboration agreements with industry leaders to conduct grey-box tests in terms of performance and accuracy in training and inference across multiple models, the ease-of-use and generalization ability of our software stack, and system stability and reliability of our solutions, among others. Salient terms of strategic collaboration agreements typically include: (i) both parties will establish a strategic collaboration relationships in the application of intelligent computing solutions provided by us in relevant scenarios; (ii) the customers will place binding sales orders with us from time to time; (iii) the terms of the agreements are typically two to three years; and (iv) the agreements may be terminated upon prior notice by either party. We continue to refine and optimize our solutions based on customers’ feedback during testing, in particular their experience in developing and optimizing operators using BIRENSUPA, and the results from stress testing over long time periods and in real-world business scenarios. Upon completion of grey-box tests, customers proceed with binding sales orders with us, and we will ensure stable and timely deployment of solutions and provide high-quality customer support. By serving industry leaders and forming partnership with large customers, we aim to accelerate market adoption of our solutions and further expand our presence across additional segments in such industries.

We have established a professional in-house sales and marketing team in China consisting of 32 personnel as of June 30, 2025. Mr. Zhang, our founder, Chairman and CEO, and Mr. Bing XIAO, our Executive Director and General Manager oversee our sales and marketing activities. See also “Directors and Senior Management.” Our employees have deep knowledge of the industries and customers that they are responsible for. Our in-house sales team works closely with our R&D team to ensure that they can propose the best solutions to address the pain points faced by market participants in the relevant industry verticals. To encourage and incentivize our in-house sales team, we have designed a compensation structure that includes a fixed component as well as a performance-based component. We set specific performance targets for each team member. We evaluate such employee’s performance every year and pay out performance-based compensation accordingly.

BUSINESS

BUSINESS SUSTAINABILITY AND PATH TO PROFITABILITY

We have experienced strong revenue growth during the Track Record Period, demonstrating our ability to successfully commercialize our Specialist Technology Products. Our revenue increased from RMB0.5 million in 2022 to RMB62.0 million in 2023, further to RMB336.8 million in 2024. Despite our rapid growth, we were loss-making during the Track Record Period. In 2022, 2023 and 2024, and the six months ended June 30, 2024 and 2025, we incurred losses for the year of RMB1,474.3 million, RMB1,744.0 million, RMB1,538.1 million, RMB888.3 million and RMB1,600.5 million, respectively, and adjusted net loss (non-IFRS measure) of RMB1,038.3 million, RMB1,051.4 million, RMB767.3 million, RMB438.2 million and RMB551.6 million, respectively, by adding back changes in the carrying value of redemption liabilities associated with the redemption rights for certain pre-[REDACTED] shareholders and other non-cash and non-recurring items. For details, see “Financial Information – Description of Key Consolidated Statements of Comprehensive Loss Items – Non-IFRS Measures.” We incurred net losses and adjusted net losses (non-IFRS measure) during the Track Record Period primarily because: (i) we incurred significant amount of operating expenses, especially research and development expenses, during the Track Record Period, and (ii) we were at a relatively early stage of commercialization, and therefore our revenue during the Track Record Period have yet to cover such significant amount of investments. In particular, our losses during the Track Record Period were primarily attributable to:

- *Substantial upfront investment required.* The intelligent computing chip market is highly competitive and complex, which requires substantial upfront investment into, among other things, technology advancement, talent acquisition, customer engagement and regulatory compliance. Considerable resources are necessary to fund the extensive research and development efforts aimed at enhancing our core technologies, including GPGPU architecture, SoC design, hardware system and software platform in order to obtain customers. Furthermore, to maintain a leading edge in technology advancement, we need to recruit top-tier talent. Competitive benefits packages and incentives are necessary to attract and retain skilled professionals who can drive our technology innovation and evolution. In 2022, 2023 and 2024 and for the six months ended June 30, 2024 and 2025, our R&D expenses amounted to RMB1,017.9 million, RMB885.6 million, RMB827.0 million, RMB397.1 million and RMB571.6 million, respectively. Such substantial upfront investment in R&D results in our loss positions during the Track Record Period.

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- *Still at an early stage of commercialization.* We are currently at an early stage of commercialization and are growing rapidly. Our Intelligent computing solution requires extended development cycles spanning multiple years as we complete chip design, customer validation, and market penetration before achieving commercialization. As our business expands, we expect to benefit from economies of scale and our operating expenses as a percentage of total revenues is expected to decrease. While economies of scale can offer significant efficiency advantages, realizing such benefit is a gradual process, particularly for us who incur substantial upfront investment and still at an early stage of commercialization.
- *Changes in the carrying value of redemption liabilities.* We recorded RMB348.0 million, RMB603.6 million, RMB674.3 million, RMB383.1 million and RMB1,010.9 million in changes in the carrying value of redemption liabilities for the years ended December 31, 2022, 2023 and 2024 and for the six months ended June 30, 2024 and 2025, respectively. Changes in the carrying value of redemption liabilities are non-cash in nature, and the redemption liabilities will be automatically converted into the equity of our Company upon the completion of the [REDACTED].

Similarly, we have been loss making prior to the Track Record Period, which resulted in our total deficit attributable to owners of our Company of RMB2,920.3 million as of January 1, 2022. Our gross profit margin decreased from 76.4% in 2023 to 53.2% in 2024, and decreased from 71.0% for the six months ended June 30, 2024 to 31.9% for the six months ended June 30, 2025. This change is primarily due to the change in the mix of products sold driven by customers’ specific needs.

Moreover, we incurred operating cash outflows during the Track Record Period primarily due to (i) our net loss position during the Track Record Period, and (ii) the increase in our trade, other receivables and prepayments from 2023 to 2024 primarily driven by our business growth. For details, see “Financial Information – Liquidity and Capital Resources – Cash Flow Analysis – Net Cash Used in Operating Activities.” We plan to improve our net operating cash outflow position by (i) improving our profitability through the measures outlined below, and (ii) further enhance our management of trade receivables. Specifically, to expedite the collection of trade receivables, we have increased product competitiveness through product iterations and have gradually increased the proportion of advance payments. Further, we have established a dedicated collection team to implement a weekly follow-up mechanism to further optimize the collection process.

In addition, we incurred net current liabilities of RMB9,548.0 million as of June 30, 2025, primarily because our redemption liabilities were reclassified to current liabilities based on the redemption date specified in the investment contracts, amounting to RMB12,145.4 million as of June 30, 2025. We expect to achieve net current assets upon the completion of the [REDACTED] when such redemption liabilities will be automatically converted into the equity of our Company.

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In the future, we aim to maintain sustainability and achieve profitability primarily through: (i) optimizing our solutions to create value for customers; (ii) expanding customer base; and (iii) enhancing operational efficiency and economies of scale.

Optimizing Our Solutions to Create Value for Customers

We are dedicated to providing high-quality intelligent computing solutions, including our GPGPU-based hardware systems and BIRRENSUPA, a computing software platform, to address customers’ fast-growing computing demand across various industries to drive productivity, innovation and transformation. For details of our solutions, please see “– Our Intelligent Computing Solutions.” We plan to continue to create value for customers and address their business needs by accelerating product iteration, optimizing our solutions, innovating our technologies, providing satisfying customer services, among others. As a result, we are able to scale up our revenues and to achieve profitability. Our success is driven by our capabilities to continuously improve our core technologies underlying our solutions. As such, we will continue to invest in our research and development capabilities, particularly further enhancing self-sufficiency and self-control of our core technologies. We intend to expand our talent pool of scientists and engineers to augment our R&D capabilities on a continuous basis. Moreover, leveraging our capabilities in technology, we will continue to upgrade our solutions comprehensively in terms of architecture, SoC, hardware systems and software platform, to address customers’ evolving business needs and create value for them, which we believe will help accelerate the rump-up of our solutions among customers. For example, to better address our customers’ urgent demands for high-performance computing and intelligent applications, we have optimized our solutions to deliver our Specialist Technology Product as large-scale intelligent computing clusters, which consist of a large number of interconnected GPGPU units and that work together to perform parallel processing tasks and controlled by our BIRENSUPA software platform. Such efforts enable us to seize commercialization opportunities in the evolving intelligent computing chip market.

We will continue to build a vibrant ecosystem by partnering with all stakeholders, namely customers, suppliers, hardware and software partners, developers and developer communities, and research institutes and universities, etc. Close collaboration with these partners will help increase our brand awareness and accelerate the adoption and commercialization of our solutions.

Moreover, as we continue to advance our GPGPU and solution performance and expand production capacity to address customers’ critical business needs, we are able to capture additional monetization opportunities through recurring purchase after the initial sale. For example, we established close partnership with a leading system integrator in IT industry. To capture the enormous market opportunities in computing power and satisfied with the performance and quality of our products delivered under the first order, the customer has placed multiple binding orders for our Specialist Technology Products from November 2023 to June 2025 with a total value of approximately RMB252.4 million. For details, see “– Our Intelligent Computing Solutions – Commercialization – Case Studies – Collaboration with A Leading Ecosystem Partner in the IT Industry.”

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Expanding Customer Base

We employ an industry-focused, customer-centric approach to secure large enterprise customers in core verticals. Our strategy is to strategically partner with large customers in key industries with high demands for computing power. As compared to global competitors, our localized expertise in China and on-the-ground customer support enabled us to form strategic partnerships with large customers in key industries, such as AI data centers, telecommunications, AI solutions, energy and utilities, financial technology, and Internet, to understand and address their unique needs. Specifically, we engage in deep, multi-level, and multi-dimensional collaborations to foster strong strategic partnerships. Key initiatives include, among others, (i) engaging in deep communications with customers across all levels, from AI Infrastructure departments to C-suite executives, to facilitate a comprehensive understanding of our technology and product offerings; (ii) helping customers develop strategic plans for computing power, and collaborating with them in national-level projects focused on computing power innovation and self-sufficiency; (iii) pre-adapting our products and solutions to meet customers AI infrastructure; and (iv) providing solutions tailored to specific application scenarios. These collaborations demonstrate our strategic approach to establishing long-term, mutually beneficial relationships. By constantly offering high-quality solutions that can effectively address customers’ needs, we are able to become a trusted business partner of our customers and are well-poised to secure more orders when our customers have additional computing power needs. For example, we have established partnerships with China’s three largest telecom operators address diverse procurement needs. By embedding our solutions across the customer’s value chain – from R&D initiatives to large-scale AI data center (AIDC) projects – we drive sustained engagement and cross-selling opportunities. We successfully delivered a 1024-GPU intelligent computing cluster in Nanjing for a telecommunication client in September 2024. Building on the success of the Nanjing 1024-GPU Cluster project, we have secured multiple strategic contracts with telecommunication operators, allowing us to further penetrate the telecommunication sector. For details, see “– Our Intelligent Computing Solutions – Commercialization – Case Studies – Industry-focused, Customer-centric Sales Approach.”

We are committed to deepening collaborations with such customers by offering additional products and solutions across the customers’ business process, and participating in more collaborative projects with them. As of the Latest Practicable Date, we have provided solutions to nine Fortune China 500 companies, among which five are also listed in the Fortune Global 500. These companies include leading players in China’s telecommunication, energy & utilities, AI solutions and financial technology sectors. As we continue to serve vertical leaders, our solutions continue to iterate and optimize based on customers’ feedback. By partnering with industry leaders, we have built proprietary know-how and formed an in-depth understanding of each selected vertical. This empowers us to provide high-quality solutions catering to the specific business needs of customers in those verticals, thereby accelerating the commercialization of our solutions and enhancing customer loyalty. As our existing large customers benefit from our solutions, we will be able to establish industry standards and attract more new customers both in existing verticals and new verticals. We are able to leverage our experience and success in existing industry and scenario to expand into new industries with similar scenario.

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To further commercialize our intelligent computing solution, we plan to expand our sales and marketing team, carry out marketing and promotion activities such as setting up display centers or showrooms, and build a dedicated team to provide technical support to our customers. Through these efforts, we expect to establish our sales network, strengthen our customer relationship and create our brand impact.

We believe that our commercialization efforts will benefit from the tremendous market opportunities for intelligent computing chips. The market size of China’s intelligent computing chips is expected to grow from US\$30.1 billion in 2024 to US\$201.2 billion in 2029, with a CAGR of 46.3%, according to CIC. China’s intelligent computing chips is characterized by a high concentration of top players, while the remainder of the market is relatively fragmented. In addition, according to CIC, domestic players expected to take up an increasing market share from approximately 20% in 2024 to approximately 60% in 2029, driven by improved technology capabilities of domestic players and continued policy support. In addition, as the demand for intelligent computing chips continues to grow, there is an increasing need for a broader supplier base beyond the current top players. We are well-positioned to capture such significant market opportunities by leveraging our competitive advantages, including our advanced technologies, comprehensive software ecosystem, cost-efficient solutions, stable supply chain, localized delivery and support capabilities, among others. Benefiting from our deep understanding in needs and pain points of Chinese customers, we aim to focus on key sectors and provide cost-effective solutions with stable deliveries, further enhance our technological advantages, and build an ecosystem that closely aligns with local needs. Our competitiveness is evidenced by our historical commercialization achievements, which include strong relationships with leading customers in key industries and significant revenue growth during the Track Record Period.

Enhancing Operational Efficiency and Economies of Scale

During the Track Record Period, we incurred significant research and development expenses and administrative expenses to develop and commercialize our intelligent computing solutions and manage our business. Moving forward, while scaling our sales, we will intensify efforts across R&D, sales, and administrative operations to enhance operational efficiency and support sustainable long-term growth.

During the Track Record Period, we allocated significant resources on research and development to establish and maintain our capabilities in general intelligent computing with advanced technology and solution. Our research and development expenses were RMB1,017.9 million, RMB885.6 million, RMB827.0 million, RMB397.1 million and RMB571.6 million in 2022, 2023 and 2024 and for the six months ended June 30, 2024 and 2025, respectively. We believe we have significantly benefited from our investments in research and development. Our product development strategy is platform-based, integrating both hardware and software. Our GPGPU architecture is our platform strategy and lays a solid foundation for fast iteration and development of next generation computing platform. For example, we have built a unified algorithm library that can be used for future R&D projects. As a result, our significant upfront investments in R&D can support our future product pipeline and sustain our technological

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advantage at lower additional costs. Further, we have made other efforts to enhance our R&D efficiency. In particular, we plan to adopt an asset-light approach by leasing, rather than purchasing, certain R&D equipment, outsourcing certain non-core R&D projects (such as certain backend and physical design), utilizing AI tools, and focusing on R&D projects with high projected returns. In addition, we have witnessed improved economies of scale as our solutions are commercialized have accumulated experience over the years of research and development which enables us to conduct research and development more efficiently. As a result of the foregoing, our research and development expenses as a percentage of total revenue decreased from 203,980.0% in 2022 to 1,427.8% in 2023, and further to 245.5% in 2024, and decreased from 1,010.4% in the six months ended June 30, 2024 to 970.4% in the six months ended June 30, 2025.

Our general and administrative expenses amounted to RMB199.6 million, RMB218.0 million, RMB244.2 million, RMB130.9 million and RMB123.8 million in 2022, 2023 and 2024 and for the six months ended June 30, 2024 and 2025, respectively. Our general and administrative expenses as a percentage of total revenue decreased from 40,006.6% in 2022 to 351.5% in 2023, and further to 72.5% in 2024, and decreased from 333.1% in the six months ended June 30, 2024 to 210.2% in the six months ended June 30, 2025. Such decrease was primarily due to the revenue increase and economies of scale driven by our business expansion. We will continue to actively monitor our administrative expenses and promote operational efficiency. We plan to utilize digital and automation systems to further increase our administration efficiency. We expect our administrative expenses as a percentage of revenue to keep decreasing as our business continue to scale.

Our selling and marketing expenses amounted to RMB58.1 million, RMB56.0 million, RMB51.5 million, RMB27.6 million and RMB27.3 million in 2022, 2023 and 2024 and for the six months ended June 30, 2024 and 2025, respectively. Our selling and marketing expenses as a percentage of total revenue decreased from 11,652.1% in 2022 to 90.3% in 2023, and further to 15.3% in 2024, and decreased from 70.3% in the six months ended June 30, 2024 to 46.4% in the six months ended June 30, 2025. Such decrease was primarily due to the significant revenue increase, economies of scale, and our effective strategy. As a result of our strategy to partner with large customers in key industries with high demands for computing power, after we succeed with the industry leaders, we leverage our understanding of the key industries to further enhance our influence, enabling us to further penetrate and provide solutions to other players without incurring significant sales and marketing effort. We expect our selling and marketing expenses as a percentage of revenue to keep decreasing as our business continue to scale. We expect to benefit from more efficient customer acquisition through word-of-mouth referrals and enhanced brand awareness. With our established brand reputation and large customer bases, we expect to continuously generate significant word-of-mouth referrals and organic customer growth. We are also optimizing our commercialization channels, such as exploring collaborations with server suppliers to reach customers, as well as the structure and compensation of our sales and marketing staff to further enhance our sales and marketing efficiency.

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Based on the financial resources available to us, including our cash and cash equivalents on hand as at 30 June 2025, our future operating cash flows in the respective periods, the additional [REDACTED] obtained from pre-[REDACTED] investors in 2025, bank deposits and structured deposits and the estimated net [REDACTED] from the [REDACTED], and also taking into account of our historical cash burn rate, our Directors are of the view that we will have sufficient working capital for the next 12 months from the date of this document. For details, see “Financial Information — Working Capital Sufficiency.”

Based on the foregoing, our Directors are of the view that our Group has a sustainable business. The foregoing forward-looking statements are based on numerous assumptions regarding our present and future business strategies and the environment in which we will operate in the future. These forward-looking statements are subject to risks, uncertainties and other factors, some of which are beyond our control, which may cause the actual results, performance or achievements, or industry results, to be materially different from any future results, performance or achievements expressed or implied by the forward-looking statements. For related risks, see “Forward-looking Statements” section in this document.

After due consideration of the foregoing factors, and independent due diligence steps conducted by the Joint Sponsors, including but not limited to (i) the review of the profit forecast memorandum and the working capital forecast memorandum prepared by the Directors, (ii) the discussions with the management of the Company and the Reporting Accountant about, among other things, working capital sufficiency and the assumptions and basis in the profit forecast and working capital forecast memorandum, (iii) the review of the Group’s historical financial information as well as relevant financing agreements and the facility agreements, (iv) the review of the Accountant’s Report to understand the Company’s cash and cash equivalents on hand as at 30 June 2025, (v) the relevant financial due diligence works with the management of the Company, the Joint Sponsors have no reason to believe that the Directors’ foregoing views are unreasonable.

CUSTOMERS AND SUPPLIERS

Customers

We were still at an early commercialization stage for our Specialist Technology Products during the Track Record Period. We started to generate revenue from our Specialist Technology Products in 2023. During the Track Record Period, the aggregate revenue generated from our top five customers in each year/period since 2023 amounted to RMB60.9 million, RMB304.0 million and RMB57.7 million, which accounted for 98.1%, 90.3% and 97.9% of our total revenue, respectively. During the Track Record Period, revenue generated from our largest customer since 2023 amounted to RMB53.2 million, RMB183.4 million and RMB19.6 million, which accounted for 85.7%, 54.5% and 33.3% of our total revenue, respectively. Our five largest customers in each of 2023, 2024 and the six months ended June 30, 2025 are customers to our intelligent computing solutions. They are companies based in China in the IT, data centers and AI solutions sectors. For the year ended December 31, 2022, we had a total of three customers and generated a total revenue of RMB0.5 million as agent fees. For details, see “Financial Information – Description of Key Consolidated Statements of Comprehensive Loss Items – Revenue.” Our revenue from the largest customer in 2022 was RMB0.4 million, accounted for 77.8% of our total revenue in 2022.

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The following tables set out details of our five largest customers during the Track Record Period.

For the year ended December 31, 2022

Rank	Customer	Major type of Products Purchased	Background	Year in which Business Relationship Commenced	Revenue (RMB'000)	% of Total revenue	Credit Term
1	Customer A	Computer hardware and software services	A company that primarily engages in intelligent technology	2022	388	77.8%	30 days
2	Customer B	Computer hardware	A company that primarily engages in technology services	2021	104	20.8%	30 days
3	Customer C	Computer hardware and software services	A company that primarily engages in software development	2022	7	1.4%	Payment prior to delivery

For the year ended December 31, 2023

Rank	Customer	Major type of Products Purchased	Background	Year in which Business Relationship Commenced	Revenue (RMB'000)	% of Total revenue	Credit Term
1	Customer D	Intelligent computing solutions	A company that primarily engages in technology development services	2023	53,190	85.7%	30 days
2	Customer E	Intelligent computing solutions	A company that primarily engages in technology services	2023	3,105	5.0%	120 days
3	Customer F	Intelligent computing solutions	A company that primarily engages in technology services	2023	2,479	4.0%	90 days
4	Customer G	Intelligent computing solutions	A company that primarily engages in sale of servers and IT equipment	2023	1,518	2.4%	90 days
5	Customer H	Intelligent computing solutions	A company that primarily engages in the development of intelligent technologies	2023	582	0.9%	90 days

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For the year ended December 31, 2024

Rank	Customer	Major type of Products Purchased	Background	Year in which Business Relationship Commenced	Revenue (RMB'000)	% of Total revenue	Credit Term
1	Customer I	Intelligent computing solutions	A company that primarily engages in information technology products and services	2024	183,393	54.5%	30-180 days
2	Customer J	Intelligent computing solutions	A company that primarily engages in technology services	2024	41,856	12.4%	60-90 days
3	Customer K	Intelligent computing solutions	A company that primarily engages in information technology products and services	2024	35,003	10.4%	90 days
4	Customer L	Intelligent computing solutions	A company that primarily engages in computer hardware and software, and mobile communication services	2024	26,053	7.7%	Payment prior to delivery
5	Customer M	Intelligent computing solutions	A company that primarily engages in AI technologies	2024	17,671	5.2%	Payment in stages, with proportions payable upon delivery, acceptance, and stable operation of the products

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For the six months ended June 30, 2025

Rank	Customer	Major type of Products Purchased	Background	Year in which Business Relationship Commenced	Revenue (RMB'000)	% of Total revenue	Credit Term
1	Customer I	Intelligent computing solutions	A company that primarily engages in information technology products and services	2024	19,629	33.3%	30-180 days
2	Customer N	Intelligent computing solutions	A company that primarily engages in technology services	2025	17,357	29.5%	Payment in stages, with major portion payable shortly after invoicing and the balance upon delivery and acceptance
3	Customer O	Intelligent computing solutions	A company that primarily engages in technology services	2025	12,429	21.1%	Payment in stages, with partial prepayment upon signing and balance payable prior to delivery
4	Customer D	Intelligent computing solutions	A company that primarily engages in technology development services	2023	6,804	11.6%	Payment prior to delivery
5	Customer E	Intelligent computing solutions	A company that primarily engages in technology services	2023	1,439	2.4%	120 days

During the Track Record Period, we have generated revenues from a small group of customers primarily because we were still at a relatively early stage of commercialization and had limited number of customers. Our historical customer base and profile may not be indicative of our future customer base and profile. As we continue to commercialize our intelligent computing solutions through executing our strategy to partner with large customers in key industries with high demands for computing power, our customer base and profile are expected to constantly change, and we expect to further reduce our customer concentration. We primarily acquire customers through word-of-mouth referrals, proactive outreach by our sales personnel, participation in trade shows and industry conferences, and collaboration with ecosystem partners.

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As of the Latest Practicable Date, none of our Directors, their associates or any other Shareholder which, to the knowledge of our Directors, owns more than 5% of our share capital had any interest in any of our top five customers. None of our five largest customers, including their shareholders, directors, senior management or any of their respective associates, have any past or present relationship (family, employment, trust, financing or otherwise) with us, our subsidiaries, our Shareholders, Directors, senior management or any of their respective associates.

The salient terms and conditions of our sales agreements with customers of our Specialist Technology Products are set out as below.

Term	Typically one to three years with automatic renewal options if no objections.
Sales order	Customers shall place sales orders with us, which specifies the requested products, quantities, delivery time, price, payment and credit terms. Our credit terms with customers typically range from 30 to 180 days.
After-sales	We provide after-sales services within the period set forth in the sales order, which is typically three years. Our after-sales services primarily include repairment, maintenance and replacement of defected products other than damages caused by customers.
IP rights	We retain all intellectual property rights for our products, software or other technical information offered to the customers. Customers are not allowed to decrypt our products or software to access the underlying source codes, technologies or algorithms, etc.
Product returns	Other than defective products, we do not accept returns. Once our products are sold to consumers, we accept product exchange and return for defective products within 2-4 weeks following product delivery based on the contract.

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Termination

The agreement terminates upon both parties fulfilling their obligations. Either party may terminate the agreement if force majeure prevents achieving contract objectives. In addition, either party is entitled to terminate the agreements if the other party breached applicable provisions in the agreements.

Suppliers

Our suppliers primarily include suppliers for raw materials and contract manufacturers in China, among others. During the Track Record Period and up to the Latest Practicable Date, other than the adjustments of our supply chain after the BIS Listing, we have not experienced any material disruption to raw material supply or breaches of agreements with suppliers. For details of the BIS Listing, see “ — Applicable U.S. Laws and Regulations.” We usually enter into agreements with our raw material suppliers on an annual basis. Key terms of our agreements with raw material suppliers are set out as below.

Term

Typically one year with renewal options.

Payment and credit terms

We are typically required to settle our payment in installments with the first to be settled within 30 days of the agreement being signed.

Termination

The agreement terminates upon both parties fulfilling their obligations. Both parties may terminate the agreement if force majeure prevents achieving contract objectives. In addition, we are entitled to terminate the agreement by providing written notice to the supplier 30 days in advance.

Warranty period

We are entitled to after-sales services within the warranty period set forth in the purchase agreements, which is typically three years. After-sales services provided by our suppliers primarily include online and offline services and technical support, regular inspections, upgrades, debug, product maintenance, and replacements.

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IP rights

Suppliers retain all intellectual property rights for products, software or other technical information offered to us.

Product returns

We are entitled to return any products that failed applicable standards as prescribed in the agreements. In addition, we are entitled to product exchange and returns during the warranty period due to product quality issues.

We do not conduct the manufacturing of our GPGPU products, and we engage third-party contract manufacturers. Our suppliers are responsible for the manufacturing of our GPGPU products and procurement of raw materials used in the manufacturing process, and we focus our resources on chip design. We work closely with manufacturers during the process to ensure product quality.

Our purchases from contract manufacturers are made on a payment-on-delivery basis, together with a fixed advance payment, and we are typically granted a credit term of 30 days after delivery of goods. Our contract manufacturers must meet our specified quality requirements and are responsible for liabilities resulting from product defects. Major contract terms with our chip manufacturing and packaging suppliers include: (i) Service scope: the suppliers manufacture chips for us based on our chip design files, provide chip testing based on the testing standards provided by us, and provide packaging services based on our requirement; (ii) Pricing and payment: pricing is calculated based on the unit price as agreed by both parties in the contracts, and payment is settled in accordance with effective orders or monthly; (iii) Quality control: the suppliers shall satisfy the technical parameter and specifications for packaging services, the suppliers shall use their reasonable efforts to ensure service quality. The suppliers shall compensate us for failure to meet the yield rate as prescribed in the contracts; (iv) Export control: both parties generally undertake to comply with applicable export control laws and regulations; and (v) Terms and termination: The terms of the contracts are typically three years. The contracts may be unilaterally terminated by either party under certain conditions, such as breach of contract.

During the Track Record Period, the aggregate purchases from our top five suppliers in each year/period amounted to RMB361.0 million, RMB286.3 million, RMB298.8 million and RMB566.2 million, which accounted for 56.1%, 56.4%, 58.9% and 64.1% of our total purchases, respectively. During the Track Record Period, purchases from our largest supplier in each year/period amounted to RMB129.0 million, RMB99.4 million, RMB162.5 million and RMB308.1 million, which accounted for 20.0%, 19.6%, 32.0% and 34.9% of our total purchases, respectively.

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The following tables set out details of our five largest suppliers during the Track Record Period.

For the year ended December 31, 2022

Rank	Supplier	Major Type of Products/ Services Provided	Background	Year in which Business Relationship Commenced	Purchase Amount (RMB'000)	% of Total Purchase
1	Supplier A	Raw material and design services	An ASIC design company specializing in high performance computing (HPC) devices	2020	128,961	20.0%
2	Supplier B	Employee housing	A company that engages in the development, construction, operation and management of public rental housing	2021	99,918	15.5%
3	Supplier C	IP cores	A company that engages in integrated circuit chip design and services	2022	49,761	7.7%
4	Supplier D	Raw material	A company that engages in the supply of electronic accessories	2022	44,869	7.0%
5	Supplier E	EDA tool and IP cores	A company that engages in computer technology development	2020	37,520	5.8%

For the year ended December 31, 2023

Rank	Supplier	Major Type of Products/ Services Provided	Background	Year in which Business Relationship Commenced	Purchase Amount (RMB'000)	% of Total Purchase
1	Supplier A	Raw material and design services	An ASIC design company specializing in high performance computing (HPC) devices	2020	99,434	19.6%
2	Supplier F	Office space	A company that engages in tourism development project planning and consulting	2023	93,309	18.4%
3	Supplier D	Raw material	A company that engages in the supply of electronic accessories	2022	41,695	8.2%
4	Supplier G	Raw material and processing services	A company that engages in engineering and manufacturing digital product solutions	2021	26,220	5.2%
5	Supplier H	Equipment, servers and equipment-related services	A company that engages in computer technology development	2022	25,640	5.1%

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For the year ended December 31, 2024

Rank	Supplier	Major Type of Products/ Services Provided	Background	Year in which Business Relationship Commenced	Purchase Amount (RMB'000)	% of Total Purchase
1	Supplier I	Contract manufacturing and services	A company that engages in providing technical services	2024	162,534	32.0%
2	Supplier J	Design and development services	A company that engages in providing software and information technology services	2024	44,860	8.8%
3	Supplier H	Equipment, servers and equipment-related services	A company that engages in computer technology development	2022	33,132	6.5%
4	Supplier B	Office space	A company that engages in the development, construction, operation and management of public rental housing	2021	30,130	5.9%
5	Supplier K	Raw material	A company that engages in computer technology development	2024	28,148	5.5%

For the six months ended June 30, 2025

Rank	Supplier	Major Type of Products/ Services Provided	Background	Year in which Business Relationship Commenced	Purchase Amount (RMB'000)	% of Total Purchase
1	Supplier K	Raw material	A company that engages in computer technology development	2024	308,086	34.9%
2	Supplier I	Contract manufacturing and services	A company that engages in providing technical services	2024	132,386	15.0%
3	Supplier L	Raw material	A company that engages in providing hardware, software and information technology services	2025	48,170	5.5%
4	Supplier J	Design and development services	A company that engages in providing software and information technology services	2024	39,031	4.4%
5	Supplier M	Raw material, design and development services	A company that engages in software development and providing technical services	2024	38,535	4.4%

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As of the Latest Practicable Date, none of our Directors, their associates or any other Shareholder which, to the knowledge of our Directors, owns more than 5% of our share capital had any interest in any of our five largest suppliers. None of our five largest suppliers, including their shareholders, directors, senior management or any of their respective associates, have any past or present relationship (family, employment, trust, financing or otherwise) with us, our subsidiaries, our Shareholders, Directors, senior management or any of their respective associates.

Supplier/Customer Overlap

During the Track Record Period, Supplier J and Supplier K were also our customers. We mainly provide intelligent computing solution to Supplier J and Supplier K, and we procured design and development services from Supplier J and raw materials from Supplier K. In 2022, 2023 and 2024 and the six months ended June 30, 2025, (i) our purchases from Supplier J amounted to nil, nil, RMB44.9 million and RMB39.0 million, which accounted for nil, nil, 8.8% and 4.4% of our total purchases during the same periods, respectively, and (ii) our purchases from Supplier K amounted to nil, nil, RMB28.1 million and RMB308.1 million, which accounted for nil, nil, 5.5% and 34.9% of our total purchases during the same periods, respectively. Revenue generated from Supplier J was nil, RMB2.5 million, nil and nil, respectively, which accounted for nil, 4.0%, nil and nil of our total revenues during the same periods, respectively. Revenue generated Supplier K accounted for nil, nil, no more than 0.5% and nil of our total revenue in 2022, 2023 and 2024 and the six months ended June 30, 2025, respectively. The gross profit margin of our sales to Supplier J in 2023 was 55%, which was relatively lower than our overall gross profit margin in 2023. We recorded high overall gross profit margin in 2023 primarily due to certain transactions involving software components with higher margin due to the customer’s specific needs. The gross profit margin of our sales to Supplier K in 2024 was 45%, which was relatively lower than our overall gross profit margin in 2024 primarily because the relevant transactions primarily include hardware components with relatively lower gross profit margin due to the customer’s specific needs.

Our sales to and purchases from the above supplier-customers are not inter-conditional upon each other, and are conducted in the ordinary course of business under normal commercial terms and on arm’s length basis.

DATA SECURITY

During the course of our business, we may collect, process and store various types of data concerning our enterprise customers and enterprise suppliers. We process such personal information only to the extent necessary for providing the relevant services to the customers and/or purchasing the relevant materials and services from the suppliers, such as the personal information of the contact person/authorized employees of our enterprise customers and enterprise suppliers. We only collect limited personal information of the contact persons from our enterprise customers and suppliers, and we have obtained necessary consent for collecting personal information from the contact persons/employees of our customers and suppliers. Specifically, we have requested our customers and suppliers to ensure the acquisition of such

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consent with explicit disclosure of such data collection and use in our privacy policy, and such personal information of contact persons/employees is provided voluntarily on an informed basis by customers and suppliers (or the contact persons/employees themselves), which should constitute valid consent. The reason for collecting such personal information is to maintain business communication with customers and suppliers for contracting, product delivery, after-sale service, and other ordinary business engagement. Such data is stored within China and does not involve cross-border transfer. In addition, during the ordinary course of business, we only provide the business contact information of designated employees (as contact persons) to our customers, suppliers, and partners for the purposes of customer relationship management and business communication. Such data provision is limited to the minimum scope as necessary. Aside from the aforesaid, we do not share any personal information with third parties. We collect, store, and use our employees’ personal information (such as name, ID, mobile number, address, bank account, etc.) solely for the purposes of human resources management. We will provide employees with a privacy notice specifying relevant processing activities and acquire employees’ consent. During the Track Record Period and up to the Latest Practicable Date, all data (including personal information and operational data) of the Company is stored within China, and no cross-border transfers are involved except the Company’s employees in its Hong Kong office are allowed to access to such data for internal collaboration and work purpose and HR management purpose on a minimum necessary basis.

Data security and protection are among our highest priorities. In this regard, we have designed strict data protection and information security policies to ensure strict compliance with applicable laws, regulations and prevalent industry practice. Such internal policies primarily include: (i) network security management policies, which set forth guidelines for daily management and safety maintenance of our network system to be executed by our IT department network administrators and security administrators, (ii) terminal information security policies, which set forth guidelines for information security protection regarding information resources and digital assets of the Company, to be executed by our employees as well as relevant third parties, (iii) information transmission management policies, which set forth guidelines for information transmission via our email domains, to be executed by our employees and relevant third parties who have access to our email domains, (iv) data center and equipment safety management policies, which set forth the security guidelines for our data centers and relevant equipment, to prevent any unauthorized access to our data centers and private equipment and any information leakage in our daily operations, and (v) security management policies for our equipment and storage media, which set forth guidelines that standardizes the usage and maintenance of equipment and storage media, to ensure the normal operations and property safety of our digital assets as well as to prevent any disruption of business activities.

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Specifically, for data storage and transmission, sensitive business data is encrypted and protected by strict role-based access controls. The most critical business data is stored in dedicated systems that are entirely isolated from external networks. We maintain regular backups for business data and implement remote disaster recovery backups for the most critical data. All transfers of critical business data are encrypted to ensure security. In addition, we have implemented appropriate network and information-security measures for data protection, including a cloud-based web application firewall, a security information and event management system, anti-malware/endpoint protection, regular cybersecurity exercises and penetration testing, and continuous vulnerability scanning and remediation.

We have established an information security committee, members of which include the responsible persons in various departments such as information technology and human resources. The committee is responsible for formulating data and information security strategies, and decision-making in material data and information incidents. We also regularly distribute our data protection and information security policies to all employees and organize refreshment training sessions from time to time, to ensure the strict compliance of such policies within our company.

During the Track Record Period and up to the Latest Practicable Date, (i) we did not experience any material information leakage or loss of data and were in compliance in all material aspects with regulatory requirements in respect of data security; (ii) we had not been subject to material fines or administrative penalties imposed by any government authorities in relation to infringement of data security laws and regulations. Going forward, we will closely monitor the legislative and regulatory developments in connection with cybersecurity and data protection and adjust and enhance our data protection policies and measures as appropriate. For risk relating to data security, see “Risk Factors – Risks Related to Our Business and Industry – Product, system security, and data protection breaches, as well as cyber-attacks, could disrupt our operations, reduce our expected revenue and increase our expenses, which could adversely affect our results of operations and damage our reputation” for details. As advised by our PRC Legal Advisor, we complied with the applicable laws and regulations in all material aspects in relation to data privacy and security, cybersecurity and personal data protection during the Track Record Period and up to the Latest Practicable Date.

Given that (i) we have established a comprehensive cybersecurity and data protection framework encompassing both organizational management measures and technical security measures. Specifically, we have established Information Security Committee to oversee all cybersecurity matters, and we have adopted internal policies governing information security, (ii) we have deployed necessary technical protection, including cloud-based web application firewalls and anti-virus systems, to safeguard its data, and (iii) during the Track Record Period and up to the Latest Practicable Date, we have not experienced any data security incidents, and having considered the measures currently in place, our Directors are of the view that our existing data protection and cybersecurity arrangements are adequate to ensure data privacy and security.

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LOGISTICS AND INVENTORY MANAGEMENT

Logistics

We engage third-party logistics service providers to deliver our hardware products to the venue specified by our customers. Our transportation arrangements with third-party logistics service providers enable us to maintain a low level of capital investment in developing and maintaining an in-house logistics system.

During the Track Record Period and up to the Latest Practicable Date, we had not experienced any material disruption in the delivery of our hardware products or suffered any loss due to late delivery or mishandling of hardware products by our logistics service providers.

Inventory Management

Our inventories mainly include raw materials, work in progress and finished goods. As we started to generate revenue from our Specialist Technology Products in 2023, our inventories amounted to RMB39.3 million, RMB173.5 million, RMB152.9 million and RMB599.8 million as of December 31, 2022, 2023 and 2024 and June 30, 2025, respectively. We regularly track our inventory to keep it at a level sufficient to fulfill customers’ orders. We also proactively assess changes in market conditions and pre-store strategic raw materials in anticipation of potential supply shortage. Our supply chain management team reviews and manages our inventories regularly, and takes necessary actions to minimize risks of obsolescence when required.

QUALITY CONTROL

We are committed to maintaining the highest level of quality in our solutions. We place strong emphasis on quality by implementing a comprehensive quality control system. We also have a designated quality control team to manage and monitors the quality of our solutions. As of June 30, 2025, we had more than ten members in our quality control team.

We have comprehensive policies and detailed procedures in place to ensure the quality of the components and raw materials we purchase from suppliers. When selecting and evaluating suppliers, we conduct due diligence and consider a number of factors, including, but not limited to, their qualifications, reputations, credentials, experience, service or availability, and pricing. We conduct inspections and relevant testing of the supplies we purchase to ensure that they are in satisfactory condition and are fully functional before acceptance.

Although we do not conduct the manufacturing of our GPGPU products, we seek to ensure quality control by carefully selecting the suppliers, actively reviewing the production process and testing the products produced by our manufacturers. We have adopted strict quality control measures over our production process including post-production inspection, on-site ad hoc inspection, and final quality control to ensure quality. We require our manufacturers to strictly follow any applicable laws, regulations and industry standards.

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Our customer service team are responsible for communications with customers regarding quality issues. Other than defective products, we do not accept returns. Once our products are sold to consumers, we accept product exchange and return for defective products within 2-4 weeks following product delivery based on the contract. We have not experienced any material complaints or product recalls, returns, failure or defects during the Track Record Period and up to the Latest Practicable Date.

COMPETITION

China’s intelligent computing chips market is highly concentrated for top players. In 2024, the top two players combined account for a market share of 94.4%. The rest of the market is relatively fragmented with no major player capturing a market share of over 1.0%, which presents opportunities for any single player to scale and excel in future competition. The table below sets forth the ranking of China’s intelligent computing chips market in terms of revenue generated in 2024, according to CIC.

Rank	Company	Main type of intelligent computing chips	Market share, in terms of revenue, %, 2024
1	Company A	GPGPU	76.2%
2	Company B	ASIC	18.2%

Source: annual reports of public companies, CIC

Notes:

- a. Company A is a GPU company headquartered in the United States and founded in 1993. It is a listed company on NASDAQ.
- b. Company B is a semiconductor and device design company headquartered in China and founded in 2004. It is a subsidiary of an ICT infrastructure and smart devices company. It is an unlisted company.

We commercially launched our Specialist Technology Product in August 2022 and expect to compete with other major intelligent computing chips providers. With our powerful and cost-effective computing solutions, we believe that we are well- positioned to capture the massive market opportunities. China’s intelligent computing chips market is expected to reach US\$50.4 billion in 2025, according to CIC, we expect to capture a market share of approximately 0.2% in 2025. For details, see “Industry Overview – Competitive Landscape of China’s Intelligent Computing Chips Industry.”

AWARDS AND ACHIEVEMENTS

As a result of the Company’s continuous investments in its research and development capacities, it has earned industry-wide recognition from multiple PRC governmental authorities.

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See below the Company’s major awards and achievements during the Track Record Period/as of the Latest Practicable Date.

Award/Recognition	Award year	Awarding Institution/Authority
SAIL Award, World Artificial Intelligence Conference (世界人工智能大會SAIL獎)	2022	World Artificial Intelligence Conference (世界人工智能大會)
Pilot Enterprise for Patent Work of Shanghai (上海市企事業專利工作試點單位)	2023	Shanghai Intellectual Property Administration (上海市知識產權局)
Asia’s Best Workplace™ 2023 (2023年亞洲最佳職場™)	2023	Great Place to Work (卓越職場)
National Intellectual Property Advantage Enterprise (國家知識產權優勢企業)	2023	China National Intellectual Property Administration
National-level Specialized, Excellent, Featured and Innovative “Little Giant” Company (國家級專精特新“小巨人”企業)	2023	Ministry of Industry and Information Technology (工業和信息化部)
National-level Specialized, Excellent, Featured and Innovative Key “Little Giant” Company (國家級專精特新重點“小巨人”企業)	2024	Ministry of Industry and Information Technology (工業和信息化部)
Annual Best Solution Award, Semiconductor Investment Conference and IC Rankings (半導體投資年會暨IC風雲榜年度最佳解決方案獎)	2024	China Semiconductor Investment Alliance (中國半導體投資聯盟)
Demonstration Case of “Artificial Intelligence” in New Quality Productive Forces Industrial Practices (新質生產力產業實踐“人工智能”示範案例)	2025	Global Times (環球時報)

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Award/Recognition	Award year	Awarding Institution/Authority
Outstanding Model Case of Iconic Product in Future Industry Innovation – “Domestic GPU Intelligent Computing Cluster Solution Featuring Integrated Software-Hardware Heterogeneous Collaboration” (未來產業創新發展“標誌性產品”優秀典型案例—“軟硬一體異構協同的國產GPU智算集群解決方案”)	2025	Ministry of Industry and Information Technology (工業和信息化部)
Golden Bull Sci-Tech Innovation Enterprise Award (金牛科創企業獎)	2025	China Securities Journal (中國證券報)
SAIL Award, World Artificial Intelligence Conference (世界人工智能大會SAIL獎)	2025	World Artificial Intelligence Conference (世界人工智能大會)
World Future Industries Competition: Super Power Award (全球未來產業之星大賽超能獎)	2025	Science and Innovation Conference (科創大會)

INTELLECTUAL PROPERTY

Intellectual property rights are fundamental to our business operations and future commercial success. In this regard, we rely primarily on a combination of patents, copyrights, layout-design of integrated circuits, trademarks, domain names, trade secrets and other proprietary rights protection law in the PRC and other jurisdictions where we operate as well as contractual provisions to protect our intellectual property rights.

As of the Latest Practicable Date, we had 613 patents, 40 copyrights and 16 layout-design of integrated circuits in the PRC and overseas, and are applying for 972 patents in the PRC and overseas, mainly for our next-generation technologies and products, such as BR20X. In addition, as of the same date, we had registered 144 trademarks, and eight domain names which we consider to be or may be material to our business. If we are unable to obtain and maintain patent and other intellectual property protection with respect to our technologies, our business, financial condition, results of operations and prospects could be materially harmed. For details, see “Risk Factors — Risks Related to Our Intellectual Properties — If we are unable to obtain and maintain patent and other intellectual property protection for our technologies or products, or if the scope of such intellectual property rights obtained is not sufficiently broad, third parties could develop and commercialize products and technologies similar or identical to ours and compete directly against us, and our ability to successfully commercialize any product or technology may be adversely affected.”

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See below our material intellectual property rights granted and applied for in China in relation to the Specialist Technology Product as of the Latest Practicable Date, all of which are owned by us:

No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
1	Vector Computing Device (向量運算裝置)	ZL202011132750.6	Granted	October 21, 2040	Self-developed	GPGPU architecture – Advanced computing architecture
2	Multiplication Circuit Module and Multiplication Method (乘法電路模塊與乘法運算方法)	ZL202410251295.3	Granted	March 6, 2044	Self-developed	GPGPU architecture – Advanced computing architecture
3	Single Instruction Multi-thread Processing Device and Method (單指令多線程的處理裝置及方法)	ZL202410257036.1	Granted	March 7, 2044	Self-developed	GPGPU architecture – Advanced computing architecture
4	AI Chip, Special Function Computation Method and Computer-readable Storage Medium (人工智能芯片、特殊函數計算方法和計算機可讀存儲介質)	ZL202410101171.7	Granted	January 25, 2044	Self-developed	GPGPU architecture – Advanced computing architecture
5	Processing Device for Data Processing (用於處理數據的處理裝置)	ZL202011577665.0	Granted	December 28, 2040	Self-developed	GPGPU architecture – Advanced computing architecture
6	Data Processing Method for Processing Units, Electronic Device and Computer-readable Storage Medium (用於處理單元的數據處理方法、電子設備和計算機可讀存儲介質)	ZL202110258250.5	Granted	March 9, 2041	Self-developed	GPGPU architecture – Advanced computing architecture

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
7	Convolution Device and Method, Matrix Aggregation/Decomposition Device and Method (卷積設備、卷積方法、矩陣拆聚裝置及矩陣拆聚方法)	ZL202111195064.8	Granted	October 14, 2041	Self-developed	GPGPU architecture – Advanced computing architecture
8	Computing Device, Computing Equipment and Programmable Scheduling Method (計算裝置、計算設備以及可編程調度方法)	ZL202011283070.4	Granted	November 17, 2040	Self-developed	GPGPU architecture – Advanced computing architecture
9	Method for Convolution Computation, Computing Device and Computer-readable Storage Medium (用於卷積計算的方法、計算設備和計算機可讀存儲介質)	ZL202011484326.8	Granted	December 16, 2040	Self-developed	GPGPU architecture – Advanced computing architecture
10	Computing System (計算系統)	ZL202011327689.0	Granted	November 24, 2040	Self-developed	GPGPU architecture – Advanced computing architecture
11	Computing Device and Method for Loading or Updating Data (計算裝置以及用於加載或更新數據的方法)	ZL202011260055.8	Granted	November 12, 2040	Self-developed	GPGPU architecture – Advanced computing architecture
12	Computing Device and Method for Loading or Updating Data (計算裝置以及用於加載或更新數據的方法)	ZL202011260174.3	Granted	November 12, 2040	Self-developed	GPGPU architecture – Advanced computing architecture

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
13	Method for Computing, Computing Device and Computer-readable Storage Medium (用於 計算的方法、計算設備和 計算機可讀存儲介質)	ZL202110267725.7	Granted	March 12, 2041	Self-developed	GPGPU architecture – Advanced computing architecture
14	Dot Product Computing Device (點積計算裝置)	ZL202110456687.X	Granted	April 27, 2041	Self-developed	GPGPU architecture – Advanced computing architecture
15	Method for Computing, Computing Device and Computer-readable Storage Medium (用於 計算的方法、計算設備和 計算機可讀存儲介質)	ZL202110267756.2	Granted	March 12, 2041	Self-developed	GPGPU architecture – Advanced computing architecture
16	Computing Device and Method for Floating- point Calculation (計算 裝置以及用於浮點數計算 的方法)	ZL202110214311.8	Granted	February 25, 2041	Self-developed	GPGPU architecture – Advanced computing architecture
17	Memory Allocation Method and Device Based on Memory Region, and Access Method and Device (基 於內存區域的內存分配方 法和設備以及訪問方法和 設備)	ZL202110059908.X	Granted	January 18, 2041	Self-developed	GPGPU architecture – Advanced data flow architecture
18	Computing System, Computing Processor and Data Processing Method (計算系統、計 算處理器和數據處理方 法)	ZL202110514602.9	Granted	May 12, 2041	Self-developed	GPGPU architecture – Advanced data flow architecture

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
19	Multicast Routing Method, Interconnection Device, Mesh Network System and Configuration Method (多播路由方法、互連設備、網狀網絡系統及其配置方法)	ZL202110811612.9	Granted	July 19, 2041	Self-developed	GPGPU architecture – Advanced data flow architecture
20	Information Processing Method, Interconnection Device and Computer-readable Storage Medium (信息處理方法、互連設備和計算機可讀存儲介質)	ZL202011275787.4	Granted	November 16, 2040	Self-developed	GPGPU architecture – Advanced data flow architecture
21	Method and Computing System for Processing Data Using Computing Array (利用計算陣列來處理數據的方法和計算系統)	ZL202110537558.3	Granted	May 18, 2041	Self-developed	GPGPU architecture – Advanced data flow architecture
22	Packaging Structure (封裝結構)	ZL202222017863.2	Granted	August 2, 2032	Self-developed	SoC design – SoC architecture
23	Semiconductor Packaging Structure and Packaging Method (半導體封裝結構及封裝方法)	ZL202110796716.7	Granted	July 14, 2041	Self-developed	SoC design – SoC architecture
24	Chipset and Manufacturing Method Thereof (芯片組及其製造方法)	ZL202110662127.X	Granted	June 15, 2041	Self-developed	SoC design – memory system
25	Packaging Structure (封裝結構)	ZL202420895671.8	Granted	April 28, 2034	Self-developed	SoC design – multi-GPU interconnection

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
26	SerDes Driver and System, Optimization Method and Apparatus, Device, Medium and Product (SerDes驅動器及系統、優化方法及裝置、設備、介質和產品)	ZL202410684024.7	Granted	May 30, 2044	Self-developed	SoC design – multi-GPU interconnection
27	Test Circuit and Method for Package Routing Performance (封裝走線性能測試電路和方法)	ZL202410698079.3	Granted	May 31, 2044	Self-developed	SoC design – SoC Testing
28	Method and Apparatus for Fixing Antenna Effect Violations (天線效應違例修複方法和裝置)	ZL202410491457.0	Granted	April 23, 2044	Self-developed	SoC design – SoC Design Flow
29	Power Network Planning Method for Chip, Device, Electronic Equipment and Storage Medium (芯片電源網絡規劃方法、裝置、電子設備和存儲介質)	ZL202410453028.4	Granted	April 15, 2044	Self-developed	SoC design – SoC Design Flow
30	Design Method for Integrated Circuit Chip and Integrated Circuit Chip (集成電路芯片的設計方法和集成電路芯片)	ZL202110280844.6	Granted	March 16, 2041	Self-developed	SoC design – SoC Design Flow
31	Packaging Structure (封裝結構)	ZL202421945509.9	Granted	August 13, 2034	Self-developed	SoC design – Chip Package Design
32	Packaging Structure and Manufacturing Method Thereof (封裝結構及其製造方法)	ZL202411545386.4	Granted	November 1, 2044	Self-developed	SoC design – Chip Package Design
33	Packaging Structure (封裝結構)	ZL202422654761.0	Granted	November 1, 2034	Self-developed	SoC design – Chip Package Design

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
34	Server Board and Monitoring System Thereof, Server and Monitoring System Thereof (服務器板卡及其監測系統、服務器及其監測系統)	ZL202420643732.1	Granted	March 29, 2034	Self-developed	Hardware system design – PCIe board
35	Board (板卡)	ZL202123151456.2	Granted	December 15, 2031	Self-developed	Hardware system design – PCIe board
36	Board (板卡)	ZL202430116996.7	Granted	March 8, 2039	Self-developed	Hardware system design – PCIe board
37	Heat Sink and Packaging Method Thereof (散熱器及其封裝方法)	ZL202110690141.0	Granted	June 22, 2041	Self-developed	Hardware system design – OAM
38	Connector-Assisted Separation Structure and OAM Module (一種連接器輔助分離結構及OAM模組)	ZL202520243417.4	Granted	February 17, 2035	Self-developed	Hardware system design – OAM
39	Board Structure, Snap-Fit Fastening Structure and Electronic Device (一種板卡結構、扣卡固定結構及電子設備)	ZL202520334460.1	Granted	February 28, 2035	Self-developed	Hardware system design – OAM
40	Air-Cooled Board (風冷板卡)	ZL202430144992.X	Granted	March 20, 2039	Self-developed	Hardware system design – OAM
41	Supernode Device and Computing Acceleration Device for Accelerator Cluster (一種加速器集群超節點裝置和計算加速裝置)	ZL202520415078.3	Granted	March 11, 2035	Self-developed	Hardware system design – UBB, Server, Server Cluster
42	Server Cluster System (服務器集群系統)	ZL202420919632.7	Granted	April 28, 2034	Self-developed	Hardware system design – UBB, Server, Server Cluster

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
43	Computing System, Computing Processor and Data Processing Method (計算系統、計算 處理器和數據處理方法)	ZL202110514602.9	Granted	May 12, 2041	Self-developed	Hardware system design – UBB, Server, Server Cluster
44	Compilation Method, Electronic Device and Storage Medium (編譯方 法、電子設備以及存儲介 質)	ZL202411112302.8	Granted	August 13, 2044	Self-developed	Software Technologies – Advanced Compiler Optimizations for AI Workloads
45	Optimization Method for Artificial Intelligence Model, Compiler, Electronic Device and Storage Medium (人工智 能模型的優化方法、編譯 器、電子設備與存儲介 質)	ZL202411562252.3	Granted	November 4, 2044	Self-developed	Software Technologies – Advanced Compiler Optimizations for AI Workloads
46	Operator Fusion Method, Electronic Device and Storage Medium (算子融 合方法、電子設備與存儲 介質)	ZL202411067103.X	Granted	August 5, 2044	Self-developed	Software Technologies – Advanced Compiler Optimizations for AI Workloads
47	Compiler Optimization Method, Electronic Device and Storage Medium (編譯器的優化 方法、電子設備與存儲介 質)	ZL202411067048.4	Granted	August 5, 2044	Self-developed	Software Technologies – Advanced Compiler Optimizations for AI Workloads

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
48	Resource Management Method, Computing Device and Computer-Readable Storage Medium (用於管理資源的方法、計算設備和計算機可讀存儲介質)	ZL202011347122.X	Granted	November 25, 2040	Self-developed	Software Technologies – A High-Performance GPGPU Programming Model
49	Middleware and Method for Adapting Hardware Devices to Deep Learning Frameworks (用於深度學習框架適配硬件設備的中間件和方法)	ZL202411104719.X	Granted	August 12, 2044	Self-developed	Software Technologies – High-Performance Machine Learning Libraries
50	Method, Computing Device, Medium and Program Product for Software-Hardware Adaptation (用於軟硬件適配的方法、計算裝置、介質和程序產品)	ZL202410444215.6	Granted	April 11, 2044	Self-developed	Software Technologies – High-Performance Machine Learning Libraries
51	Data Processing Method, Apparatus, Electronic Device and Storage Medium (一種數據處理方法、裝置、電子設備及存儲介質)	ZL202411166287.5	Granted	August 22, 2044	Self-developed	Software Technologies – High-Performance Machine Learning Libraries
52	Memory Architecture Mapping Method, Device, Storage Medium and Program Product (一種內存架構映射方法、設備、存儲介質及程序產品)	ZL202410481963.1	Granted	April 21, 2044	Self-developed	Software Technologies – Efficient Memory Management for Large-Scale AI Training

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
53	Tensor Memory Transfer Method, Device, Storage Medium and Program Product (一種張量內存搬運方法、設備、存儲介質及程序產品)	ZL202411037672.X	Granted	July 29, 2044	Self-developed	Software Technologies – Efficient Memory Management for Large-Scale AI Training Software
54	Memory Allocation Method and Apparatus, Memory Addressing Method and Apparatus (一種內存分配的方法及裝置、內存尋址的方法及裝置)	ZL202011163342.7	Granted	October 26, 2040	Self-developed	Software Technologies – Efficient Memory Management for Large-Scale AI Training Software
55	Distributed Computing System and Model Training Optimization Method for Deep Learning Models (分布式運算系統以及深度學習模型的模型訓練優化方法)	ZL202410132747.6	Granted	January 29, 2044	Self-developed	Software Technologies – Virtual Layer and Dynamic Pipeline Orchestration for Distributed Training Software
56	Interleaved Pipeline Parallel Training Method, Apparatus, Device, Storage Medium and Program Product (交錯式流水線並行訓練方法、裝置、設備、存儲介質和程序產品)	ZL202411968005.3	Granted	December 29, 2044	Self-developed	Software Technologies – Virtual Layer and Dynamic Pipeline Orchestration for Distributed Training

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
57	Data Transfer Method, Distributed Training System, Electronic Device and Storage Medium (數據搬運方 法、分布式訓練系統、電 子設備和存儲介質)	ZL202410495934.0	Granted	April 23, 2044	Self-developed	Software Technologies – Virtual Layer and Dynamic Pipeline Orchestration for Distributed Training
58	Device Communication Method, Device and Medium (設備通信方 法、設備及介質)	ZL202411732925.5	Granted	November 28, 2044	Self-developed	Software Technologies – Virtual Layer and Dynamic Pipeline Orchestration for Distributed Training
59	Cloud Service System and Operation Method Thereof (雲端服務系統及 其操作方法)	ZL202110874293.6	Granted	July 29, 2041	Self-developed	Software Technologies – Unified AI Development Environment across Cloud and Edge
60	Active Testing Method, Apparatus, Device, Medium and Product for AI Computing Clusters (AI算力集群的主動測試 方法、裝置、設備、介質 和產品)	ZL202510012604.6	Granted	January 5, 2045	Self-developed	Software Technologies – Unified AI Development Environment across Cloud and Edge
61	Biren SUPA Programming Framework Software (璧仞SUPA編 程框架軟件)	2020SR1579133	Registered	June 30, 2070	Self-developed	Software Technologies – Programming Model

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No.	Patents/ Software Copyrights	Registration No.	Status	Tenure	Self-developed or In-Licensed	Key Technology Involved
62	Biren Computing Graph Intelligent Scheduling and Optimization Software V1.0 (壁仞計算 圖智能調度與優化軟件 V1.0)	2022SR1446355	Registered	April 11, 2072	Self-developed	Software Technologies – Graph-level Optimization
63	Biren ML Compiler Operator Optimization Graph Structure Expression System V1.0 (壁仞ML編譯器算子優化 圖結構表達系統 V1.0)	2020SR1579135	Registered	September 23, 2070	Self-developed	Software Technologies – Graph-level Optimization
64	Biren Vector Engine High-performance Assembly Code Generation Software V1.0 (壁仞向量引擎高性 能匯編代碼生成軟件 V1.0)	2022SR1145950	Registered	January 31, 2071	Self-developed	Software Technologies – ML Libraries
65	Biren TCore High- performance Assembly Code Generation Software V1.0 (壁仞 TCore高性能匯編代碼生 成軟件 V1.0)	2022SR1145940	Registered	January 31, 2071	Self-developed	Software Technologies – ML Libraries

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The term of an individual patent may vary based on the jurisdictions in which it is granted. In China and most other jurisdictions in which we file patent applications, the term of an issued patent for invention is generally 20 years from the filing date of the earliest non-provisional patent application on which the patent is based in the applicable jurisdiction. The actual protection afforded by a patent varies on a claim-by-claim and jurisdiction-by-jurisdiction basis and depends upon many factors, including the type of patent, the scope of its coverage, the availability of any patent term extension or adjustment, the availability of legal remedies in a particular jurisdiction and the validity and enforceability of the patent. We cannot provide any assurance that patents will issue with respect to any of our pending patent applications or any such patent applications that may be filed in the future, nor can we provide any assurance that any of our owned or licensed issued patents or any such patents that may be issued in the future will be commercially useful in protecting our solutions.

We have established a comprehensive and rigorous intellectual property and trade secret protection system to fully safeguard our core technologies and solutions. IP applications are a key method of technological protection. We have implemented a patent review mechanism to promptly secure intellectual property. This strategy creates technological barriers, effectively blocking competitors from copying or imitating our innovations.

In addition, confidentiality is crucial in protecting our trade secrets and technological confidential information. We seek to protect our proprietary technology and processes, in part, by entering into confidentiality agreements with consultants, advisors and contractors. We have entered into agreements with confidentiality and non-competition clauses with our senior management and certain key members of our R&D team and other employees who have access to trade secrets or confidential information about our business. Our standard employment contract, which we use to employ our employees, contains an assignment clause, under which we own all the rights to all inventions, technology, know-how and trade secrets derived during the course of such employee’s work. Additionally, we conduct regular confidentiality training to reinforce employees’ awareness and capabilities in safeguarding proprietary information.

We also seek to preserve the integrity and confidentiality of our data and trade secrets by maintaining physical security of our premises and physical and electronic security of our information technology systems. We have implemented and maintains additional confidentiality measures, such as establishing tiered access control systems, physical and network segregation, applying document watermarking and operation log tracking, and restricting the dissemination of sensitive information.

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We also own a number of registered trademarks and pending trademark applications. As of the Latest Practicable Date, we had registered trademarks for our Company and our corporate logo in China and other jurisdictions and are seeking trademark protection for our Company and our corporate logo in other jurisdictions where available and appropriate.

For detailed information about our material intellectual property, see “Appendix V – Statutory and General Information – Further Information about our Business – Intellectual Property Rights.”

Our BIRENSUPA supports open-source deep learning frameworks and we use open-source software in some of our solutions, and we expect to continue to use open-source software in our business operation in the future. We utilize open-source software merely as a development tool or to enhance research and development efficiency and quality. The use of open-source components are subject to strict review by the internal open-source committee. Additionally, we conduct open-source compliance scanning and management regularly. As a result, the use of open-source software does not compromise our ownership rights over our self-developed intellectual properties.

Our Directors confirm that during the Track Record Period and up to the Latest Practicable Date, we had no instance of infringement of third parties’ intellectual property rights.

EMPLOYEES

As of June 30, 2025, we had a total of 792 employees. Substantially all of our employees are based in the PRC. The following table sets forth a breakdown of our employees categorized by function as of June 30, 2025.

Function	Number	% of total
Research and development	657	83.0
Sales and marketing	32	4.3
General and administration	103	13.0
Total	792	100.0

Our success depends on our ability to attract, retain and motivate qualified personnel, and we believe that our high-quality talent pool is one of the core strengths of our company. We adopt high standards and strict procedures in our recruitment, including campus recruitment, online recruitment, internal referral and recruitment through executive search, to satisfy our demands for different types of talent. We believe we offer our employees competitive compensation, comprehensive professional trainings, exceptional working environment and employee care, and promotion opportunities, as a result, we believe we have been able to attract and retain qualified employees, key management and technical staff to maintain a thriving team.

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In addition, we place strong emphasis on providing trainings to our employees to enhance their professional skills. We offer onboarding trainings for all new hires and provide targeted trainings for employees at various positions from different departments. Our employees can also improve their skills through mutual learning among colleagues.

As required by PRC laws and regulations, we participate in various employee social security schemes organized by applicable local municipal and provincial governments, including pension insurance, maternity insurance, unemployment insurance, work-related injury insurance, health insurance and housing provident fund. We are required under PRC laws and regulations to make contributions to employee social security schemes at specified percentages of the salaries, bonuses and certain allowances of our employees, up to a maximum amount specified by the local government from time to time.

During the Track Record Period and up to the Latest Practicable Date, social insurance contributions for some of our foreign employees and employees with Hong Kong and Taiwan residency have not been made in accordance with the relevant PRC laws and regulations. As of December 31, 2022, 2023, 2024 and June 30, 2025, we recorded provision for such shortfalls RMB2.7 million, RMB5.2 million, RMB6.2 million and RMB5.0 million, respectively. Pursuant to relevant PRC laws and regulations, the relevant PRC authorities may demand the employers failing to perform the aforesaid obligations to pay the outstanding social insurance contributions within a stipulated deadline and such employers may be liable to a late payment fee equal to 0.05% of the outstanding amount for each day of delay. If employers fail to make such payments, they may be liable to a fine of one to three times the amount of the outstanding contributions. We undertake to make full payment or settle any shortfall within a prescribed time period if and when requested by the relevant authorities. As of the Latest Practicable Date, no administrative action or penalty had been imposed by the relevant regulatory authorities with respect to our social insurance contributions, nor had we received any order to settle the deficit amount. Moreover, as of the Latest Practicable Date, we were not aware of any complaint filed by those employees regarding our social insurance practice.

We enter into standard contracts and agreements regarding confidentiality, intellectual property, employment, commercial ethics and noncompetition with our key management and technical staff. These contracts typically include a noncompetition provision effective during and up to two years after their employment with us and a confidentiality provision effective during and after their employment with us.

We believe that we maintain good working relationship with our employees and we have not experienced any material labor disputes or any difficulty in recruiting qualified staff for our operations during the Track Record Period and as of the Latest Practicable Date. None of our employees are currently represented by any labor unions.

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INSURANCE

We consider our insurance coverage to be adequate for our business operations in China in accordance with the commercial practices in the industries in which we operate. Our employee-related insurance consists of pension insurance, maternity insurance, unemployment insurance, work-related injury insurance and health insurance. We also purchased patent liability insurance, trademark right insurance, and property insurance for certain of our decoration and furniture as well as machinery and equipment. In line with general market practice and as of the Latest Practicable Date, we did not maintain key-man insurance, which are not mandatory under PRC laws. We believe our insurance policy complies in the material aspects with the relevant rules and regulation in the PRC. See “Risks Factors – Risks Related to Our Business and Industry – Our limited insurance coverage could expose us to significant costs and business disruption” for details.

ENVIRONMENTAL, SOCIAL AND GOVERNANCE

Overview

We are committed to promoting corporate social responsibility and sustainable development and integrating it into the major aspects of our business operations. Corporate social responsibility is integral of our culture “R.E.C.I.P.E.”, which stands for Responsibility, Excellence, Collaboration, Innovation, Pragmatism, Empowering.

As a responsible corporate citizen, we see sustainable development as a strategic priority, actively fulfill our social responsibility, continuously improve corporate responsibility structure, manage our supply chains sustainably and protect stakeholder interests. We have obtained the environmental management system certification (ISO14001), quality management system certification (ISO9001) and occupational health and safety management system certification (ISO45001).

ESG Governance

We place strong emphasis on the effective implementation of ESG measures by continuous improving the ESG governance structure and actively promoting the integration of ESG concepts into the Company’s operation. The Board, as the highest supervisory body for ESG issues, is responsible for supervision and management over risks and opportunities related to ESG, supervision over the formulation of strategies and systems related to ESG, consideration of major issues related to ESG on a regular basis, and due consideration of impacts of major ESG-related risks or opportunities for decision-making or strategies in major transactions, so as to ensure full attention to ESG issues and effective progress of ESG measures. To ensure effective implementation of ESG measures, we have established the ESG working group, which is responsible for the implementation of specific ESG measures and overall planning and coordination for collection, consolidation, analysis and control of ESG performance data across various departments, thereby continuously tracking developments and frontline directions of ESG issues for the enhancement in effectiveness of the ESG measures.

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The Board has been regarding the development of culture of compliance as an integral part of sustainable development of our Company. The Board has integrated the concepts of compliance into our development strategies and governance structure. Based on core duties provided by the Articles of Association and the Rules of Meeting, and by exercising the power of approval under the system and the power of supervision over various issues, the Board has promoted the implementation of various compliance measures including ESG compliance, thereby effectively minimizing the risks arising from the daily operation.

We also place strong emphasis on routine implementation of compliance trainings. We provide compliance training to all employees at least once a year, thereby enhancing awareness and professionalism of compliance among the employees and promoting the development of the culture of compliance.

We have formulated the Policy on ESG responsibilities (《環境、社會及治理責任政策》), which includes our specific commitments and requirements in connection to various major topics on ESG, and provides specific guideline for performing ESG management in our daily operation.

We actively put concepts of sustainable development in practice by integrating ESG management in daily operation of the Company with reference to the Code of Conduct — Responsible Business Alliance, thereby driving quality and sustainable development of the Company, and safeguarding interests of investors, customers and employees as stakeholders.

BOARD DIVERSITY

We consider diversity at the Board level a key element that supports the Company’s strategic objectives and sustainable development, and adopts the policy of Board diversity. We have considered various factors in deciding the composition of Board members, including but not limited to gender, age, culture and education background, ethnicity, professional experience, skills, knowledge and length of service. All Board appointments will be based on merit, and candidates will be considered against objective criteria, having due regard to benefits of diversity on the Board. Currently, our Board consists of 1 female director and 8 male directors.

ESG strategies and risk management

We have a deep understanding of the key role of ESG in its business development, financial performance and operation. By comprehensively considering major concerns of internal and external stakeholders, and by integrating our business characteristics, we accurately identified and conducted in-depth analysis of ESG risks that may have material impacts on the Company, and taking into account of these risks in our strategic planning, financial initiatives and operation.

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We have identified and assessed the following major ESG risks that may have impacts on our business, strategic or financial performance, and have formulated relevant counter measures:

Key topics	Potential risks/opportunities	Counter measures
Climate change	Climate change could have adverse effects on our business and that of our customers, partners and suppliers. Increasing extreme weather events could have impacts on the steadiness of our operations, while regulations such as carbon taxes, fuel or energy taxes and pollution limits could result in higher direct costs.	We have started auditing of data for greenhouse gas emission, and clearly identified the carbon footprint during the Company’s operation. We committed to continuously reduce greenhouse gas emission, thereby facilitating the transformation of the Company towards one with low carbon and green operational model.
Product liabilities.	Lagging far behind iteration of technologies or peers in terms of R&D and innovation could have adverse effect on our competitiveness in markets; any health or safety incident or quality concern related to our products could lead to compliance risks, loss of business and damage to business reputation.	We continued to expand spending on innovation for further development of our independent, original and high-performance GPU hardware and software systems, with all products strictly in compliance with national safety standards, and developed the quality control system that covers the whole life cycle of the products.
Supply chain management	Responsible and sustainable supply chain is vital to safety, reliability and sustainability of the products. Any failure to screen and assess the suppliers seriously could expose us to risks arising from, among others, violation of laws and regulations or unethical behaviors, which includes the risk of conflict minerals that cannot be ignored.	We established a well-developed and strict supplier management system, and impose ESG requirements on suppliers in the areas of labour, health and safety, environmental protection, business ethics and CSR management system to minimize supply chain risks.

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Key topics	Potential risks/opportunities	Counter measures
Labor rights	Risks relating to labor rights could cause negative effects on reputation and operational stability of the Company.	We have identified vulnerable groups (including employees, females, children, contractor’s employees and local community groups) in the areas of potential risks of labor rights and labor rights issues that may arise from the Company’s operation and value chain, and analysed and assessed impacts of major risks. The Company has developed its management system, established diversified channels of communication, entered into relevant agreements on the protection of rights and interests, and organized trainings that cover various topics, while ensuring effective implementation of these measures through risk tracking.
Business ethics	Any business practice in violation of regulations could constitute violation of laws and regulations, expose us to penalties and cause damage to reputation of the Company.	We have been adhering to the principle of Integrity Management, and established comprehensive systems to regulate activities of related parties including employees and suppliers. We also established complete whistleblowing procedures and systems to protect the whistleblowers. We have zero-tolerance for any act of corruption, with a good business environment and order for development maintained by our employees at all levels of the Company.

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We continued to optimize procedures of risk management and internal control, effectively identified, assessed, prioritize and monitor major ESG-related risks through systematic procedures, and gradually integrated these risks into the Company’s overall risk management and internal control framework. The Board as the highest decision-making body is responsible for conducting careful studies and discussion on materiality and priorities of major ESG risks and making final decisions.

In respect of the identified ESG risks, we have developed targeted counter-measures to ensure implementation of risk control measures across different stages of operating procedures within the Company. We will adopt appropriate measures to hedge these risks when necessary, thereby comprehensively enhancing the Company’s capacity to manage risks. During the Track Record Period and up to the Latest Practicable Date, the Company did not have any non-compliance in violation of ESG-related laws and regulations.

Environmental protection

Given the nature of our business, we do not operate any production facilities or otherwise impose material threats to the environment or the climate. Nonetheless, we have actively engaged in environmental protection and improvement and sustainability. We actively fulfill our social responsibility by adopting practicable measures to minimize impacts on the environment. We have obtained the environmental management system certification (ISO14001), and encouraged all suppliers to rely on it as the benchmark in promoting environmental management.

To regulate classification, collection, storage and disposal of business waste and improve the utilization rate for recycling, we formulated and implemented the Regulations on Disposal of Commerce Waste (《辦公廢棄物處置規範》) in accordance with the Law of the People’s Republic of China on Prevention and Control of Environmental Pollution by Solid Waste (《中華人民共和國固體廢物污染環境防治法》) and other relevant laws and regulations. In respect of management on wastes, we performed centralized collection and management of waste batteries, which will be handled by professional firms to prevent electrolytic pollution. In respect of general waste, the Company has established the “recyclables collection bin”, by which our employees are required to put wastes including paper, plastics and metals in the bin, thereby realizing recycling of resources. Other wastes will be centrally cleared and handled by professional firms.

We have been adhering to the concepts of environmental protection and striving to achieve resources conservation during the whole course of daily operation and to develop our business in a sustainable way. We plan to reduce electricity consumption intensity by 8% compared to 2024 by 2030 and reduce water consumption intensity by 5% compared to 2024 by 2030. We pay close attention to the implementation of these targets and adjust and improve our targets in a timely manner as our business develops. We plan to achieve this through the following measures: actively encourage digital operations of businesses by utilizing cloud-based services to reduce consumption of paper in the businesses, thereby improving workplace efficiency and reducing resources consumption. We require our employees to develop good practice of water and power saving during the daily operation, thereby minimizing negative

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effects on the environment at all fronts. In addition, we disseminate the regulations on disposal of waste and knowledge for environmental protection through various means on a quarterly basis, thereby enhancing awareness of environmental protection among the employees and creating a green workplace.

In 2022, 2023, 2024 and the first half of 2025, the data relating to utilization of resources by the Company are as follows:

Indicator	Unit	2022	2023	2024	2025H1
Electricity consumption	kWh	3,526,969.11	4,647,836.43	5,376,955.04	3,047,162.60
Water consumption	Ton	2,061.38	3,756.00	3,831.00	2,285.00

Climate changes

We have in-depth understanding of the profound impacts of climate changes on human society and natural environment, and have initiated the accounting of greenhouse gas emissions data. We are paying attention to Scope 3 GHGs emissions and have already accounted for the data related to employee business travel and plan to gradually expand to other categories within Scope 3. We will continuously improve our data collection and accounting systems to comprehensively review the carbon footprint across our operations. To continuously promote emissions reduction, we have implemented multiple initiatives including but not limited to: promoting teleconferences and online meetings to minimize non-essential business travel; adhering to national air conditioning temperature standards while promptly turning off lights in unoccupied areas and other non-essential electronic equipment overnight; ongoing oversight greenhouse gas emissions across suppliers and the entire supply chain to identify opportunities of emission reduction potential. These efforts ensure that we effectively control and progressively reduce GHGs emissions while our business grows, fully driving advancing the company’s transition to a low-carbon, green operational model and contributing to global climate change mitigation efforts.

In 2022, 2023, 2024 and the first half of 2025, the data of greenhouse gas emissions by the Company are as follow:

Indicator	Unit	2022	2023	2024	2025H1
GHG emissions (Scope 1 and Scope 2)	tCO ₂ e	1,892.57	2,511.25	2,900.32	1,645.80
Scope 1	tCO ₂ e	¹	17.22	15.04	10.69
Scope 2	tCO ₂ e	1,892.57	2,494.03	2,885.27	1,635.11
Scope 3 – employee business travel ²	tCO ₂ e	176.40	434.52	646.67	283.40

1 Relevant data for the year is not available.

2 Scope 3 employee business travel data covers only air travel.

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We have identified some of the climate-related risks that could have an impact on the Company’s operation. We rely heavily on the reliability in energy supply when we are conducting our business. Extreme climate events such as rainstorm and flooding could affect energy supply or operation of equipment, resulting in disruption of data processing and storage. A weather with high temperatures could result in risks of greater power consumption and equipment breakdown, which could affect computational effectiveness and data security. In addition, as concern for carbon emissions across the globe has been increasing, the introduction of laws and regulations such as carbon taxes, fuel or energy taxes and pollution limits could result in greater direct costs, which could have an impact on our business and results of operation. We adopt GPUs products with energy efficient design and operation, conduct inspection and maintenance of our operating facilities on a regular basis, carry out control on auditing of carbon emissions, and provide trainings that enhance awareness of environmental protection among employees to continuously enhance our capacity to address climate risks.

Employee management

Adhering to the philosophy of “putting people first”, we have committed to fully respect and exercise strict measures over protection of various labor rights. We are dedicated to create a workplace with diversity, equality, openness, inclusiveness, innovation and efficiency, thereby working together to create value and grow with stakeholders.

We have made building the best workplace one of the key elements of sustainable development of the Company. Through persistence, we have established a favourable internal atmosphere and management system. Given our excellent workplace culture and employee satisfaction, we have won Best Workplaces in Greater China 2022 and Best Workplaces in Asia 2023 from Great Place to Work™.

To ensure safety of the employees in our daily work, we have formulated policies on safety management such as the Physical Safety Management Measures (《物理安全管理制度》) and the Regulations on Fire Safety Management (《消防安全管理規範》), and established the Emergency Response Team (ERT). We adopt a series of measures to address emergencies, and hold health and safety trainings and fire drills on a regular basis. The Company is equipped with comprehensive fire fighting facilities and has placed clear signs of first aiding at all operating points. The Company has obtained the occupational health and safety management system certification (ISO45001).

BUSINESS

We provide employees with full trainings and support with career development framework. By developing effective plans of talent cultivation and development, the Company explores, develops and cultivates the talent pool that supports the strategies of the Company in a rational manner, supports requests of employees for resettlement to new positions and facilitates internal talent transfer. The Company has developed different training systems for recruitment at campus and open recruitment. We also established a clear performance appraisal system that is applicable to all employees, with procedures of reporting and handling issues relating to performance appraisal, ensuring fairness, impartiality and transparency of outcome of the performance appraisal system. In 2022, 2023, 2024 and the first half of 2025, the data relating to the training of employees of the Company are as follow:

Indicator	Unit	2022	2023	2024	2025H1
Percentage of employees covered by the trainings	%	75%	82%	90%	92%
Number of trainings to employees	Times	26	33	35	16
Total length of trainings to employees ²	hours	2,280	2,519	2,881	1,970

2 The length of trainings to employees include online and offline trainings

In addition to our efforts in protecting our employees’ interests, we also attend to the growth and wellness of our employees’ family. We organize family gatherings for our employees, and we set up a fund to grant special benefits for our employees’ children to award academic excellence or to subsidize educational expenses. We also organized various sports clubs for employees with similar interests.

We continued to launch trainings on the diversity policy to facilitate the development of the culture of diversity with openness, inclusiveness and innovation. We built a mother and baby room to support maternity needs of our female employees. We also launched thematic events for women, with female CEO invited to share their career developments and experience in management, thereby demonstrating our respect to and care of female employees. We also attract people with disabilities to our team by providing suitable positions and comprehensive support and assistance, thereby promoting the development of barrier-free workplace through concrete actions.

We have established diversified communication and feedback channels such as CEO mailbox, official WeChat CEO hotline and mail box for compliance and whistleblowing, by which the employees may provide feedback to various issues. Meanwhile, we hold non-scheduled staff meetings that cover all employees, at which the management will hear the feedback from the employees, give response and put it in practice. We encourage the employees to provide feedback and suggestions relating to the identified issues to heads of relevant departments or their supervisors.

BUSINESS

Product liabilities

We have extensive experience in developing in-house, original and high-performance GPU hardware and software systems. We are dedicated to develop national intelligent computing industry ecology, and provide customers with safe, reliable, green and energy-saving products and solutions. As of June 30, 2025, we submitted 1,158 self-developed invention patent applications and 67 other related patent applications (including utility model patents and design patents) globally. Among which 388 invention patents and 58 other related patents have been granted. In addition, we have obtained 45 copyrights and 19 integrated circuit layout designs.

In respect of product safety, we have obtained RoHs, SVHC Environmental Protection Certificate, EMC (Electromagnetic Compatibility) Certificate, MTBF Reliability Certificate and Safety Testing Certificate for all our products at the market, in strict compliance with national standards, ensuring that no hazard would be caused to human healthy and safety when using the products in a normal and rational manner. During the Track Record Period and up to the Latest Practicable Date, the Company did not experience any product recall due to health or safety concern.

In respect of product quality, we established a quality control system that cover the whole life cycles of the products, and obtained quality management system certification (ISO9001). Each of the segments are designed with strict nodes of quality control under supervision of professional quality control team. All products at the market have undergone quality examination by large serve manufacturers at the downstream.

In respect of energy-saving function of our products, our GPGPU products support enhancement dynamic regulation that regulates frequencies of chips based on movements in loading, thereby minimizing power consumption of the products. The products including BILI 106L and BILI 166L in liquid-cooled OAM and servers support cold plate liquid cooling, enabling $PUE \leq 1.15$ in the server system and reducing power consumption of the serve system. We have built complete liquid cooling heat sink solution and reduced power consumption of data centers by regulating flows of liquid cooling in a dynamic and intelligent manner through the enclosure management system.

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Demand of customers is always the starting point and the ending point of our product R&D. All of our product designs have undergone thorough investigations during the stages of proposals and plannings, fully met the demands of the customers before entering into the stage of R&D. We have also established dedicated teams for pre-sales and after-sales services, with the support by supporting teams that consists of professional server manufacturers, to ensure quick response to needs of the customers. We also perform maintenance and delivery in a timely manner through server manufacturers, thereby developing a quick-response system and round-the-clock maintenance after-sale supporting system. In 2022, 2023 and 2024 and the first half of 2025, the data relating to product liabilities are as follow:

Indicator	Unit	2022	2023	2024	2025H1
Products subject to recall for safety and health concerns as a percentage of the total number of products sold or delivered	%	0	0	0	0
Number of complaint regarding our products/services	times	0	0	0	0

Supply chain management

We are dedicated to develop a responsible and sustainable supply chain. We formulated the Measures of Management on Suppliers in Purchase, which covers regulations of management on the whole cycle of admission, assessment and withdrawal of suppliers. Based on RBA (Responsible Business Alliance) Code of Conduct, we impose ESG requirements on suppliers in the areas of labour (ensuring free choice of employment, working hours, salary and benefits, anti-discrimination and freedom of association), health and safety, environmental protection (suppliers are encouraged to implement environmental management system based on ISO14001 standards), business ethics and corporate social responsibility management system. We require our suppliers to sign a written statement, undertaking to abide by anti-bribery laws, regulations and applicable policies in daily business activities. In particular, in respect of responsible purchase, when it concerns the purchase of minerals, we require our suppliers to undertake and take reasonable actions to conduct due diligence investigation on sources of these minerals and the competent regulators for the production and sales, to prevent exploration and trading of metals such as tantalum, tin, tungsten, gold and cobalt contained in these products from supporting illegal armed conflicts, directly or indirectly, or supporting activities relating to infringement upon human rights, threat to environment or other actions that may have health and safety concern.

We conduct assessment on suppliers based on specific requirements on a regular basis. If we identify any non-compliance occurrence, we may request the relevant suppliers to take rectification measures or terminate business relationship with any suppliers that fail to take rectification measures or rectify non-compliance occurrence.

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We also established procedures of reporting and rectification, by which the suppliers may communicate, report and make complaint for any non-compliance incident on anonymous or non-anonymous basis through various channels including mail box or whistleblowing hotline. We will protect all whistleblowers with strict measures.

Contributions to Community

We actively perform corporate social responsibility. We are dedicated to promote equal access to education and technological development, thereby contributing our efforts to sustainable development of the community. We recognize the importance of education as a cornerstone of Rural Revitalization, and spare no efforts to support science education in rural elementary school, thereby contributing our efforts to the long-term development in rural area in China. Through the strategic cooperation with Fujian Institute of Education, we launched the “Science and Technology Public Welfare” (“科技公益行”) and paired up with about dozens of rural elementary schools. To date, we have donated books, sports equipment, learning facilities and other supplies to 11 schools, including approximately 650 documents, books and popular science publications. Meanwhile, we also organized tutorial classes with a total of 45 schools participating, mobilising interest in science among the children through various means. We have hosted “Biren Open Course” in four consecutive years at over ten leading universities in China with a total of 26 classes, which attracted many students and mobilized their interest in science, laying a sound foundation for the cultivation of scientific talents in the future. We also cultivate scientific and technological talent through donation, projection collaboration and other means in order to promote the development of integrated circuit industry. We conducted various joint collaborative research projects with Tsinghua University, Fudan University, Shanghai Jiao Tong University and other renowned universities in China. In particular, we set up a special scholarship for Chinese Institute of Electronics that awards outstanding talent and innovations in the integrated circuit industry, thereby contributing our efforts to well-being and advancement of the community through playing active roles in the areas of education and technology.

In 2022, 2023, 2024 and the first half of 2025, the data relating to contributions to the community by the Company are as follow::

Indicator	Unit	2022	2023	2024	2025H1
Number of persons engaged in contribution to community	Person	216	271	163	85
Hours of contribution to community	hours	306.5	366	326	175

BUSINESS

Business ethics and anti-corruption

We have been adhering to the principle of Integrity Management, strictly abiding by the relevant laws and regulations, and have “zero-intolerance” for any act of corruption. We have established and strictly implemented internal management system such as the Measurement of Management on Anti-corruption Issue (《反舞弊管理制度》) and the Reporting of Gifts or Monetary Gift Received by the Employees (《員工禮金禮品上交管理辦法》), so as to regulate business behaviours of all employees of the Company. We prohibit any form of bribery and completely eradicate any act that causes damage to the interest of the Company. We have established the Anti-corruption and serious non-compliance reporting center to ensure timely investigation and verification of non-compliance incidents. We also established complete whistleblowing procedures and systems to protect the interest of the whistleblowers. For any verified case of non-compliance incidence, the Company will take resolute enforcement action to handle the cases in line with the law.

Anti-corruption trainings to the employees are the core of the development of integrity culture of the Company. We require new employees to attend trainings on anti-corruption, anti-bribery and confidential information and sign on the compliance certificates. We also launch relevant trainings for all employees on a regular basis and provide detailed requirements for risks of corruption and implementation rules for personnel on key positions. We communicate with all employees with integrity culture on a regular basis, so as to remind the employees to maintain awareness of integrity and self-discipline, and abide by ethical requirements, thereby maintaining a good workplace and order for development at all levels of the Company.

In 2022 2023, 2024 and the first half of 2025, the data relating to business ethics and anti-corruption are as follows:

Indicator	Unit	2022	2023	2024	2025H1
Number of litigation cases concluded relating to bribery and against the Company and the employees	case	–	–	–	–

Based on the documents reviewed, public information searches conducted, and credit reports obtained by us from the competent authorities, to the best of their knowledge after making due enquiries and as confirmed by us, nothing has come to our PRC Legal Advisor’s attention that would indicate any non-compliance by us with the applicable anti-bribery and anti-corruption laws of the PRC, or any pending or threatened litigation, arbitration or administrative proceedings against them in relation to any breach of such PRC laws during the Track Record Period and up to the Latest Practicable Date, which could have a material adverse effect on our financial condition and results of operations.

BUSINESS

PROPERTIES

Our current principal executive offices are located in Shanghai, China. As of the Latest Practicable Date, we leased nine properties for business operation in China, with an aggregate floor area of approximately 23,203 sq.m.. These properties currently accommodate our management headquarters, our research and development, sales and marketing and general and administrative activities, as well as the post-sale product maintenance. The relevant rental agreements provide lease expiration date ranging from May, 2027 to April, 2028.

As of September 30, 2025, we owned 35 properties in China, with a total gross floor space of approximately 16,312 sq.m.. These properties are used for our office space, employee rental housing, and a gross floor area of approximately 5,751 sq.m. was leased out.

As of the Latest Practicable Date, with respect to one of our leased properties, the relevant lessor had not provided us with valid property ownership certificate evidencing its rights to lease the properties to us. The absence of the property ownership certificate limited our ability to determine whether the lessor has the right to lease the properties to us, and if the lessor is not the legal owner, the relevant lease agreement may be deemed invalid. In addition, certain of self-owned properties’ current actual usages are not in conformity with the permitted usages prescribed in the relevant title certificates. Nonconformity with the property’s planned usage may lead to the reclamation of land and fines. Furthermore, as of the Latest Practicable Date, the lease agreement of one of our leased properties and 25 of our self-owned properties which have been leased out by us had not been or had not been fully registered. Failure to register such lease agreements with relevant PRC government authorities does not affect the effectiveness of the lease agreements, but the relevant PRC government authorities may order us to, within a prescribed time limit, register the lease agreements. See “Risk Factors – Risks Related to Our Business and Industry – Legal defects regarding some of our leased or self-owned properties may affect our interests in such properties. Challenges to our interests in the leased or self-owned properties may adversely affect our business, financial condition and results of operations” for details.

The Property Valuation Report from AVISTA, an independent property valuer, set out in Appendix III of this document, sets out details of our selective property interests as of September 30, 2025. AVISTA valued these property interests at an amount of RMB62.9 million as of September 30, 2025. Except for the property interests set forth in the Property Valuation Report from AVISTA, pursuant to Rule 5.01A of the Listing Rules, as of December 31, 2024, no single property interest (i) that formed part of our property activities had a carrying amount representing 1% or more of our total assets; or (ii) that formed part of our non-property activities had a carrying amount representing 15% or more of our total assets.

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APPLICABLE U.S. LAWS AND REGULATIONS

Background of Entity List

Effective October 17, 2023, BIS added certain entities of our Group to the Entity List, specifically Beijing Biren Technology Development Co., Ltd.; Guangzhou Biren Intelligent Technology Co., Ltd.; Hangzhou Biren Technology Development Co., Ltd.; Shanghai Biren Information Technology Co., Ltd.; Guangzhou Biren Semiconductor Technology Co., Ltd.; Shanghai Biren Technology Co., Ltd.; Shanghai Xinzhili Enterprise Development Co., Ltd.; and Zhuhai Biren Integrated Circuit Co., Ltd. (collectively, the “**Listed Entities**”). Shanghai Xinzhili Enterprise Development Co., Ltd. was formerly known and referred to as Suzhou Xinyan Holdings Co., Ltd. On April 11, 2024, BIS revised the Entity List entries to include “Shanghai Biren Technology,” in addition to existing aliases “Biren” and “Biren Technology.” For each of the Listed Entities, BIS imposed a license requirement for all items subject to the EAR to be reviewed under a policy of “presumption of denial.” The Listed Entities were also given a “footnote 4 designation,” which means that “items subject to the EAR,” for the purpose of the license requirements, include certain foreign-produced items that are the direct product of U.S. origin technology or software.

The BIS Listing prohibits the Listed Entities from purchasing, acquiring, or otherwise accessing any items subject to the EAR without a license from BIS. Specifically, absent a license from BIS, it is prohibited to export, reexport, or transfer any items subject to the EAR when any Listed Entity is a party to the transaction, including as purchaser, intermediate consignee, ultimate consignee, or end-user. That is, even if the Listed Entity is not the intended end user of the item(s) involved, the restrictions would still apply to the extent the Listed Entity is the purchaser or otherwise involved in a given transaction. The Entity List restrictions applicable to the Listed Entities apply to items subject to the EAR only where such items would be imported, procured, or obtained by the Listed Entities after the BIS Listing. For example, if the Listed Entities obtained an item subject to the EAR prior to October 17, 2023, the Listed Entities may continue accessing and using such item after the BIS Listing. However, the Listed Entities would be prohibited from obtaining additional quantities of, or updated versions of, such item as of October 17, 2023.

As concluded by JBK, our legal adviser as to compliance with U.S. sanctions and export control laws, once the suspension of the Affiliates Rule is lifted, the Entity List restrictions can also potentially apply to Non-Listed Entities in our Group, even if they are legally distinct from the Listed Entities. That is, if a Non-Listed Entity in our group is owned 50% or more, directly or indirectly, individually or in aggregate, by one or more entities on (1) the BIS Entity List; (2) the BIS MEU List, or (3) certain persons designated on OFAC’s SDN List, the export restrictions that apply to the listed parent company would also apply to the Non-Listed Entity. If multiple listed entities – whether within the Group or external to it – own a Non-Listed Entity, that Non-Listed Entity would be subject to the most restrictive export restrictions applicable to any of its Listed owners. For further information, see “Regulatory Overview – U.S. Export Control Laws and Regulations.”

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Items Affected by the BIS Listing

In light of the BIS Listing and to better assess the impact of the BIS Listing on our business operations, (i) we required our suppliers to report whether the items to be procured by our Group are subject to the EAR (including whether such items incorporated or used U.S. items, software, or technology), and (ii) we also conducted our own review based on our self-awareness of the country of origin from which items were sourced, or the country in which the source entity was organized. We believe we have sufficient knowledge of the origin and export control status of the items before procurement, and the suppliers also have visibility into and awareness of the country of origin of the items supplied. In addition, if we cannot confirm whether items are subject to the EAR *i.e.*, if the suppliers or vendors were not clear whether the items supplied to our Group were subject to the EAR, the Listed Entities would not be permitted to procure or obtain access to such items. We have also made changes to our policies to apply these procurement rules to Covered Non-Listed Entities and will keep these policy changes in place despite the announced suspension of the Affiliates Rule. JBK is of the view that the aforementioned approach is reasonable and appropriate to determine whether the items procured by our Group are subject to the EAR.

Based on such due diligence efforts, we identified the following items procured by the Listed Entities that it believes may be subject to the EAR: (i) items that are not material to the business operations of the Listed Entities (“**Immaterial Affected Items**”), which include general office, security, and operations software (e.g., Microsoft Office, Adobe, VPN services, anti-virus software, etc.) (“**Office Software**”), and (ii) items that are material to the business operations of the Listed Entities (“**Material Affected Items**”), and together with the Immaterial Affected Items, the “**Affected Items**”), which include (a) certain ancillary intellectual properties (“**IPs**”)¹, (b) electronic design automation tools (“**EDA Tools**”); (c) devices for product simulation (“**Emulators**”); (d) certain design services (“**Design Services**”); (e) chips manufacturing above certain process levels and packaging (“**Chips Manufacturing and Packaging**”), (f) other manufacturing materials, including substrates and high bandwidth memory chips (“**Other Manufacturing Materials**”); and (g) certain servers (“**Servers**”). We believe that the list of Affected Items is complete, and we ceased procurement from previous suppliers for the Affected Items after the BIS Listing. In 2022 and 2023, our procurement of items subject to EAR, based on our assessment, amounted to RMB323.8 million and RMB170.7 million, respectively. We have not purchased items subject to EAR since the BIS Listing. The Group, which includes both Listed Entities and Non-Listed Entities (the latter including Covered Non-Listed Entities), began sourcing the Affected Items exclusively from domestic alternative suppliers or otherwise in compliance with applicable laws and regulations in October 2023.

1 “IPs” refer to IP cores, e.g. PCIe, MMU, PLL, etc. used in chip design as a functional block to the SoC. It does not refer to patents or copyright.

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The following table sets forth how the Affected Items were used in our business operations:

Item	Function	How such items were used in our business operations	Mitigation measures
IPs	Ancillary IPs for certain functional units or blocks used in building GPGPU chips	Chip design	Engaged four alternative domestic suppliers and developed in-house
EDA Tools	Assisting in the definition, planning, design, implementation, verification, sign-off check and subsequent manufacturing of semiconductor devices	Tools for chip design	Engaged five alternative domestic suppliers
Emulators	Using hardware emulator to simulate the functionality of register-transfer level design and to analyze the performance of chip design under different workloads and scenarios	Tools for chip design and verification	Engaged two alternative domestic suppliers
Design Services	Primarily include certain backend and physical design. Such tasks can be performed in-house or outsourced	Support chip design	Engaged six alternative domestic suppliers and conduct in-house based on project needs
Chips Manufacturing and Packaging	Manufacturing, testing and packaging of chips	Chip manufacturing; Assembly and packaging	Engaged five alternative domestic suppliers
Other Manufacturing Materials	Raw materials for IC manufacturing, and assembly and packaging, such as high bandwidth devices and substrates	Chip manufacturing; Assembly and packaging	Engaged three alternative domestic suppliers

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Item	Function	How such items were used in our business operations	Mitigation measures
Servers	Hardware servers to be used for running EDA tools to assist chip design, verification, implementation and sign-off for tape-out. Also include servers to be used to develop all the software stack for the GPGPU chips.	Chip design; R&D	Engaged four alternative domestic suppliers
Office Software	Improving workplace efficiency, facilitating management, or reducing cost	Day-to-day operations (not directly involved in the product development or R&D process)	Engaged two alternative domestic suppliers

As of the Latest Practicable Date, we have identified and entered into agreements with domestic alternative suppliers for, or developed in-house, the items required for the development and production of our solutions and previously sourced by the Listed Entities and Non-Listed Entities that may come under the scope of the Affiliates Rule which are or may be subject to the EAR, including for the Material Affected Items. Specifically:

- **IPs** – we currently source ancillary IPs related to certain reusable units or blocks from domestic alternative suppliers. In addition, in 2022, we began developing in-house certain other IPs previously sourced from a U.S. company. Such in-house developed IPs includes Memory-Management Unit (“**MMU**”) IP and Phase-Lock Loop (“**PLL**”) IP. Our in-house developed MMU and PLL IPs have undergone in-depth customized development for specific application scenarios, and offer greater flexibility and scalability, enabling us to quickly adapt to changing project requirements and shorten product time-to-market. The cost impact of switching to self-developed IPs was minimal, as the cost of developing certain IPs in-house is similar to the cost of sourcing similar IPs from third parties. In the long-run, we do not need to pay recurring licensing and royalty fees as related to use of third-party IPs.
 - o *Background of domestic alternative suppliers.* The domestic alternative suppliers are industrial software and design solution providers in China with registered capital ranging from over RMB5 million to over RMB1 billion, and approximately 100 to 600 employees.

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- o *Major contract terms:* (i) Licensed Technology/Service scope: the suppliers provide license of use rights of the IPs for a fixed term; (ii) Pricing and payment: we make upfront partial payment of the agreed price for the IP and remaining payments after we receive the deliverables, as applicable; (iii) Software maintenance and upgrade: during the license period, the supplier is responsible for technical support, maintenance and upgrade; (iv) Copyright: the suppliers undertake that the IPs are self-developed by the suppliers and they own copyrights to the IPs; and (v) Terms and termination: The contracts typically set a fixed term. The contracts may be unilaterally terminated by either party under certain conditions, such as breach of contract.
- **EDA Tools** – we currently source EDA Tools from domestic alternative suppliers.
 - o *Background of alternative suppliers.* The domestic alternative suppliers are EDA and service providers in China with registered capital ranging from over RMB10 million to over RMB500 million, and over 100 to over 300 employees.
 - o *Major contract terms:* (i) Service scope: the supplier provides license of use rights of the EDA Tools for a fixed term; (ii) Pricing and payment: payment for the EDA Tools shall either be settled within 30 days after our receipt of invoice, or we shall make upfront payment of the agreed price for the EDA Tools that covers the entire license period; (iii) Software maintenance and upgrade: during the license period, the supplier is responsible for technical support, maintenance and upgrade; (iv) Copyright: the suppliers undertake that the EDA Tools are self-developed by the supplier and it owns copyrights to the EDA Tools; and (v) Terms and termination: The terms of the contract typically range from one to three years. The contracts may be unilaterally terminated by either party under certain conditions, such as breach of contract.
- **Emulators** – we currently source emulators from a domestic alternative supplier.
 - o *Background of alternative suppliers.* The domestic alternative supplier is a technology company based in China that has a registered capital of over RMB1 billion and approximately 600 employees.
 - o *Major contract terms:* (i) Procurement Scope: we purchase certain emulators from the supplier, specifying the items, quantities, specifications, among others; (ii) Pricing and payment: pricing is calculated based on the price as agreed by both parties, and payment shall be settled within 30 days after our receipt of invoice; (iii) Quality control: the products offered by the suppliers shall comply with applicable national and industry standards, and shall meet our requirements as prescribed in the agreements; (iv) Warranty: the supplier is responsible for product repair and exchange during the warranty period. Warranty period for each type of product is prescribed in procurement agreement/order; (v) Export control: the suppliers undertake to comply with

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applicable export control laws and regulations; and (vi) Terms and termination: The contracts will remain effective after duly execution unless otherwise terminated by either party under certain conditions, such as breach of contract.

- **Design Services** – we currently source relevant Design Services from domestic alternative suppliers. In addition, we may also conduct relevant work in-house, based on the project needs.
 - o *Background of domestic alternative suppliers.* The domestic alternative suppliers are chip design service providers based in China, with the business scope covering chip specification definition, logic design, and physical design. Such suppliers have a registered capital ranging from over RMB10 million to approximately RMB500 million, and from over 200 to over 500 employees.
 - o *Major contract terms:* (i) Service scope: the suppliers generally provide design, verification, synthesis, physical design and related support in the IC design flow based on our requirements; (ii) Pricing and payment: pricing is calculated based on allocated human resources as agreed by both parties in the contracts, and payment is settled in accordance with service phases or monthly; (iii) Quality control: for design services, the suppliers shall use their reasonable efforts to ensure service quality and deliver deliverables on time; and (iv) Terms and termination: The terms of the contracts are typically one year. The contracts may be unilaterally terminated by us upon prior notice to the suppliers.
- **Chips Manufacturing and Packaging** – we currently source Chips Manufacturing and Packaging services from domestic alternative suppliers.
 - o *Background of domestic alternative suppliers.* The domestic alternative suppliers for IC manufacturing, packaging and testing are foundry and/or providers of chip packaging and independent chip testing services in China. Such suppliers have a registered capital ranging from over RMB100 million to over RMB5 billion, with over 500 to over 20,000 employees.
 - o *Major contract terms:* (i) Service scope: the suppliers manufacture chips for us based on our chip design files, provide chip testing based on the testing standards provided by us, and provide packaging services based on the requirement of us; (ii) Pricing and payment: pricing is calculated based on the unit price as agreed by both parties in the contracts, and payment is settled in accordance with effective orders or monthly; (iii) Quality control: the suppliers shall satisfy the technical parameter and specifications for packaging services, the suppliers and shall use their reasonable efforts to ensure service quality. The suppliers shall compensate us for failure to meet the yield rate as prescribed in the contracts; (iv) Export control: both parties generally undertake to comply with applicable export control laws and regulations; and

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(v) Terms and termination: The terms of the contracts are typically three years. The contracts may be unilaterally terminated by either party under certain conditions, such as breach of contract.

- **Other Manufacturing Materials** – we currently source Other Manufacturing Materials from domestic alternative suppliers.
 - o *Background of domestic alternative suppliers.* The domestic alternative suppliers for Other Manufacturing Materials are semiconductor memory companies in China and manufacturers in China for IC substrates, high-bandwidth memory, and other printed circuit board materials and components. Such suppliers have a registered capital ranging from approximately RMB1 billion to over RMB2 billion, with over 3,000 to over 5,000 employees.
 - o *Major contract terms:* (i) Procurement orders: during the term of the contract, we may place procurement orders specifying the items, quantities, specifications, among others; (ii) Pricing and payment: for each order, pricing is calculated based on the unit price as agreed by both parties, and payment shall be settled within 30 days after our receipt of invoice or we make upfront partial payment of the agreed price in the orders; (iii) Quality control: the products offered by the suppliers shall comply with applicable national and industry standards, and shall meet requirements as prescribed in the agreements; (iv) Warranty: the suppliers are responsible for product repair and exchange during the warranty period. Warranty period for each type of product is prescribed in procurement orders; (v) Export control: both parties and/or the suppliers undertake to comply with applicable export control laws and regulations; and (vi) Terms and termination: The terms of the contracts are typically one to five years. The contracts may be unilaterally terminated by us upon 30 days’ prior notice to the suppliers.
- **Servers** – we currently source Servers from domestic alternative suppliers.
 - o *Background of domestic alternative suppliers.* The domestic alternative suppliers for Servers are companies in China that primarily engage in the development and/or sales of information and communication technology products manufactured by leading ICT companies.
 - o *Major contract terms:* (i) Purchase Agreement/Procurement orders: we enter into purchase agreement with supplier to purchase certain servers. We may also enter into framework agreements with suppliers and during the term of such framework agreement, we place procurement orders specifying the items, quantities, specifications, among others; (ii) Pricing and payment: for each purchase agreement and subject to its provisions, we make upfront partial payment of the agreed price for the servers and remaining payments after we receive the deliverables, as applicable. For each order, pricing is calculated

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based on the unit price as agreed by both parties, and payment shall be settled within 30 days after our receipt of invoice; (iii) Quality control: the products offered by the suppliers shall comply with applicable national and industry standards, and shall meet our requirements as prescribed in the agreements; (iv) Warranty: the suppliers are responsible for product repair and exchange during the warranty period. Warranty period for each type of product is prescribed in procurement orders; (v) Export control: the suppliers undertake to comply with applicable export control laws and regulations; and (vi) Terms and termination: The terms of the framework agreements are typically two years. The framework agreements may be unilaterally terminated by us upon 30 days’ prior notice to the suppliers.

Further, we have received certified statements from each of the above-mentioned domestic alternative suppliers, confirming that their supply of items is not subject to EAR and is not affected by the BIS Listing. We currently only source items from non-U.S. origin, and we do not and will not procure any items unless the Company has first obtained a certification from the relevant supplier confirming that such items are not subject to the EAR. Going forward, our certified statements from domestic alternative suppliers will include an affirmation that their supply of items is not affected by the Affiliates Rule. As of the Latest Practicable Date, there has been no material adverse change in our relationship with the above-mentioned domestic alternative suppliers. We note that the technology and operating capability of the relevant domestic alternative suppliers of chips manufacturing and packaging services are considered to be behind that of the previous suppliers before the BIS Listing, according to CIC. As a result, the cost of chip manufacturing by domestic alternative suppliers is estimated to be approximately 10% higher as compared to previous suppliers. However, based on our internal assessments, the manufacturing technology capability of the domestic alternative suppliers is sufficient to meet our production requirements. For other Affected Items, we believe that the domestic alternative suppliers can offer items of comparable quality and performance to the items subject to the EAR. For details, see “– Impact of the BIS Listing on Our Business.” As advised by JBK, based on the information that we have provided to them and the review they performed, we have complied with applicable sanctions and export control laws and regulations in all material respects during the Track Record Period and up to the Latest Practicable Date. Moreover, JBK is of the view that the business operations of the Group are in compliance with applicable export controls laws and regulations, and such operations include the business transactions where the Group, as a fabless chip design company, engages and instructs fabrication facilities to manufacture its GPGPU chips. Having reviewed the analysis, and as advised by the Company’s counsel, the Company concurs with the conclusions reached by JBK. Based on the due diligence conducted by the Joint Sponsors, nothing has come to the attention of the Joint Sponsors that would cause them to disagree with the view above.

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Internal Control Measures

In December 2023, following the BIS Listing, we revised our trade controls compliance program, and associated policies, to address and mitigate the risks related to U.S. export controls. In October 2025, we further revised our policies to address and mitigate the risks relating to the application of the Affiliates Rule and will maintain these changes despite the Rule’s suspension. These policies were developed or revised with the help of external counsel in both China and the United States. In particular:

- (i) **Management Awareness and Commitment:** Our management team has expressed its full support for our trade controls commitments, as evidenced by its involvement in the development of, and approval of, our extensive trade controls policy and procedures. They have also dedicated the resources needed to establish an export controls compliance committee. The export controls compliance committee consists of one Director and heads of departments from legal, procurement, sales and project management office, among whom the Director is the chairman. The export controls compliance committee is involved in high-level strategic decisions of our Group.
- (ii) **Risk Assessment:** We have adopted a number of internal controls designed to address the trade controls risks presented, including by implementing measures to identify and classify items procured from suppliers that may be subject to U.S. trade controls. We use standard language in our contractual agreements with third parties to address those parties’ compliance with trade controls as related to the items or services covered by the agreements. We have further screened each our existing business partners (including but not limited customers and suppliers) against sanctioned and restricted parties lists maintained by the United States and confirmed that none of our existing business partners are listed on such lists. To the extent applicable, it is our policy that for any items which are subject to the EAR or for which we cannot confirm that such items are subject to the EAR, we would implement appropriate measures to prevent the risk that such items would be procured by or provided to the Listed Entities or Covered Non-Listed Entities.
- (iii) **Export Authorization:** We have adopted measures to monitor, and will annually review, all procured and exported items, to determine whether they are subject to the EAR and, if so, the relevant classification and licensing requirements. In particular, in accordance with our export control and sanctions compliance management system and other written trade controls compliance programs, we require all of our suppliers across various business units and through different procurement channels to provide and attest to information on whether items supplied to us are subject to the EAR.

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- (iv) **Record Retention:** Pursuant to our export control and sanctions compliance management system and other written trade controls compliance programs, we have adopted a strict policy regarding the requirements for recordkeeping, archiving, and other related tasks in relation to trade controls compliance. In particular, we require that all records as related to export controls and sanctions compliance be maintained for a minimum of five years.
- (v) **Training:** Pursuant to our export control and sanctions compliance management system, our legal department must provide export controls and sanctions compliance training to all relevant employees, including senior management, at least once a year, and provide more targeted training to personnel in key positions.
- (vi) **Audits:** Pursuant to our export control and sanctions compliance management system and the compliance audit process and guidelines, the legal department will conduct audits of our trade controls compliance programs at least once a year.
- (vii) **Export Violations and Corrective Actions:** Pursuant to our export control and sanctions compliance management system, our legal department is responsible for conducting audits and assessments regarding the effectiveness of the export controls and sanctions compliance system, analyzing the results, identifying the root causes of compliance risks or violations, strengthening the process controls, and making continuous improvements and upgrades. The business unit heads are responsible for cooperating with the audit and assessment activities of the legal department regarding the effective of the export controls and sanctions compliance system, and “implement[ing] corrective actions based on the audit and assessment results.”
- (viii) **Export Control Compliance Manual:** As described above, we have adopted a set of written policies and procedures addressing compliance with export controls and sanctions, including a global system policy and additional policies tailored to the different departments and business segments within our Group.

As advised by JBK, our legal opinion counsel as to U.S. export control laws, based on the information that we have provided to them, the BIS Listing should not have a material and adverse impact on the business operations or R&D process of our Group considering that (i) as discussed above, we had identified alternative domestic suppliers of all the Affected Items previously sourced by the Listed and Non-listed Entities that may have been subject to U.S. export controls; (ii) as illustrated above, we do not believe that the shift to domestic suppliers had a material impact on us, and using items supplied by the domestic alternative suppliers does not materially affect the performance of our products; (iii) the development of BIRENSUPA software does not require items that are subject to EAR; (iv) the development of our future products is not expected to involve the use of Affected Items that are subject to the EAR, and the sales of our future products should not be affected by the BIS Listing; (v) as of the Latest Practicable Date, none of our investors have withdrawn their investment due to the Entity List designation of the Listed Entities, nor notified us in writing of their intention to do so; (vi) as of the Latest Practicable Date, none of our customers have cancelled or suspended

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any agreement or order with us due to the Entity List designation, and we have been able to meet all customer demand since the BIS Listing; and (vii) as of the Latest Practicable Date, we are not aware of any litigation or arbitration proceedings or other legal actions arising from or in connection with the Entity List designation of the Listed Entities.

In addition, JBK is of the view that these trade controls compliance measures, which we have properly implemented and operate in accordance with, provide a reasonable and appropriate internal control framework for us to identify and mitigate any material risk relating to the Listed Entities’ addition to the BIS Entity List and the application of the Affiliates Rule to the Covered Non-Listed Entities. As advised by JBK, based on the information that we have provided to them, these trade controls compliance measures demonstrate compliance with applicable sanctions and export control laws and regulations in all material respects during the Track Record Period and up to the Latest Practicable Date. Further, JBK is of the view that, based on the trade controls compliance measures adopted by us, as described to JBK, our trade controls compliance program addresses each of the elements outlined in BIS’s “Export Compliance Guidelines: The Elements of an Effective Export Compliance Program,” which is a guidance document BIS has issued to inform the regulated industry how a company should approach tailoring its export compliance program based on its operations and risk profile. In particular, the guidance document states that companies should conduct at least once annually a comprehensive assessment of their export compliance programs and their implementation. According to BIS, “these larger annual audits should include both a review of the organization’s export procedures as well as reviewing selected export transactions and how each business unit handled these in relation to the current compliance procedures.” BIS’s characterization of these reviews as “larger annual audits” indicates its recognition that such comprehensive assessments impose a significant regulatory burden and that performing them more frequently would not be practical or feasible for most companies. Moreover, we closely monitor applicable export control laws and regulations and will make necessary updates in our export compliance program accordingly to ensure compliance. As such, based on JBK’s experience of market practice implementing these elements, an annual review of EAR’s applicability on all procured and exported items of the Company is a timely, adequate, and sufficient internal control measure. In addition, JBK is of the view that, our trade controls compliance measures, as described to JBK, are adequately tailored to, and to the extent enforced will be effective to, address and mitigate the risk of violating U.S. export controls. Our establishment and implementation of this robust trade controls compliance program may also be beneficial to any future application by the Company to BIS for removal of the Listed Entities from the Entity List.

Impact of the BIS Listing on Our Business

Since the BIS Listing and as of the Latest Practicable Date, no customers have canceled or decreased their orders for BR106, BR166 or BR110 products, and the sales of relevant products should not be affected by the BIS Listing.

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With respect to the development of our in-house developed software, BIRENSUPA, we are able to rely on only domestic-produced servers for code testing and verification, and the development of BIRENSUPA software does not require items that are subject to EAR.

With respect to the development of future generation GPGPU products, as we have engaged with domestic alternative suppliers for the Affected Items, the development of our future products is not expected to involve the use of Affected Items that are subject to the EAR, and the sales of our future products should not be affected by the BIS Listing.

Our hardware system integration and testing process is conducted in-house and does not require items that are subject to EAR. Product sales and technical support processes are also conducted in-house and do not require items that are subject to EAR.

Further, the use of items supplied by domestic alternative suppliers should not materially and adversely affect the performance of our solutions, commercialization of the product lines, or our R&D process.

In particular, we note that the technology and operating capability of the relevant domestic alternative suppliers of chips manufacturing and packaging services are considered to be behind that of the previous suppliers before the BIS Listing, according to CIC. As a result, the cost of chip manufacturing by domestic alternative suppliers is estimated to be approximately 10% higher as compared to previous suppliers, but we do not expect the overall costs associated with using the domestic alternative suppliers to have a material and adverse impact on our operations. Further, to improve the performance of chips fabricated by domestic alternative suppliers, we have adopted certain in-house developed measures, including the implementation of a more efficient self-developed compute core architecture, the adoption of chiplet design approach, and the refinement of harvesting strategies, among others. A more efficient compute core architecture, for example, can adopt less level-of-logic to achieve higher frequency. The new harvesting strategy can enable better output from a wafer. We believe that these measures enable us to develop solutions that can meet customers’ requirements and compliance standards. For other Material Affected Items, we believe that the domestic alternative suppliers can offer items of comparable quality and performance to the items subject to the EAR. During the Track Record Period, we conducted certain R&D activities in the United States in compliance with applicable laws and regulations, which was later terminated after the BIS listing. Before the closure, we had approximately 30 personnel located in the United States. As of the Latest Practicable Date, we did not have any operations in the United States, and we have replaced with engineers in China performing the same roles and functions as those previously performed by personnel in the United States.

Based on the foregoing, our Directors are of the view that domestic alternative suppliers of the Affected Items can offer items of comparable quality and performance to the items subject to the EAR under the current industry and compliance standards. Moreover, the Non-Listed Entities’ reliance on domestic alternative suppliers and not on items subject to the EAR means that the Affiliates Rule would not impact the operations of the Covered Non-Listed Entities or the Group as a whole even after the suspension of the Rule has terminated.

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Impact of the BIS Listing on Our Financial Status

We incurred some costs associated with the shift to the domestic alternative suppliers for the Material Affected Items, which mainly represent the time and resources invested, or to be invested, to identify and evaluate domestic alternative suppliers, and minor costs associated with introducing and adopting the items provided by the domestic alternative suppliers. As a result of the BIS Listing, we recorded special losses amounting to RMB108.7 million on certain assets including inventories, intangible assets and property, plant and equipment purchased or prepayments made prior to the BIS Listing during the year ended December 31, 2023. For details, see “Financial Information – Description of Key Consolidated Statements of Comprehensive Loss Items — Special Losses on Certain Assets.” However, we believe we have adopted appropriate solutions to mitigate the gap. In the long term, we believe we benefit from transitioning to in-house development and domestic alternatives in terms of cost savings, enhanced collaboration and management of supply chain, and better local support and assistance from domestic suppliers. As of the Latest Practicable Date, we have established a resilient supply chain primarily consisting of high-quality domestic suppliers.

As of the Latest Practicable Date, none of our investors or existing customers have withdrawn their investment or ceased doing business with us due to the BIS Listing or notified us in writing or otherwise of their intention to do so. After the BIS Listing, in 2024, we recorded a revenue of RMB336.8 million, representing a 443.2% increase from RMB62.0 million in 2023. In addition, we are not aware of any potential customer that chose not to do business with us due to the BIS Listing. We are also not aware of any litigation or arbitration proceedings or other legal actions arising from or in connection with the BIS Listing. Therefore, the BIS Listing has not had, and is not expected to have, a material and adverse impact on the development and commercialization of our solutions. The Affiliates Rule is also not expected to have a material and adverse impact on the Group’s operations once the suspension has terminated, as Covered Non-Listed Entities already do not procure or have any plans to procure U.S.-origin items or other items subject to the EAR from their suppliers. As advised by JBK, the BIS Listing and the future application of the Affiliates Rule, in their current form, do not prohibit the Group from conducting its current business, operation or R&D activities.

Based on the due diligence performed by the Joint Sponsors, and taking into consideration the Company’s and JBK’s views mentioned above, nothing has come to the attention of the Joint Sponsors that would cause them to cast any doubt on the views of the Company, or on the views of JBK, including the impact of the BIS Listing and the Affiliates Rule on the Group.

Impact of the OIR Rule on Our Business

Despite the limits on investments in the Company due to its covered activities that fall within the scope of prohibited transactions, as advised by JBK, we do not expect these limits to have any material and adverse impact on the Company’s business operations, financial performance, [REDACTED] or investment prospects due to certain exceptions in the OIR Rule.

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In particular, as advised by JBK, certain transactions are exempt from the OIR prohibitions and notification requirements, including, certain investments: (a) in any publicly traded security that trades on a securities exchange or through the method of trading that is commonly referred to as “over-the-counter” in any jurisdiction; (b) in an investment company that is registered with the U.S. Securities and Exchange Commission, such as index funds, mutual funds, or exchange traded funds, or business development company; (c) made as a limited partner or equivalent in a venture capital fund, private equity fund, fund of funds, or other pooled investment fund where (1) the limited partner or equivalent’s committed capital is not more than \$2,000,000, or (2) the limited partner or equivalent has secured a binding contractual assurance that its capital in the fund will not be used to engage in a transaction that would be a prohibited transaction or notifiable transaction, as applicable, if engaged in by a U.S. person; or (d) in a derivative, so long as such derivative does not confer the right to acquire equity, any rights associated with equity, or any assets in or of the Covered Foreign Person. The aforementioned exceptions do not apply if the investment affords the U.S. person rights beyond standard minority shareholder protections with respect to the Covered Foreign Person. Furthermore, the exception with respect to investments in [REDACTED] securities does not apply if the U.S. person acquires the shares before the shares are [REDACTED]. For example, the Treasury Department has stated that it considers the acquisition of an equity interest in a Covered Foreign Person that is not yet [REDACTED] for the purpose of facilitating an [REDACTED], such as a purchase with the intent to create a market or to resell the security on a secondary market (e.g., as part of an [REDACTED] arrangement), to be a covered transaction. For this reason, Treasury may consider the acquisition of equity as part of a share subscription to be a prohibited transaction. After the shares are publicly traded, U.S. persons are not prohibited from acquiring the publicly traded shares, as long as the U.S. person does not obtain rights beyond standard minority shareholder protections with respect to the Company.

However, we understand U.S. persons would be prohibited from participating in the purchase of shares in the [REDACTED] if such shares are not already publicly available and purchased from a security exchange. The [REDACTED] may be [REDACTED] and sold only outside the United States in an offshore transaction in accordance with Regulation S under the U.S. Securities Act. For details, see “Structure of the [REDACTED].”

Persons associated with the Company’s [REDACTED], including the sponsors, [REDACTED], and legal advisers, should not be affected by the OIR Rule unless they themselves are U.S. persons engaging in Covered Transactions (e.g., by acquiring non-[REDACTED] equity of the Company), or “knowingly directing” non-U.S. persons to engage in covered transactions. A U.S. person “knowingly directs” a transaction when the U.S. person has authority, individually or as part of a group, to make or substantially participate in decisions on behalf of a non-U.S. person, and exercises that authority to direct, order, decide upon, or approve a transaction. As stated in the OIR Rule, “[s]uch authority exists when a U.S. person is an officer, director, or otherwise possesses executive responsibilities at a non-U.S. person.” However, the OIR Rule do not prohibit facilitation of a covered transaction by a U.S. person where the U.S. person does not otherwise have the authority to approve or order a party’s participation in the covered transaction.

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For example, U.S. person sponsors or [REDACTED] would not be permitted to purchase or acquire Company equity prior to the Company’s [REDACTED] on a public exchange. Such U.S. persons would also not be permitted to approve or order non-U.S. persons to purchase or acquire Company equity prior to the Company’s [REDACTED] on a public exchange. However, U.S. person sponsors, [REDACTED], or legal advisers would not be prohibited from generally facilitating the Company’s [REDACTED] or otherwise advising on such [REDACTED], so long as they are not purchasing such equity, or ordering the purchase of such equity by others, prior to the Company’s [REDACTED].

LEGAL PROCEEDINGS

During the Track Record Period and up to the Latest Practicable Date, we had not been a party to, nor had we been aware of any pending or threatened legal, arbitration or administrative proceedings against us that we believe would have a material adverse effect on our business, results of operations, financial condition or reputation.

LICENSES, PERMITS AND APPROVALS

During the Track Record Period and up to the Latest Practicable Date, we had obtained all material licenses and permits required for our operations, such as business licenses. The following table sets forth details of our material licenses and permits.

No.	Entity	Category	Issuing Authority	Issue date	Valid period
1.	Shanghai Biren Technology Co., Ltd.	Business license	Shanghai Administration for Market Regulation	August 14, 2025	/
2.	Beijing Biren Technology Development Co., Ltd.	Business license	Beijing Chaoyang District Administration for Market Regulation	November 19, 2025	/
3.	Zhuhai Biren Integrated Circuit Co., Ltd.	Business license	Guangdong-Macao In-Depth Cooperation Zone in Hengqin Commercial Service Bureau	May 10, 2024	/
4.	Shanghai Aoyan Technology Co., Ltd.	Business License	Minhang District Administration for Market Regulation	December 8, 2023	/
5.	Guangzhou Biren Semiconductor Technology Co., Ltd.	Business license	Huangpu District Administration for Market Regulation	November 5, 2025	/
6.	Shanghai Biren Information Technology Co., Ltd.	Business license	Xuhui District Administration for Market Regulation	July 26, 2024	/

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No.	Entity	Category	Issuing Authority	Issue date	Valid period
7.	Hangzhou Biren Technology Development Co., Ltd.	Business license	Hangzhou Hi-Tech Zone (Binjiang) Administration for Market Regulation	February 24, 2025	/
8.	Shanghai Xinzhili Enterprise Development Co., Ltd.	Business license	Market Supervision and Administration Bureau of Lingang New Area of China (Shanghai) Pilot Free Trade Zone	May 13, 2024	/
9.	Guangzhou Biren Intelligent Technology Co., Ltd.	Business license	Guangzhou Huangpu District Administration for Market Regulation	October 27, 2025	/
10.	Shanghai Biren Semiconductor Technology Co., Ltd.	Business license	Minhang District Administration for Market Regulation	November 13, 2023	/
11.	Shanghai Biren Technology Co., Ltd.	Administrative License Decision	State Administration of Foreign Exchange Shanghai Branch	July 2, 2021	/
12.	Shanghai Biren Technology Co., Ltd.	Customs Receipt for Filing of Consignee/Consignor of Import and Export of Goods	Longwu Customs	October 9, 2023	December 31, 2099
13.	Shanghai Biren Technology Co., Ltd.	Filing Registration Form for Foreign Trade Operators	/	June 30, 2021	/
14.	Zhuhai Biren Integrated Circuit Co., Ltd.	Administrative License Decision	State Administration of Foreign Exchange Zhuhai Central Branch	July 30, 2021	/
15.	Zhuhai Biren Integrated Circuit Co., Ltd.	Customs Receipt for Filing of Consignee/Consignor of Import and Export of Goods	Xiangzhou Customs	July 23, 2021	/
16.	Zhuhai Biren Integrated Circuit Co., Ltd.	Filing Registration Form for Foreign Trade Operators	/	July 28, 2021	/

Our Directors confirmed that during the Track Record Period and up to the Latest Practicable Date, no material unexpected or adverse changes had occurred since the grant date of the relevant regulatory approval for our Specialist Technology Product.

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As advised by CIC, there are currently no mandatory industry-specific standards, definitions, classifications or regulatory approvals applicable to our Specialist Technology Products. We will, however, continue to monitor relevant laws and obtain any required regulatory approvals for our Specialist Technology Products should they become necessary and required under applicable law.

RISK MANAGEMENT AND INTERNAL CONTROL

We have established and currently maintain risk management and internal control systems consisting of policies and procedures that we consider to be appropriate for our business operations. We are dedicated to continually improving these systems. We have adopted and implemented comprehensive risk management policies in various aspects of our business operations such as legal compliance and intellectual property rights, information technology, human resource, financial reporting, and internal control. Our Board of Directors is responsible for the establishment and updating of our internal control systems, while our senior management monitors the daily implementation of the internal control procedures and measures with respect to each subsidiary and functional departments.

Legal and Compliance Risk Management

In order to effectively manage our compliance and legal risk exposures, we have adopted strict internal procedures to ensure the compliance of our business operations with the applicable rules and regulations. In accordance with these procedures, our in-house legal department performs the basic function of reviewing and updating the form of contracts we enter with our customers, suppliers and other business partners. Our in-house legal department is also responsible for obtaining any requisite governmental pre-approvals or consents, including preparing and submitting all necessary documents for filing with relevant government authorities, within the prescribed regulatory timelines.

We continuously improve our internal policies according to changes in laws, regulations and industry standards, and update internal templates for legal documents. We undertake compliance management over various aspects of our operations and employee activities. We have also established an accountability system in respect of employees’ violations of laws, regulations and internal policies. We have an employee code of conducts in place, which contains internal rules and guidelines regarding basic working rules, work ethics, confidentiality, negligence, anti-bribery and anti-corruption. We provide our employees with regular training and resources to explain the guidelines contained in the employee code of conducts.

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Internal Control Risk Management

We have designed and adopted strict internal procedures to ensure the compliance of our business operations with the relevant rules and regulations. We maintain internal procedures to ensure that we have obtained all material requisite licenses, permits and approvals for our business operation, and conduct regular reviews to monitor the status and effectiveness of those licenses and approvals. We obtain requisite governmental approvals or consents, including preparing and submitting all necessary documents for filing with relevant government authorities within the prescribed regulatory timelines.

Intellectual Property Rights Risk Management

We implement strict internal rules and procedures to ensure our compliance with applicable rules and regulations relating to protection of our intellectual property rights and minimize risk of intellectual property infringement and related commercial and competition disputes. Specifically, we have in place internal processes to ensure that our in-house legal teams review, in some cases in consultation with outside legal counsel, our solution, for compliance with applicable laws and regulations before they are made available to our clients. As part of the review, we seek to minimize risk of infringement of third-party intellectual property rights and potential disputes by performing necessary intellectual property rights searches and analysis. We periodically monitor published trademarks and patents to identify potential risks of infringement. Our legal teams also ensures that all necessary applications or filings for trademark, copyright and patent registrations are timely made to the competent authorities and seeking to upgrade our solution feature to minimize the risks of potential intellectual property infringement arising from clients’ acts.

Our in-house legal department is responsible for reviewing and updating the terms in the form of contracts we enter into with our customers, business partners and suppliers, including those relating to the protection of intellectual property rights. They also constantly monitor updates and changes in laws and regulations in the PRC or other jurisdictions relating to intellectual property to ensure our ongoing compliance with these laws and regulations.

Data Privacy and Information Security Risk Management

We pay close attention to risk management relating to our information technology, as protection of customers’ data and other confidential information is critical to us. We have implemented relevant internal procedures and controls to ensure that our data is protected, and that leakage and loss of such data are avoided.

We have developed a set of internal protocols and policies on data security, which set forth detailed, stringent requirements in relation to the use, disclosure and protection of confidential information. We have established a Data and Information Security Committee, which is responsible for formulating data and information security strategies, and decision-making in material data and information incidents. We also engage external legal counsel to review and update our internal policies and ensure continuous compliance with all applicable laws and regulations.

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We have established an all-round information system which applies multiple layers of safeguards, including both internal and external firewalls, to identify and protect us against security attacks. We also implement a robust internal authentication and authorization system to ensure that our confidential and important data can only be accessed for authorized use and by authorized personnel.

During the Track Record Period and up to the Latest Practicable Date, we did not experience any material information leakage or loss of our data. See “– Data Privacy and Information Security Risk Management” in this section for more information about our information security procedures and policies.

Human Resource Risk Management

We have established internal control and risk management policies covering various aspects of human resource management such as recruitment, training, work ethics and legal compliance. We maintain high standards in recruitment with strict procedures to ensure the quality of new hires and provide specialized training tailored to the needs of our employees in different departments. We require our employees to conform to high ethical standards. We have in place an employee handbook and a code of conduct which is distributed to all our employees. The handbook contains internal rules and guidelines regarding work ethics, fraud prevention mechanisms, negligence, anti-bribery, and anti-corruption. Our code of conduct explicitly requires that all employees comply with any applicable anti-corruption laws, regulations and policies, and they are prohibited from making illegal or improper payments to any government official, either on their own or via third parties. Additionally, our employees and their family members are not allowed to solicit or accept gifts, travel, hospitality or anything of value to the extent such favors or advantages may influence their professional judgments. Under our firm-wide whistle-blowing policy, we make our internal reporting channel open and available for our employees to report on an anonymous basis, any non-compliance incidents and acts, including bribery and corruption. Reported incidents and persons will be investigated and appropriate measures will be taken in response to the findings. Furthermore, we conduct periodic performance reviews for our employees, and their remuneration is performance-based. We monitor the implementation of internal risk management policies on a regular basis to identify, manage and mitigate internal risks in relation to the potential non-compliance with our code of conduct, work ethics, and violations of our internal policies or illegal acts at all levels of our Group.

Financial Reporting Risk Management

We have adopted comprehensive accounting policies in connection with our financial reporting risk management, such as financial management, budget management and financial statement preparation. We also have procedures in place to carry out such accounting policies, and our finance department reviews our management accounts in accordance with such procedures. In addition, we provide ongoing training to our financial department staff to ensure that these policies are well-observed and effectively implemented.